Asian Energy Services Ltd (NSE: ASIANENE, BSE: 530355)

Stage 2 research note, v1 (18-Oct-2026)

Basis: consolidated, Rs. crore, FY26A = year ended 31-Mar-2026. Tags: [A] audited financial statements and notes; [M] management-stated (MD&A, decks, calls, press releases); [S] secondary (regulator and customer documents as summarised online, rating agencies, aggregators); [D] derived by the analyst from tagged figures. Page references are to the annual report text extracts in the document repository. Market data: BSE close Rs.455 on 16-Oct-2026 (ACE); Bloomberg series to follow at Stage 3.

Summary of the preliminary view

- **What it is.** A tender-driven energy services contractor: onshore seismic (shrinking, 5% of the order book), oilfield O&M and integrated field development for Vedanta, coal handling plant EPC for Coal India subsidiaries through unincorporated JVs, and from Sep-2025 a Gulf crew-supply business (Kuiper) that is 38% of revenue at a 7% margin. A 50% participating interest in one small oil field; five more blocks arrive with the Oilmax merger.
- **The numbers.** FY26 revenue Rs.791cr (+70%, of which Rs.299cr is Kuiper's seven months; organic +6%), EBITDA margin 12.1% (25.5% in FY22), PAT Rs.51.8cr, ROE 11.5%, three-year operating cash flow minus Rs.24cr against Rs.119cr of PAT, receivables plus unbilled at 209 days, gross debt Rs.158cr from Rs.24cr. Incremental pre-tax return on the Rs.406cr of capital added since FY20: 8.6%.
- **The pattern.** Five cycles in 34 listed years, each carried by one or two contracts and ended when they did; the current cycle depends on Vedanta (about 40% of the book) and MCL (about 26%). Twelve of 27 public promises since FY20 were missed; FY26 standalone grew 6% against a 40-50% guide.
- **The merger.** 117 AESL shares per 10 Oilmax shares, set in Sep-2025 on FY25 earnings of Rs.48.6cr; Oilmax reported a Rs.12.2cr loss for the nine months to Dec-2025. The share count rises from 4.86cr to about 8.80cr and public holders' claim on AESL's own earnings falls from about 44% to about 24%; Oilmax must earn about Rs.42cr a year for the swap to be neutral to them. Promoter holding falls to 49.45%.
- **The price.** About 40x FY26 EPS and 21x EV/EBITDA, on about Rs.1cr a day of BSE turnover with no institutional holder. The price discounts the order book, the FY27 guide and E&P optionality before any of them has appeared in a reported quarter.
- **Preliminary view.** Cautious. A decent CHP and Vedanta franchise inside a poor capital-allocation record and an expensive, about-to-dilute stock. The falsification test and the five questions for the model are in R20.

R1. Explain it like I'm new to this industry

The one-sentence version. Asian Energy Services (AESL) is a contractor. It does not own oil wells or coal mines in any size that matters (yet); it gets paid by the companies that do, for doing specialised, labour-and-equipment-heavy jobs they would rather not do themselves. The customer is almost always a large oil company (ONGC, Oil India, Vedanta/Cairn, Hardy, Sun Petrochemicals), a Coal India subsidiary (Eastern Coalfields, Central Coalfields, Mahanadi Coalfields), a state utility (Assam Gas Company, Gujarat State Electricity Corporation), or, after the 2025 Kuiper acquisition, international oil majors and drilling contractors in the Middle East and South-East Asia. (AR FY26, p.22-23, Board's Report; Order-Wins folder; AR FY26, p.218-219, Note 45 segment note.)

The company reports two segments: "Oil and Gas" (seismic, O&M, field development, Kuiper manpower) and "Mineral and other energy sectors" (coal handling plants and material handling). FY26A consolidated revenue was Rs.791.0 crore, of which Rs.632.7 crore was Oil & Gas and Rs.158.4 crore Minerals [A] (AR FY26, p.218, Note 45). Of the Rs.791.0 crore, Rs.299.4 crore came from outside India — that is Kuiper, consolidated for seven months [A] (AR FY26, p.219, Note 45 III).

Below is what each line of business actually is, who pays, and how the money is earned.

1. Seismic data acquisition (the original business, since 1998)

What it is. Before anyone drills an oil well they need a picture of the rock layers underground. Seismic surveying creates that picture by sending sound energy into the ground and recording the echoes. A **2D** survey records along single lines (a cross-section); a **3D** survey records across a grid (a volume). The data is then processed and interpreted by geoscientists to decide where to drill.

What a crew does. A seismic crew is a few hundred people with trucks, cables, thousands of small sensors (geophones) and an energy source. Historically the energy source in India was dynamite in shallow "shot holes" (AESL's first operation in 1997 was shot-hole drilling, AR FY21, p.3 "Our Journey"). The modern alternative is **vibroseis**: large trucks with a vibrating plate that shake the ground on a programmed sweep. AESL commissioned its first vibroseis units in mid-2020 for a Rajasthan project (Press Release 13-Jul-2020). The crew surveys the line, obtains land access and forest/environmental permissions, lays out sensors, "shoots" each point, picks up and moves on. It is a mobile, seasonal business (no work in the monsoon), and it is **asset-light in the sense that the fleet is small, but working-capital-heavy** because the crew is paid monthly while the customer pays on certified progress.

Who pays and how. The customer is the exploration company that holds the block: ONGC and Oil India (state-owned, the bulk of Indian acreage), GAIL, and private players such as Sun Petrochemicals. Contracts are won in tenders. Pricing is on units of output: the company's own revenue-recognition policy says seismic revenue is "measured based on milestones reached, units delivered, efforts expended, number of shot points/kilometers covered, etc. as per the terms of contract" [A] (AR FY26, p.85, Note 2(b)). In practice this means a rate per **line-km** (2D) or per **square km / shot point** (3D), with mobilisation and demobilisation paid separately. The specific unit rates in AESL's contracts are **not disclosed**. Examples of order sizes: ONGC 3D Gujarat Rs.78.24 crore over 11 months (Order 19-Jun-2023); GAIL Rajasthan Rs.16.69 crore over 6 months (Order 2-Aug-2023); Oil India 2D Rajasthan ~Rs.82 crore (Press Release 29-Sep-2024); Sun Petrochemicals 3D Gujarat ~Rs.46 crore over 12 months (Press Release 16-Jul-2025) [M].

Why the industry exists this way. Exploration companies have a lumpy need for seismic crews (a block gets surveyed once, then not again for years), so they rent crews rather than keep them. Government policy — the HELP/OALP/DSF licensing rounds (glossary) — determines how many new blocks need surveying, so demand follows policy cycles. Seismic was only ~5.5% of AESL's order book in mid-2025 [M] (Press Release 1QFY26), which tells you management has deliberately shrunk its dependence on it; the 9-Mar-2024 press release describes a deliberate move "to diversify from cyclical business which also frequently involves force majeure situations, to stable business with long term contracts".

2. Oilfield O&M — running somebody else's production facility

What it is. Once a field is producing, the oil company needs people to run the plant 24x7: operate separators, compressors and pumps, maintain equipment, manage safety, handle crude and gas. **O&M (operations and maintenance)** contracts outsource this. AESL's reference contract is for Vedanta (Cairn Oil & Gas) at **Suvali**, Cambay basin, Gujarat: operating Vedanta's onshore oil-and-gas processing facility and offshore platforms, awarded 24-Jan-2022, Rs.248 crore including GST for four years with a one-year extension option, work started April 2022; the extension was exercised in March 2026 to run to 31-Mar-2027 "on the same rates, terms and conditions" [M] (Order 24-Jan-2022; Order 16-Mar-2026). Earlier, AESL's first O&M contract (2017-18) was for a floating production unit (FPU) at the EBOK field offshore Nigeria, and in 2023 it won an FPSO O&M letter of award in the PY-3 field (AR FY26, p.3 "Our Journey"; Order 21-Mar-2023). An **FPSO** is a ship that produces, stores and offloads oil at an offshore field.

How it is priced. Typically a fixed monthly fee for a defined manpower-and-services scope, sometimes with reimbursable spares, over a multi-year term. AESL's contracts' actual fee structure is **not disclosed**; the Vedanta number above implies roughly Rs.5 crore a month before GST, but that is our arithmetic on the headline, not a disclosed rate.

The step-up: integrated field development. In July 2025 Vedanta awarded AESL a ~Rs.772 crore (ex-GST; ~Rs.865 crore with GST) "integrated service contract" to be executed over 57 months [M] (Press Release 1QFY26; Transcript 2QFY26). This is bigger than O&M: AESL takes on drilling new wells, workovers and construction of production facilities as a single turnkey package for the field owner. Management describes this as the model it wants to replicate (Transcript 4QFY26). Sister contracts of the same type were pre-approved with the parent for Oilmax's Tiphuk (Rs.75 crore) and Duarmara (Rs.150 crore) blocks [A] (AR FY26, p.34, AOC-2).

3. Coal handling plants (CHP) — EPC and BOOT for Coal India subsidiaries

What a CHP is. At an opencast coal mine, raw coal has to be crushed, sized, stockpiled and loaded onto rail wagons quickly ("rapid loading", often through a **silo**). A coal handling plant is the conveyor-crusher-silo system that does this; "first-mile connectivity" in Coal India's language. Coal India wants to move coal by rail rather than road, so its subsidiaries have tendered many CHPs since 2020.

How AESL earns. Two models:

- **EPC (engineering, procurement, construction):** AESL designs, buys the equipment, erects and commissions the plant for a lump sum, usually with O&M during a defect-liability period (DLP). Example: Mahanadi Coalfields, Lakhanpur, Odisha — ~Rs.459 crore including GST, seven years including O&M, won with a JV partner, the largest CHP order in AESL's history [M] (Press Release 4-Nov-2025). Central Coalfields Rs.250 crore (Press Release 6-Feb-2024); Singareni coal-evacuation conveyors Rs.148.5 crore + GST over 18 months with JV partner Indwell (Press Release 18-Jun-2024); first order outside Coal India: GSECL Ukai thermal station CHP enhancement, Rs.187.62 crore incl. GST, 2-3 years (Press Release 22-Jun-2026).
- **BOOT (build-own-operate-transfer):** AESL funds and builds the asset, owns and operates it for a term while the customer pays a tariff, then hands it over. Example: Eastern Coalfields Hura CHP (3 Mtpa), Rs.128 crore incl. GST — build, then operate and maintain for five years (Order 14-Feb-2022); Assam Gas Company compressor station on BOOT for three years, ~Rs.200 crore of which ~Rs.82 crore in year one (Press Release 17-Dec-2024).

Mechanics that matter for the numbers. CHP work is done through **unincorporated joint ventures** with partners who bring pre-qualification (Zuberi, FFIL, Indwell, Global); AESL books "sale of services" to the JV and the JV bills the customer, so a large part of standalone receivables are due from these JVs (R15). Revenue is recognised by percentage of completion, which the new auditor flagged as the key audit matter [A] (AR FY26, p.68-69). Minerals revenue fell from Rs.272.6 crore in FY25 to Rs.158.4 crore in FY26 because projects were between phases and the monsoon delayed execution [A/M] (AR FY26, p.10, p.218).

4. International manpower and O&M — Kuiper (from September 2025)

Kuiper Group (UAE/Cayman, bought from private-equity owner Gulf Capital for USD 9.25 million cash, completed 29-31 Aug 2025) is "a global provider of diverse, fully integrated manpower solutions to the energy industry" [M] (Order 18-Apr-2025; Press Release 18-Apr-2025). Plainly: it recruits, employs, visas, houses and deploys skilled oilfield workers (operators, technicians, drilling crews) to oil companies, drilling contractors and EPCI yards in Saudi Arabia, Qatar, UAE, Oman, Egypt, Malaysia, Indonesia, Thailand, Brunei, Singapore, Namibia and Cyprus, mostly under long-tenure master service agreements. Revenue was USD 82 mn (CY22), 74 mn (CY23), 68 mn (CY24) [M] (Order 18-Apr-2025 annexure). Economics: gross margin ~14-15%, EBITDA ~7%, net ~6% because of low-tax jurisdictions [M] (Transcript 2QFY26); run-rate Rs.40-45 crore a month [M]. It is a volume, low-margin, people business; it carries little capital but a lot of working capital (Kuiper came with Rs.240.6 crore of current assets against Rs.73.0 crore of current liabilities at acquisition [A], AR FY26, p.228, Note 55).

5. Owning a slice of an oil field — the Indrora participating interest

In 2023 AESL bought a 50% **participating interest (PI)** in the Indrora field, Gandhinagar, Gujarat, from its parent Oilmax (Rs.15 crore upfront plus "progressive cash flows linked consideration" [A], AR FY23, p.27 AOC-2; Rs.17.7 crore recorded as acquisition of PI in FY24 [A], AR FY24, Note 38). A PI is a share of the costs and the crude of a block under a revenue-sharing or mining-lease arrangement with the government; AESL's share of proved reserves was 1.328 million barrels at 31-Mar-2026 (up from 0.811 mn after a 0.527 mn addition) with production of 0.010 mn barrels in the year [A] (AR FY26, p.231, Note 57). The Mevad NM-01 well, drilled in January 2026, is producing ~100 bopd on test [M] (Press Release 31-Jan-2026). The company accounts for its share of the Indrora joint operation line by line and reimburses Oilmax (the operator) for its share of costs and for government's share of revenue [A] (AR FY26, p.135-139, Note 44). This is the thin end of a wedge: after the Oilmax merger (R2), field ownership becomes a third reporting segment [M] (Transcript 4QFY26).

Where the money really comes from

Three customers were each more than 10% of FY26 revenue; the top customer was Rs.143.0 crore (18% of revenue) and the top three Rs.264.4 crore (33%) [A] (AR FY26, p.219, Note 45 IV). The payers are overwhelmingly Indian public-

sector oil companies, Coal India subsidiaries and one large private E&P company (Vedanta), plus, via Kuiper, Gulf national oil companies and their contractors. Government capex policy (OALP/DSF rounds, Coal India's rail-loading push, Assam gas-grid connectivity) drives the pipeline; AESL's margin comes from executing on time with a mostly hired fleet and a 434-person permanent workforce on the parent's rolls [A] (AR FY26, p.40, Annexure D) and 500+ in the group [M] (AR FY26, p.2).

Glossary (terms used in this note)

- **2D / 3D seismic** — subsurface imaging by recorded sound echoes; 2D along lines, 3D over a grid.
- **Vibroseis** — truck-mounted vibrator used as the seismic energy source instead of explosives.
- **Line-km / shot point** — units in which seismic work is measured and billed (kilometres of 2D line; individual energy-source points).
- **O&M** — operations and maintenance of a production facility under a multi-year service contract.
- **FPSO / FPU** — floating production, storage and offloading vessel / floating production unit used at offshore fields.
- **EPC** — engineering, procurement and construction: a turnkey build for a fixed price.
- **BOOT** — build-own-operate-transfer: contractor funds and owns the asset, operates it for a fee over a term, then transfers it to the customer.
- **CHP** — coal handling plant (crushing, conveying, silo and rapid wagon loading at a mine).
- **DLP** — defect liability period after commissioning, during which the contractor maintains the plant.
- **PI** — participating interest: a percentage share of the costs and production of an oil/gas block.
- **DSF / OALP / HELP** — Discovered Small Field bid rounds; Open Acreage Licensing Policy; Hydrocarbon Exploration and Licensing Policy — the government's schemes for awarding blocks.
- **RSC** — revenue sharing contract between the government and a block holder.
- **CBM** — coal-bed methane, natural gas produced from coal seams.
- **BOPD / BOEPD** — barrels of oil (equivalent) per day.
- **LoA / LoI** — letter of award / letter of intent from a customer; the LoA is the firm order.
- **L1** — lowest bidder in a tender (likely to be awarded).
- **JV (unincorporated)** — a contractual joint venture that bids and bills in its own name; AESL consolidates its share.
- **NCLT** — National Company Law Tribunal, the court that sanctions mergers.
- **ESOP** — employee stock option plan.
- **Warrants (preferential)** — instruments sold to selected investors at a fixed price, 25% paid upfront, convertible into shares within 18 months on paying the balance 75%.
- **AOC-1 / AOC-2** — statutory annexures listing subsidiaries/JVs and material related-party contracts.
- **KMP / SMP** — key managerial personnel (MD, CFO, CS) / senior management personnel.
- **ID / NED** — independent director / non-executive director.
- **CARO** — Companies (Auditor's Report) Order, the auditor's compliance checklist.
- **RPT** — related-party transaction.
- **ICD** — inter-corporate deposit (a loan between companies).
- **NCI** — non-controlling interest (minority shareholders' share of a subsidiary).
- **SOFR / MCLR** — floating-rate benchmarks for USD and INR bank loans.
- **ADGM / DMCC** — Abu Dhabi Global Market and Dubai Multi Commodities Centre free zones where group companies are registered.

R2. Company overview and history

What it does today, for whom, where

AESL is a Mumbai-headquartered (3B, Omkar Esquare, Sion East) services company with three engines [M] (AR FY26, p.11 "Strategy"):

1. **Indian energy services** (the listed parent, standalone revenue Rs.491.8 crore FY26A [A], AR FY26, p.22): seismic crews for ONGC/Oil India/GAIL/private E&Ps; O&M and integrated field development for Vedanta (Suvali and the Rs.772 crore integrated contract), Hardy (PY-3 subsea flowlines, LoI ~Rs.48 crore, Press Release 14-Mar-

2024) and the Amguri field; CHP/material handling for Coal India subsidiaries, Singareni, Assam Gas and GSECL. Standalone order book ~Rs.1,750 crore at 31-Mar-2026 (68% oil & gas, 32% minerals) [M] (AR FY26, p.18); Rs.1,754 crore at 30-Jun-2026 [M] (Press Release 1QFY27). Operating locations are project sites (Gujarat, Rajasthan, Assam, Jharkhand, Odisha, Telangana, Tamil Nadu offshore); the company states it has "no plant" [A] (AR FY26, p.62). The vibroseis fleet size and crew count are **not disclosed** in FY26 documents.

2. **Kuiper Group** (international manpower/O&M, consolidated from 1-Sep-2025): ~USD 50-65 mn annual revenue, ~8% EBITDA, target USD 100 mn by FY30 [M] (Transcript AGM Sep-2026; AR FY26, p.11).
3. **Upstream ownership**: 50% PI in Indrora (Gujarat) today; after the Oilmax merger, PIs in Amguri, Duarmara, Tiphuk (Assam), South Rewa CBM (Chhattisgarh), a Kutch offshore DSF-IV block and a quartzite mine (Uttarakhand) [M] (Sep-2025 merger deck, slide 13; Order 1-Sep-2026).

FY26A snapshot and the one-line reason for the move

Consolidated	FY25A	FY26A
Revenue from operations	Rs.465.0 cr	Rs.791.0 cr (+70%)
EBITDA (incl. JV share) [M]	Rs.72.4 cr	Rs.98.9 cr
Exceptional items	nil	Rs.(9.4) cr
PAT	Rs.42.2 cr	Rs.51.8 cr (Rs.60.6 cr before exceptionals [M])
Basic EPS	Rs.9.79	Rs.11.43
Net worth (incl. NCI)	Rs.398.8 cr	Rs.495.0 cr
Market cap at 31-Mar [M]	n.d.	Rs.1,073 cr

Sources: AR FY26, p.22 (Board's Report) [A]; p.10 [M]; p.204 Note 37 [A]; p.230 Note 56 [A]; p.2 [M].

Why FY26 jumped: seven months of Kuiper (Rs.299.4 crore of overseas revenue that did not exist in FY25) plus the start of the Vedanta integrated contract lifted Oil & Gas segment revenue from Rs.192.4 crore to Rs.632.7 crore, more than offsetting a Rs.114 crore fall in Minerals [A] (AR FY26, p.218-219). PAT grew less than revenue because Kuiper is a ~6-7% net-margin business and the year absorbed Rs.6.7 crore of one-time acquisition costs and a Rs.2.7 crore contractual write-off [A] (AR FY26, p.203, Note 36).

Origin and promoter history

- **Incorporated 9-Mar-1992** as Asian Oilfield Services Ltd, Mumbai; IPO in 1995; first seismic contract 1998; 2D contracts for Premier Oil (2003) and in the North-East (2007) [M] (AR FY21, p.3; Merger outcome 6-Sep-2025, Annexure A).
- **Samara Capital era (2008-2016).** Samara Capital Partners Fund I (Mauritius), with Global Coal and Mining Pvt Ltd as person acting in concert, became promoter in 2008 and held 56.32% [A] (AR FY17, shareholding section). The Samara years included a Kurdistan (Iraq) branch run through the Dubai subsidiary DMCC, Samara ICDs of Rs.17.6 crore and Rs.34.2 crore to the group, and a pledge of 2.2 million shares by Samara [A] (AR FY17, financial notes). The Iraq business ended badly: the group "no longer has any presence" in Iraq, wrote off Rs.2.71 crore of Kurdistan equipment in FY17 [A] (AR FY18, consolidated PPE note) and DMCC pursued a USD 2 million London arbitration against a customer, later stayed for settlement talks [A] (AR FY20, p.22-23, auditor's emphasis of matter reproduced in Board's Report).
- **Oilmax takeover (FY17).** Oilmax Energy Pvt Ltd (OEPL; promoted by Kapil Garg and family, incorporated 2-Aug-2008) "took over the management of the Company" on 5-Aug-2016 and by 16-Nov-2016 had acquired Samara's 12,572,600 shares (56.32%) under a share purchase agreement; promoter reclassification was approved by shareholders on 28-Sep-2016 and BSE on 16-Nov-2016 [A] (AR FY17, Note 43 "Change in ownership"; shareholding notes). The purchase price is **not disclosed** in the AR extracts. Oilmax was then allotted 14.5 million warrants on 27-Dec-2016, converted in tranches (2.5 mn Feb-2017; 3.4 mn Sep-2017; 4.1 mn Mar-2018), and a non-resident investor took preferential shares (1.25 mn Mar-2017; 4.5 mn Mar-2018), taking paid-up shares from 22.3 mn to 38.07 mn [A] (AR FY17/FY18 shareholding notes; AR FY20, p.23). Warrant price not found.
- **Rename (2020).** Shareholders approved an object change on 11-Sep-2020 to add coal, minerals and other energy services; the name became **Asian Energy Services Ltd** by fresh certificate dated 1-Oct-2020 [A] (AR FY21, Board's Report).

- **Oilmax merger (2025-26).** Oilmax, the 60.83% parent, is being merged into AESL: board approval 6-Sep-2025; swap 117 AESL shares per 10 OEPL shares (Bansi S. Mehta valuation: OEPL Rs.4,349.03/share on DCF only; AESL Rs.371.96/share, the ICDR floor, versus a relative value of Rs.357.20) [S/M] (Merger Valuation Report, p.10-11); BSE/NSE no-objection letters 2 and 5 Mar-2026; NCLT Mumbai order 22-Apr-2026 convening meetings; shareholders approved 11/12-Jun-2026; petition admitted 7-Jul-2026; **NCLT sanction pronounced 29-Sep-2026** (CP(CAA) 95/MB/2026); certified copy received 15-Oct-2026 [A/M] (AR FY26, p.25; Merger 30-Sep-2026 and 15-Oct-2026 filings). Appointed date is the first day of the month in which the effective date falls (NCLT order para 8). Post-merger, promoter holding falls from 60.97% to 51.71% (54.81% to 47.30% fully diluted) and share count rises to ~9.2 crore [M] (Sep-2025 merger deck, slide 'Shareholding Pattern'; Merger Pre & Post SHP file). Oilmax's 68 public shareholders (34.78% of OEPL) become direct AESL shareholders [A] (Merger Pre & Post SHP, OEPL Table I).

Dated milestone table

Date	Event	Source
9-Mar-1992	Incorporated as Asian Oilfield Services Ltd	Merger outcome 6-Sep-2025 Ann. A
1995	IPO and listing	AR FY21, p.3
1998	First seismic survey contract	AR FY21, p.3
23-Jul-2008	AOSL Petroleum Pte Ltd (Singapore) formed	AR FY26, p.33 AOC-1
2008	Samara Capital becomes promoter (56.32%)	AR FY17
30-Jul-2012	Asian Oilfield & Energy Services DMCC (Dubai) formed	AR FY26, p.33
5-Aug-2016 / 16-Nov-2016	Oilmax takes management control; completes purchase of 56.32% from Samara	AR FY17 Note 43
27-Dec-2016	14.5 mn warrants to Oilmax; converted Feb-17 to Mar-18	AR FY17/FY18
FY17	Kurdistan (Iraq) assets written off; exit	AR FY18
2017-18	First O&M contract: EBOK FPU, Nigeria (3 years)	AR FY26, p.3
29-Sep-2018	AOSL Energy Services Ltd (India) formed	AR FY26, p.33
30-Nov-2019	Optimum Oil & Gas Pvt Ltd (74%) formed	AR FY26, p.33
2020	Vibroseis commissioned; entry into coal sector	PR 13-Jul-2020
1-Oct-2020	Renamed Asian Energy Services Ltd	AR FY21
24-Jan-2022	Vedanta Suvali O&M LoA, Rs.248 cr incl. GST, 4+1 years	Order 24-Jan-2022
14-Feb-2022	ECL Hura CHP (BOOT), Rs.128 cr, via Zuberi-Asian JV	Order 14-Feb-2022
3-Oct-2022	51% of Cure Multitrade (owner of Ivorene Nigeria) for Rs.20.4 lakh	Order 4-Oct-2022
8-Feb-2023 / Apr-2023	50% PI in Indrora bought from Oilmax (Rs.15 cr upfront + linked payments)	AR FY23 AOC-2; PR 27-Apr-2023
30-Jun-2023	67 lakh warrants at Rs.127.50 (Rs.85.4 cr) to Oilmax and non-promoters	Capital Raise 30-Jun-2023
3-Oct-2023 / 13-Jul-2024	COO Gaurav Srivastava joins / resigns	Mgmt filings
6-Feb-2024	CCL CHP LoA Rs.250 cr (with JV partner)	PR 6-Feb-2024
14-Mar-2024	Hardy PY-3 subsea LoI ~Rs.48 cr	PR 14-Mar-2024
18-Jun-2024	SCCL coal evacuation Rs.148.5 cr + GST (Asian-Indwell JV)	PR 18-Jun-2024
27-Aug-2024	Oilmax converts 33.5 lakh warrants (Rs.32.0 cr); board approves Rs.160.8 cr warrant issue at Rs.335	Capital Raise 27-Aug-2024
20-Sep-2024	ONGC places AESL on 2-year tender "holiday" (cut to 6 months, to 20-Mar-2025, in Feb-2025)	Order 20-Sep-2024; 10-Feb-2025
29-Sep-2024	Oil India 2D seismic Rajasthan ~Rs.82 cr	PR 29-Sep-2024
5-Nov-2024	47 lakh warrants allotted to 28 non-promoter investors (Rs.157.45 cr; 25% upfront)	Capital Raise 5-Nov-2024
17-Dec-2024	Assam Gas compressor station BOOT ~Rs.200 cr	PR 17-Dec-2024
18-Apr-2025 / 29-31 Aug-2025	Kuiper SPA signed (USD 9.25 mn) / completed	Order 18-Apr-2025; 30-Aug-2025
Jul-2025	Vedanta integrated field contract ~Rs.772 cr ex-GST, 57 months	PR 1QFY26
6-Sep-2025	Board approves Oilmax merger, swap 117:10	Merger outcome
26-Sep-2025	Walker Chandiok's term ends; SGCO & Co appointed auditor	AR FY26, p.27
4-Nov-2025	MCL Lakhanpur CHP ~Rs.459 cr incl. GST, 7 years (Asian-Global JV)	PR 4-Nov-2025
3-Jan-2026	ID Brij Mohan Bansal resigns (age 75)	Mgmt 30-Dec-2025
31-Jan-2026	Mevad NM-01 oil discovery, ~100 bopd on test	PR 31-Jan-2026

Date	Event	Source
16-Mar-2026	Vedanta extends Suvali O&M to 31-Mar-2027	Order 16-Mar-2026
5-May-2026	36.63 lakh warrants converted, Rs.92.0 cr received; 10.37 lakh lapsed	Capital Raise 5-May-2026
5-Jun-2026	Oil India 3-year empanelment for 2D/3D seismic	Order 5-Jun-2026
22-Jun-2026	GSECL Ukai CHP EPC Rs.187.6 cr incl. GST — first non-Coal India CHP	PR 22-Jun-2026
21-Aug-2026	26% of AOSL Energy Services sold to Sadhav Shipping for Rs.26,000 to form marine JV	Order 21-Aug-2026
31-Aug / 2-Sep / 13-Sep-2026	SMP resignations: GM Procurement, VP Seismic, Manager O&M	Mgmt 31-Aug-2026
31-Aug-2026	OEPL wins DSF-IV block GK/OSDSF/GKOSN/2025 (50% PI, operator)	Order 1-Sep-2026
29-Sep-2026 / 15-Oct-2026	NCLT sanctions merger / certified copy received	Merger filings

Business exits: Kurdistan/Iraq (FY17, via DMCC); Ivorene Nigeria ceased to be a step-down subsidiary in FY21 and came back via Cure in FY23 (AR FY21 Board's Report; AR FY26 Note 44); the Nigeria EBOK O&M ended after its term (no disclosure of the end date found).

R3. Corporate structure

In one line: the listed entity, Asian Energy Services Ltd, earns almost all the Indian money (standalone revenue Rs.491.8 crore of Rs.791.0 crore consolidated; 86.5% of consolidated profit [A], AR FY26, p.228 Note 56); everything else is either a wrapper around Kuiper's Gulf/Asian manpower contracts (held through the Dubai company DMCC) or a legacy or pre-qualification shell.

Entity table (as at 31-Mar-2026; AOC-1 figures in Rs. crore, converted from rupees)

Entity	Type	Ownership	Business	Country	Formed / acquired	FY26 revenue	FY26 PAT	Consolidated?
Asian Energy Services Ltd	Listed parent	—	Seismic, O&M, field development, CHP; 50% PI Indrora	India	9-Mar-1992	491.8	44.8	Parent
Asian Oilfield & Energy Services DMCC ("ADMCC")	WOS	100%	Holding company for Kuiper; legacy Iraq/Nigeria contracting; owes USD 6.7 mn Kotak loan	UAE (Dubai)	30-Jul-2012	nil	(9.07)	Yes
AOSL Petroleum Pte Ltd	WOS	100%	Dormant; negative reserves Rs.(25.9) cr	Singapore	23-Jul-2008	nil	(1.40)	Yes
AOSL Energy Services Ltd	WOS → 74% after Aug-2026	100% (74%)	Shell; to become marine-services JV with Sadhav Shipping	India	29-Sep-2018	nil	(0.01)	Yes
Optimum Oil & Gas Pvt Ltd	Subsidiary	74%	Dormant (formed as JV vehicle)	India	30-Nov-2019	nil	(0.005)	Yes
Cure Multitrade Pvt Ltd	Subsidiary	51%	Holding co. for Ivorene; bought for Rs.20.4 lakh	India	3-Oct-2022	nil	0.03	Yes
Ivorene Oil Services Nigeria Ltd	Step-down (100% of Cure)	51% effective	Nigerian O&M vehicle; total assets Rs.11.3 cr	Nigeria	3-Oct-2022	nil	(0.05)	Yes
Kuiper Holdings Ltd (consolidated)	Step-down via ADMCC	100%	Manpower/O&M holding (ADGM)	UAE (Abu Dhabi)	30-Aug-2025	156.9	8.72	Yes
Kuiper Group Ltd (consolidated)	Step-down via ADMCC	100%	Manpower/O&M holding (Cayman)	Cayman	30-Aug-2025	102.0	8.51	Yes
Global Resource Management Employment Services LLC	Step-down	100%	UAE manpower operating company (Dubai branch + ADGM)	UAE	30-Aug-2025	46.8	3.48	Yes
Kuiper operating subsidiaries (approx. 20): OCB Oilfield Services DMCC, Nexus People Management (KSA), Nexus (Thailand), OCB (Thailand), OCB (Brunei), Kuiper International Pte (Singapore), Kuiper Malaysia Manpower, Kuiper Malaysia Sdn Bhd (49% legal/100% effective), PT Oilfield Crew Management Indonesia (49%/100%), Kuiper HR Management WLL Qatar (49%/100%), Maaber for Logistics Qatar (49%/control) and Oman, Kuiper Triangle DMCC/Cyprus/Egypt (51%; 49% Triangle International), Kuiper Labour Supply Namibia, Offshore International Management (India)	Step-down	100% effective (several via nominee/POA)	Country manpower companies	Various	30-Aug-2025	included above	included above	Yes (NCI only for Kuiper Triangle)
Zuberi Asian JV	Unincorporated JV	49%	ECL Hura CHP	India	4-May-2022	6.3	0.11	Equity method
AESL FFIL JV	Unincorporated JV	49%	CHP (CCL)	India	20-Oct-2022	52.0	3.00	Equity method
Asian Indwell JV	Unincorporated JV	80%	SCCL coal evacuation / CCL	India	13-Mar-2024	64.7	3.19	Equity method
Asian Oilmax JV	Unincorporated JV with parent	70%	Oil & gas services (Assam)	India	13-Mar-2024 (ops 21-Aug-2024)	1.9	0.11	Equity method
Asian Global JV	Unincorporated JV	80%	MCL Lakhanpur CHP	India	13-Apr-2025	nil	(0.07)	Equity method
Asian Oilfield Services Ltd Employees Welfare Trust (ESOP Trust)	Trust	treated as extension of company	Holds unexercised ESOP shares (19,622 at Mar-26)	India	2021	—	—	Shares deducted from equity
Oilmax Energy Pvt Ltd (parent, being merged in)	Holding company	holds 60.75% of AESL (Mar-26); 55.99% (Jul-26)	E&P: Amguri 50%, Duarmara 50%, Tiphuk 80%, South Rewa-6 CBM 100%, Indrora 60% (direct+indirect), DSF-IV Kutch block 50% (Aug-2026); quartzite mine 100%; Anirit (agri) subsidiary	India	2-Aug-2008	FY25 standalone Rs.127.7 cr; PAT Rs.48.6 cr; net worth Rs.290.4 cr	—	No (parent)

Sources: AR FY26, p.31-33 (AOC-1 Parts A and B) [A]; p.216-218 Note 44 [A]; p.228-230 Note 56 [A]; Note 56 Kuiper entity footnotes [A]; Order 21-Aug-2026; Sep-2025 merger deck slide 13 [M]; OEPL 3-year financials annexure [A]. Note: AOC-1 presents Kuiper Holdings and Kuiper Group each on a "consolidated" basis and GRMES separately, so the three Kuiper lines may overlap; the audited total for all overseas revenue is Rs.299.4 crore (Note 45 III).

Who earns the money?

The parent (Rs.491.8 crore revenue, Rs.44.8 crore PAT) and the Kuiper operating companies (Rs.299.4 crore revenue; the Schedule III table attributes Rs.34.3 crore of profit to OCB Oilfield Services DMCC, Rs.9.0 crore to Kuiper Group Ltd, Rs.8.5 crore to Kuiper HR Management Qatar and Rs.5.3 crore to GRMES, offset by losses at Nexus KSA Rs.(4.0) crore and Kuiper International Singapore Rs.(1.8) crore before Rs.43.8 crore of inter-company eliminations) [A] (AR FY26, p.228-230, Note 56). The JVs contributed Rs.3.5 crore of equity-accounted profit [A] (Note 45 II).

Why each other entity exists

- **ADMCC (Dubai)** is the offshore holding and contracting arm: it held the Kurdistan branch in the Samara era, the Nigeria FPU contract after, and now holds 100% of Kuiper and carries the USD 6.7 million Kotak acquisition loan (SOFR + spread, 7% at Mar-26, 54 monthly instalments to FY31, guaranteed by AESL) [A] (AR FY26, p.195, Note 20). AESL also lent it Rs.31.6 crore during the year, repaid within the year with Rs.1.56 crore interest [A] (Note 44 B).
- **AOSL Petroleum (Singapore)** is a dormant legacy vehicle whose Rs.2.085 crore loan from AESL was fully provided in earlier years and on which interest is no longer accrued [A] (AR FY26, p.139, Note 44 D).
- **AOSL Energy Services, Optimum, Cure/Ivorene** are pre-qualification or opportunity shells: Cure was bought to re-enter Nigeria (Ivorene), AOSL Energy is being turned into a 74/26 marine-services JV with Sadhav Shipping (AESL sells 26% for Rs.26,000) [M] (Order 21-Aug-2026).
- **Unincorporated JVs** exist because Coal India tenders require specific CHP track records; the partner brings qualification, AESL does the work and bills the JV.
- **ESOP Trust** warehouses shares for the ESOP schemes.
- **Oilmax** is the promoter's E&P holding; the merger folds its five blocks and ~70 million barrels of claimed reserves [M] into the listed company.

Which entities are dormant, loss-making or absorbing capital

Entity	Status	Capital deployed / position
ADMCC	Loss-making (FY26 Rs.(9.1) cr; FY25 Rs.(5.0) cr); negative net assets Rs.(10.5) cr	Equity invested Rs.6.52 cr (incl. guarantee fair value); FY26 loss includes Rs.6.68 cr Kuiper deal costs [A] (Note 36)
AOSL Petroleum	Dormant; FY26 Rs.(1.4) cr; net assets Rs.(25.9) cr	Equity Rs.0.31 lakh; loan Rs.2.085 cr fully provided
AOSL Energy Services	Dormant; net worth Rs.0.09 cr	Rs.1 lakh equity + Rs.8.8 lakh loan
Optimum	Dormant	Rs.0.74 lakh
Cure / Ivorene	Near-dormant; Ivorene FY26 Rs.(4.6) lakh	Rs.20.4 lakh
Nexus People Management (KSA), Kuiper International (Singapore), Kuiper Triangle Cyprus	Loss-making within Kuiper	—
Vaan Electric Moto Pvt Ltd (financial investment)	Rs.6.23 cr equity + convertible notes written down to nil in FY26 through OCI	AR FY26, p.104, Note 8
Asian Global JV	Start-up loss Rs.(7) lakh; MCL project just begun	—

Cumulative capital sunk in the offshore legacy (ADMCC equity Rs.6.2 crore, AOSL Petroleum loan Rs.2.1 crore, Kurdistan write-off Rs.2.7 crore) is roughly Rs.11 crore; the combined negative net assets of ADMCC and AOSL Petroleum at Mar-26 are Rs.36.4 crore [A] (Note 56). The Kuiper purchase itself (net investment Rs.122.8 crore after working-capital adjustments to the Rs.87.6 crore SPA price) produced a Rs.40.0 crore capital reserve because fair-valued net assets were Rs.162.8 crore [A] (AR FY26, p.228, Note 55), i.e. the group paid less than book for a working-capital-rich business.

R4. Business cycles: what the revenue really was

Headline point: in 34 years as a listed company AESL has never had a revenue base that survived the loss of one contract or one customer. Each of the five cycles below was carried by one or two awards; each ended when those awards ended, were suspended or were disputed. The segment notes, the major-customer disclosures and the MD&A sentences prove this, cycle by cycle.

Cycle 1 – pre-FY14: small domestic seismic contractor under Samara Capital

- Revenue driver: 2D/3D onshore seismic for ONGC and small operators, shot-hole drilling. Order book Rs.114cr (Jun-2008) (AR FY08, p.109) [M]; Rs.80cr (AR FY10, p.280) [M]; Rs.28cr at 31-Mar-2012 (AR FY12, p.441) [M]. FY13 revenue Rs.56.0cr (AR FY14, p.17, five-year table: Rs.559.96 million) [A].
- Cost structure: crew-heavy, equipment-light; the Dec-2013 deck states "all under performing and under utilised assets are being retired. Proceeds will be used to retire debt" (PPT Dec2013, p.8) [M].
- What happened: Samara took a controlling stake (2008–10 per the Dec-2013 timeline) and in 2013 installed an ex-Schlumberger/WesternGeco team under CEO Rahul Talwar (PPT Dec2013, p.7) [M]. The market view was a turnaround story on the back of "Western Geco's exit from land seismic" (PPT Dec2013, p.6) [M].
- Lesson: the Indian onshore seismic market was and is tender-driven and intermittent ("In India, the activity continued to be low and sporadic", AR FY14, p.17) [M]. Nothing in the record suggests the domestic base alone could sustain a Rs.100cr+ company.

Cycle 2 – FY14–FY16: Kurdistan

- Revenue driver: one "mega contract" in Iraqi Kurdistan (Shakal, Gazprom Neft), executed Jul–Nov 2013, followed by a Gazprom 2D vibroseis job (completed Q3 CY2013) and a >500 sq km 3D award from Oil Search Iraq in Q4 CY2013 (PPT Dec2013, p.4; AR FY14, p.17) [M]. The company called it "our first large 3D job in Kurdistan in Northern Iraq… Deployment of Asian Oilfield's largest ever 3D crew… First ever Vibroseis operation… First ever Crew outside of the US to deploy in excess of 4000 real time wireless remote units" (AR FY14, p.17) [M].
- Numbers: revenue Rs.125.3cr FY14 (from Rs.56.0cr FY13) (AR FY14, p.17) [A]; Rs.147.4cr FY15 (AR FY15, p.26, total revenue Rs.14,738 lakh) [A]; Rs.77.7cr FY16 (AR FY16, p.20, Rs.7,766.76 lakh) [A]. Net loss FY16 Rs.27.1cr (AR FY16, p.20) [A]; net loss FY17 Rs.18.4cr (AR FY17, p.19) [A]. Gross block FY14 Rs.108cr (model) [A].
- Cost structure: the Kurdistan spread was bought for the job ("Significant investments have been made to induct best in class equipment on an exclusive basis", PPT Dec2013, p.8) [M]; funded partly by a 15.25–16% inter-corporate deposit of Rs.11.5–25cr from Global Coal & Mining (AR FY14, p.34; AR FY16, p.74) [A].
- What the market believed: "Path to USD 75 mm+ revenues in near term", "Scope for at least 4 number of Crews in the Middle East, Africa and Asia", "Pre-qualifications with World's leading Oil and Gas Companies such as Gazprom" (PPT Dec2013, p.19, p.6) [M]. Peak revenue reached was Rs.147cr (c. USD 24m) in FY15.
- What actually happened: oil collapsed and Kurdistan became a war zone — the FY15 AR already speaks of executing the "Kurdistan project in a challenging war" environment (AR FY15, p.24) [M]; the FY16 AR lists "Decrease in oil prices" among threats (AR FY16, p.19) [M]; by FY17 "the fixed assets were in Iraq where the subsidiary Company no longer has any presence and considering the high transportation [cost]…" (AR FY17, p.137) [A]. Equipment was stranded at "Gas Qalafa Factory Street, Old Kalar, Sulaymaniyah" (AR FY16, p.109) [A]. Samara sold 56.32% to Oilmax Energy under an SPA; Oilmax became promoter on 5-Aug-2016 (AR FY17, p.33) [A].
- Lesson: an overseas single-customer spread with debt-funded equipment produced two years of revenue and then a write-down and a change of control. The present "Kuiper + international O&M" plan should be read against this.

Cycle 3 – FY17–FY20: Oilmax rebuild — in reality an African EPC/O&M cycle, not a seismic cycle

- Revenue: FY17 124, FY18 222, FY19 194, FY20 273 (model) [A]. EBITDA margin FY18 18%, FY19 17%, FY20 24% (model) [A].
- What the market was told the driver was: domestic seismic for ONGC/OIL/Vedanta under NSP/OALP. Jun-2017 deck: seismic order book ~Rs.503cr (Myanmar 48, Mizoram 79, Arunachal 61, NC Hills 64, Manipur 143) and "10 crews which are currently operational" (PPT Jun2017, p.403, p.231) [M].
- What the audited major-customer note shows the driver actually was: one overseas customer each year.

  - FY17: top customer Rs.63.5cr = 51% of revenue; top three 93% (AR FY18, p.143) [A].
  - FY18: top customer Rs.126.6cr = 57%; top three 89%; four customers >10% (AR FY18, p.143) [A]. The Jun-2017 deck shows the only large O&M contract was Koral Energy's FPU EBOK, Nigeria, "Duration 5 years (3+1+1), Contract value approx USD 95 [million]" (PPT Jun2017) [M]. Koral terminated the contract in May 2018 (Press Release 4QFY18) [M].
  - FY19: top customer Rs.99.5cr = 51%; three >10% (AR FY19, p.153) [A]. New award: Amni International, Nigeria, USD 52m MOPU upgrade ("Langley") (Press Release 4QFY19) [M].
  - FY20: top customer Rs.238.6cr = 87% of Rs.273cr; top three 99%; only one customer >10% (AR FY20, p.173; AR FY21, p.157) [A]. The 3QFY20 call confirms which: "Ongoing execution of Langley Turnaround Maintenance project in Nigeria… has primarily contributed to the robust performance" (Q3FY20 call) [M]; Q2FY20 revenue was "Almost 90% from EPC and production facility business. And very minimal Rs.2 Crore, from seismic" (Q2FY20 call) [M].
- So the FY20 record year (24% EBITDA, Rs.29cr PAT, debt-free) was one Nigerian turnaround job. Domestic seismic in those years was repeatedly interrupted: "loss of 45 operational days" to rain, Manipur "work progress… negligible" (Press Release 4QFY18) [M]; NC Hills and Manipur "under force majeure" (Q2FY20 call) [M]; Oil India encashed a Rs.12.5cr performance guarantee on Manipur (Q3FY20 call) [M]; the Bashneft Iraq order (USD 37m, ~Rs.260cr) received Q1FY20 was excluded from the order book and never executed (Q3FY20 call; PPT Dec2019, p.143) [M].
- The seismic promise of the cycle: a Rs.570cr (ex-GST), six-block, two-year 2D/3D callout contract in Rajasthan and Gujarat received Q3FY20 from "a reputed Indian Oil and Gas Company" (Q3FY20 call) [M]; later identified as Vedanta — "AESL has successfully completed current phase of Rajasthan and Cambay Seismic project for Vedanta Ltd" (Press Release 4QFY22) [M]. Capex of Rs.70–75cr was announced for it (Q3FY20 call) [M].
- Lesson: the rebuild narrative was "most economical solution provider… entire value chain"; the P&L was a single African client whose receivable then went bad (Cycle 4). Management's own target — "by FY23, we do not have a single business or client which is contributing more than 30 to 40% of our total revenue" (Q2FY20 call) [M] — was set precisely because of this concentration.

Cycle 4 – FY21–FY23: Nigeria suspension, seismic stall, FY23 collapse

- Numbers: FY21 229 (O&G 222 / Mineral 7), FY22 260 (189 / 72), FY23 110 (63 / 47); segment results FY21 78 / –4, FY22 55 / 33, FY23 –0.3 / 6.7 (model; AR FY22, p.172; AR FY23, p.88) [A]. FY23 loss Rs.44.4cr (AR FY23, p.10) [A].
- FY21: Amni "issued notice of suspension of work effective November 16, 2020, on account of certain technical challenges faced by AMNI… Trade receivables includes Rs.6,247.35 Lacs (USD 8,499,254) receivable from AMNI" (AR FY21, p.156, Note 41) [A]. Auditor qualified the consolidated accounts for USD 2.11m unconfirmed (AGM Sep-2021 transcript) [M]. ADMCC "issued notice of termination… dated August 03, 2021" (AR FY22, p.176) [A]. Revenue booked on Langley was "approx. 75%" of a contract that had grown to "approximately USD 65 million" (Press Release 4QFY21) [M]. Top customer FY21 Rs.105.8cr = 46%; three customers >10% (AR FY21, p.157) [A].
- FY22: the year the two new legs were signed — Vedanta Suvali integrated O&M, Rs.248cr incl. GST, four years + one, from Apr-2022 (Order 24-Jan-2022) [M]; Hura CHP, Rs.128cr incl. GST, with JV partner, 3 Mtpa, EPC + 5-year O&M (Order 14-Feb-2022) [M]; Gevra CHP expansion for HEC (sub-contract), Rs.236cr (PPT 4QFY24, p.901) [M]. Four customers >10% (AR FY22, p.173) [A].
- FY23 collapse — what the filings say, not what the market assumed:
  1. Seismic dried up. "Presently, for seismic, we have around Rs.60 crores of contract on hand… there has been no activity for the last 5-6 months in terms of the tendering" (Q1FY23 call, CEO and CFO) [M]. "we were expecting a certain contract award by the Government of India of NSP-2 which was expected to kick-start working in May and June month, but those contracts have been delayed by the government" (Q1FY23 call) [M]. Seismic is "driven by government policies… not actually directly dependent on crude oil" (Q1FY23 call) [M].
  2. The seismic that existed was weather- and site-hit: "interruption in ongoing seismic projects in Assam due to early arrival of monsoon… We effectively lost a month" (Q1FY23 call) [M]; "disruption of seismic projects in Tripura due to local issues… have short closed Oil India Limited Tripura project in consultation with the client" (AR FY23, p.6, Chairman's letter) [M]. Campaigns completed that year were small: "seismic campaigns in Chhattisgarh's Rajadai… contracted by Vedanta in Assam's Jagun" (AR FY23, p.8) [M].

3. CHP phasing. "slowdown of Gevra project in Chhattisgarh"; Hura "has finally kicked up this quarter… after getting the necessary clearance for the land acquisition" (Q1FY23 call) [M]; "we encountered delays in the progress of the Gevra project due to external factors" (AR FY23, p.6) [M].
4. Costs were kept: "we have hired a lot of people for doing that O&M contract… still we continue to employ few people in anticipation of making good recovery" (Q1FY23 call) [M]. Oil & gas segment result went to –Rs.0.3cr on Rs.63cr.
5. Was there a dispute? Not with Vedanta or ONGC in FY23: Suvali O&M ran from 1-Apr-2022 and was later extended to Mar-2027 "on the same rates, terms and conditions" (Order 16-Mar-2026) [M]. The live disputes were Amni (termination Aug-2021, receivable) and, later, ONGC's Sep-2024 "holiday" order over the 2017 and 2018 seismic contracts (Order 20-Sep-2024) [M]. The Vedanta Rs.570cr six-block contract was a callout structure; the AR records completion of the "current phase" (Press Release 4QFY22) and there is no disclosure of the remaining callouts being issued — the order simply faded from the order book (Rs.60cr seismic by Aug-2022). Not disclosed: how much of the Rs.570cr was ultimately called out.
6. Rating: Ind-Ra cut to IND BBB- (Feb-2023) and moved the outlook to Negative (Aug-2023) (Credit Rating 10-Feb-2023; 15-Aug-2023) [S]. Equity: Rs.85cr warrants (Jun-2023) (Press Release 30-Jun-2023) [M].

- What the market believed: investors on the Q1FY23 call were working to "Rs.400-500 crores expectation of top line for the year" and a Rs.100cr O&M run-rate (Q1FY23 call, P. Diwan) [M]; management replied the value erosion "is temporary" and "Q3 and Q4 will be significantly better" (Q1FY23 call) [M]. FY23 revenue was Rs.110cr; EBITDA turned positive only in Q1FY24 "after 4 quarters" (Press Release 1QFY24) [M].
- Lesson: when seismic tenders stop, the fixed cost of a standing seismic organisation plus the cost of staffing new verticals ahead of revenue produces a loss within two quarters. FY23 is the stress test for the current cost base.

Cycle 5 – FY24–FY26: coal CHP pivot, Vedanta integrated contract, Kuiper

- Numbers: FY24 305 (192 / 113), FY25 465 (192 / 273), FY26 791 (633 / 158); segment results FY24 41 / 19, FY25 33 / 59, FY26 102 / 32 (model; AR FY25, p.198–199; AR FY26, p.221) [A].
- FY24: seismic revived (ONGC 3D Rs.78.24cr, 11 months, Jun-2023; GAIL Rs.16.69cr, Aug-2023) (Order 19-Jun-2023; Order 2-Aug-2023) [M]; seismic revenue FY24 ~Rs.120cr (Q4FY25 call) [M]. CHP added Karo (CCL) Rs.250cr incl. taxes (Feb-2024), Rajmahal plough feeders Rs.21.9cr (Jan-2024); Hardy PY-3 flowlines LoI ~Rs.48cr (Mar-2024) (Press Releases 6-Feb-2024, 12-Jan-2024, 14-Mar-2024) [M]. Board press release of 9-Mar-2024 re-stated strategy: move "from cyclical business which also frequently involves force majeure situations, to stable business with long term contracts" (Press Release 9-Mar-2024) [M].
- FY25: the year the Mineral segment carried the company — Rs.273cr revenue, Rs.59cr result, 59% of revenue (AR FY25, p.198–199) [A]; seismic fell to ~Rs.72cr (Q4FY25 call) [M]. Q4FY25 alone was Rs.215cr, 46% of the year (Press Release 4QFY25) [M]. SCCL PKOCP Rs.148.5cr (Jun-2024), Oil India 2D Rs.82cr (Sep-2024), AGCL compressor BOOT ~Rs.200cr (Dec-2024) (Press Releases) [M]. Rs.157cr warrants (Nov-2024) [M]. ONGC "holiday" Sep-2024, cut to six months in Feb-2025 (Orders 20-Sep-2024, 10-Feb-2025) [M].
- FY26: consolidated revenue +70% but the composition changed completely. Revenue from outside India (Kuiper, consolidated from 1-Sep-2025) Rs.299.4cr (AR FY26, p.221, Note 45 III) [A], i.e. Rs.42.8cr/month [D]. Standalone India revenue Rs.491.8cr, +6% (PPT 4QFY26, p.9) [M]. Mineral segment fell 42% to Rs.158cr as the FY24–25 CHP projects ran off and the MCL Lakhanpur Rs.459cr award (Nov-2025) had not started (Press Release 4-Nov-2025) [M]. The oil & gas segment's Rs.633cr includes Kuiper (~Rs.299cr), the Vedanta integrated field-development contract (Rs.772cr ex-GST, 57 months, Jul-2025) (PPT 1QFY26, p.6) [M] and Suvali O&M. The company "was unable to fully meet the previously communicated guidance" and attributed "~75 crore" of Q4 standalone revenue to West Asia supply-chain and client delays (Q4FY26 call; PPT 4QFY26, p.5) [M].
- What the market is being told now: "the only listed energy services company in India that will be capable of self-delivering across the value chain" (Q4FY26 call) [M]; Rs.3,000cr revenue / Rs.700cr+ EBITDA / Rs.500cr PAT by FY29–30 (PPT Sep2025 AGM MD deck, p.15; AGM Sep-2026) [M].
- Lesson for the thesis today: (i) India standalone grew 6% in FY26 against a 40–50% guidance; (ii) the two contracts that define the next three years (Vedanta Rs.772cr, MCL Rs.459cr) are 70% of the Rs.1,750cr order book — the same two-contract dependence as every prior cycle; (iii) the overseas leg is again a single acquired platform (Kuiper) in a volatile region, 7–8% EBITDA.

R5. Segments

Ind AS 108 segments (AR FY26, Note 45): (i) Oil and gas; (ii) Mineral and other energy sectors. "The CODM does not review assets and liabilities for each operating segment separately, hence segment disclosures relating to total assets and liabilities, capital expenditure and depreciation and amortisation, have not been furnished" (AR FY26, p.222, Note 45 VII) [A]. Capital employed by segment is therefore not disclosed. Segment result = profit before D&A, finance cost, tax and unallocable expenses (Note 45 VIII) [A]; unallocable expenses were Rs.25.8cr FY25 and Rs.38.2cr FY26 (AR FY26, p.221) [A].

5.1 Oil & gas segment

What it sells and to whom (FY26 composition, in order of size):

1. Kuiper (from 1-Sep-2025): "fully integrated manpower solutions to the energy industry" — crews supplied to offshore drilling rigs and EPCI contractors in KSA, Qatar, UAE, Southeast Asia, Africa; "the major chunk of the top line comes from providing manpower through drilling rigs" (Q4FY26 call) [M]. FY26 revenue (7 months) Rs.299.4cr [A]; EBITDA "7%", net margin "6%" (Q2FY26 call) [M]; gross margin 14–15% (Q2FY26 call) [M]. Crew salary and related cost Rs.256.1cr appears for the first time in FY26 (AR FY26, p.203, Note 30) [A] — 86% of Kuiper revenue [D].
2. Integrated field development / O&M for Vedanta: Suvali onshore facility + Cambay offshore platforms, Rs.248cr incl. GST over four years from Apr-2022, extended to 31-Mar-2027 (Order 24-Jan-2022; Order 16-Mar-2026) [M]; the new Rajasthan satellite-field integrated contract Rs.772cr ex-GST (Rs.865cr incl. GST), 57 months, won Jul-2025, "implementation of the full field development plan… drilling of new wells, build facilities… and then operate the whole field" (Sep-2025 merger call) [M].
3. Seismic 2D/3D/4D: Oil India Rajasthan 2D 4,300 LKM Rs.82cr (18 months, Sep-2024); Sun Petrochemicals Rs.37.71cr (6 months, Jun-2024), Rs.46cr (12 months, Jul-2025), Rs.54.63cr 4D Bhaskar field (1 year, Dec-2025); CMPDIL coal-block seismic (Baradih; Chhattisgarh/Jharkhand) (Order-Wins; PPT 2QFY26, p.13) [M]. Seismic was ~Rs.120cr FY24 and ~Rs.72cr FY25 (Q4FY25 call) [M]; FY26 seismic revenue not disclosed. Seismic share of order book: 4.4% (Nov-2025) (PPT 2QFY26) [M].
4. Smaller O&M/EPC: Oilmax Amguri O&M (related party; sale of services to Oilmax Rs.27.8cr FY26) (AR FY26, p.223) [A]; PY-3 offshore flowlines/O&M for Hardy/Svetah; AGCL compressor station BOOT ~Rs.200cr of which ~Rs.82cr in year one (Press Release 17-Dec-2024) [M].
5. Indrora 50% participating interest: crude sales Rs.4.99cr "sale of goods" FY26 (AR FY26, p.226, Note 51) [A]; wells in CWIP Rs.46.1cr (Note 4) [A].

Share of revenue: FY21 97%, FY22 73%, FY23 57%, FY24 63%, FY25 41%, FY26 80% [D from model].

Margin under stress (segment result / segment revenue) [D]: FY21 35%; FY22 29%; FY23 –0.5% (Rs.63cr revenue); FY24 21%; FY25 17%; FY26 16%. Quarterly: Q2FY25 14% (Rs.25cr revenue, monsoon) (PPT 2QFY26, p.7) [M]; Q4FY25 10% on Rs.106cr because of an unrecognised cost-escalation claim on the PY-3 job ("we have recorded only the cost, and we have not recorded any cost escalation") (Q4FY25 call) [M]; Q1FY27 13.6% (Rs.33.3cr on Rs.244.8cr) with Kuiper inside (PPT 1QFY27, p.10) [M]. Stripping Kuiper at ~7% on ~Rs.299cr (Rs.21cr) from the FY26 result leaves India oil & gas at roughly Rs.81cr on Rs.334cr, ~24% [D, approximate].

What that says about the cost structure: (a) revenue falls to near zero when a seismic crew is idle (monsoon, local issues, tender gaps) while crew and camp costs continue — a ~Rs.60cr quarterly swing wiped out the segment result in FY23; (b) O&M carries a largely fixed manpower cost against a fixed monthly fee, so it is stable but low-margin; (c) Kuiper is a pass-through manpower business — 86% of revenue is crew salary; (d) management's stated gross margins: seismic 30–35% "but we need to… take into account the depreciation and the equipments"; CHP and O&M 20–23% (Q2FY25 call) [M].

Capacity position: ~16,000 wireless and cabled channels (PPT Dec2019, p.309) rising to "~30,000 Wireless and Cabled channels" (PPT 4QFY20, p.363) [M]; 13,000 wireless channels in a single spread (PPT 4QFY20, p.456) [M]; vibroseis trucks commissioned 2020 (Press Release 13-Jul-2020) [M]; "10 crews… currently operational" (PPT Jun2017, p.231) [M]; "8 ongoing seismic projects in India" (Press Release 4QFY21) [M]; "equipments and resources which can easily do Rs.300 to Rs.350 Crore of annual seismic business" (Q2FY20 call) [M]. Current crew count: not disclosed since FY21. Oilfield equipment gross block Rs.253.3cr, 74% depreciated, net Rs.66.1cr; additions only Rs.0.9cr in FY26 (AR FY26,

p.184, Note 3) [A]. Growth in this segment is now volume-led through contracts that need little owned equipment (Vedanta, Kuiper) rather than realisation-led; management now describes the model as "limited equipment ownership" (PPT 4QFY26, p.20) [M].

Legal entities: AESL standalone (India seismic, O&M, Vedanta, Indrora PI); Asian Oilfield & Energy Services DMCC (Dubai) holding Kuiper Holdings Ltd (ADGM) and Kuiper Group Ltd (Cayman) and ~20 operating entities (OCB Oilfield Services DMCC, Nexus People Management KSA, PT Oilfield Crew Management Indonesia 49%, Kuiper HR Management WLL Qatar 49% via nominee, etc.) (AR FY26, p.219–220, p.231) [A]; AOSL Petroleum Pte (Singapore); Cure Multitrade (51%) / Ivorene (Nigeria, dormant); Optimum Oil & Gas (74%); AOSL Energy Services Ltd — 26% being sold to Sadhav Shipping for Rs.26,000 to form a marine JV (Order 21-Aug-2026) [M]. Note that the largest FY26 profit contributor in the group was OCB Oilfield Services DMCC at Rs.34.3cr, 66% of consolidated profit (AR FY26, p.231, Note 56) [A] — i.e. Kuiper's Dubai entity, not the Indian parent (Rs.44.8cr, 86.5%, before consolidation eliminations) [A].

5.2 Mineral and other energy segment

What it sells and to whom: turnkey coal handling plants (design, supply, civil, structural, erection, commissioning, often 5-year O&M / DLP O&M) for Coal India subsidiaries ECL (Hura 3 Mtpa, Rajmahal plough feeders), CCL (Karo with silo loading), MCL (Lakhanpur, 7 years, Rs.459cr incl. GST), SCCL (Singareni RG-3 CHP; PKOCP belt conveyors Rs.148.5cr + GST), HEC (Gevra expansion, Rs.236cr), and from Jun-2026 GSECL (Ukai CHP stage-II, lump-sum EPC Rs.187.62cr incl. GST, 2–3 years) — "first major order outside Coal India" (Press Release 22-Jun-2026) [M]. "we have no contract in the coal side, which is linked to the production or output" (Q2FY26 call) [M].

Share of revenue: FY21 3%, FY22 28%, FY23 43%, FY24 37%, FY25 59%, FY26 20% [D].

Margin under stress [D]: FY21 –57% (Rs.7cr revenue, start-up); FY22 46%; FY23 14%; FY24 17%; FY25 22%; FY26 20%; Q2FY26 14% on Rs.27cr when "the entire quarter was washout, and we could work only... maybe 20, 25 days" (Q2FY26 call) [M]; Q4FY25 24%; Q1FY27 18% (PPT 1QFY27) [M]. Management: "In the normal scenario, our revenue from the coal handling plant should be 2x or 3x of what we have done in the Q2" (Q2FY26 call) [M], and "our ability to generate superior margins have increased. The learning curve for this particular business is seems to be over" (Q2FY25 call) [M]; Hura (first project) had the lowest margins (Q2FY25 call) [M].

Cost structure: bought-in steel, structures, conveyors and equipment (stores and consumables Rs.212.4cr in FY25, when CHP was 59% of revenue) plus sub-contracted civil/erection (sub-contracting Rs.63.2cr FY25, Rs.120.7cr FY26) (AR FY26, p.203) [A]. Hence margin is protected in a wash-out quarter (variable cost falls with revenue) but cash is trapped: retention money Rs.95.2cr at Mar-2026 (Rs.53.5cr Mar-2025) (AR FY26, p.191, Note 14) [A].

Capacity position: execution teams, not plant. Six projects were under execution in May-2025 (Q4FY25 call) [M]; "AESL is now executing 4 contracts in the infrastructure space" (Jan-2024) [M]. Capacity is bounded by site teams and bank-guarantee lines (Rs.950m non-fund-based limits rated by Ind-Ra, Mar-2025) (Credit Rating 21-Mar-2025) [S]. Growth is volume-led (new awards), with a stated win rate ">50%" in CHP tenders (Q2FY25 call) [M].

Legal entities: this segment runs largely through unincorporated JVs (Associations of Persons) that hold the client contract, with AESL billing the JV: Zuberi Asian JV 49% (May-2022, Hura), AESL FFIL JV 49% (Oct-2022), Asian Indwell JV 80% (Mar-2024, SCCL PKOCP with Indwell), Asian Oilmax JV 70% (Mar-2024), Asian Global JV 80% (Apr-2025) (AR FY26, p.228, Note 53) [A]. AESL's "sale of services" to these JVs: Rs.235.5cr FY25 (51% of consolidated revenue), Rs.239.6cr FY26 (30%) counting Oilmax (AR FY26, p.223 and p.226, Note 51c) [A]. The JVs are equity-accounted ("The Holding Company is not required to have any investment in these entities") and their own FY26 revenue was Rs.6.3cr (ZA), Rs.52.0cr (AF), Rs.64.7cr (AI), Rs.1.9cr (AO) (Note 53) [A]. Implication: a large share of "mineral" revenue is AESL billing a related-party AOP that it controls 49–80% of; receivables from the JVs were Rs.91.0cr at Mar-2026 (Note 46C) [A].

R6. Value chain and business model

6.1 Chains, line by line (text diagrams)

Seismic data acquisition (India):

Inputs [survey permits, land access and crop compensation → geophysicists/observers (own) + ~100s of local labour per crew (hired) → recording channels, geophones, vibroseis or shot-hole drilling rigs (own, 74% depreciated) + hired vehicles/machinery → fuel, camps, explosives] → Process [line clearance, drilling/vibrating, recording, field QC; monsoon shut-down 3–4 months in NE/Gujarat] → Product [2D line-km / 3D sq-km of seismic data, with processing bought in or sub-contracted] → Customer [ONGC, Oil India, Vedanta, Sun Petrochemicals, GAIL, CMPDIL; tender/L1] → End user [the operator's exploration programme; the Government via NSP/OALP/Mission Anveshan].

Oilfield O&M / integrated field development:

Inputs [operations engineers, technicians, HSE staff (own, posted at site) → spares and consumables (reimbursable or priced in) → sub-contracted drilling rigs, workover, logistics, process-plant fabrication] → Process [take over a facility/field; run it to uptime and production KPIs; for Vedanta, drill wells and build facilities under an approved FDP] → Product [facility availability; incremental barrels] → Customer [Vedanta (Suvali; Rajasthan satellite fields), Oilmax (Amguri), Hardy/Svetah (PY-3), AGCL (compressor BOOT)] → End user [the operator's production and the state's royalty].

Coal handling plant EPC (and O&M):

Inputs [design engineering (own) → structural steel, conveyors, crushers, silos, electricals (bought; "almost all the material is domestic supplied", Q4FY26 call) → civil works and erection (sub-contracted) → project managers (own)] → Process [18–24 month build on an operating mine, weather-dependent civil] → Product [commissioned CHP/rapid loading system; then 5-year O&M or DLP O&M] → Customer [ECL/CCL/MCL/SCCL/HEC/GSECL via the JV/AOP] → End user [Coal India's first-mile connectivity programme; railways/power plants].

Kuiper manpower:

Inputs [database of offshore drilling, marine, EPCI personnel; visas, mobilisation, insurance; local sponsor entities (Qatar 49%, Indonesia 49%)] → Process [recruit, mobilise, payroll under multi-year master service agreements] → Product [day-rate crews] → Customer ["top-tier EPCI, drilling and other energy service companies" in KSA, Qatar, UAE, SE Asia, Africa] → End user [NOCs and IOCs' offshore programmes].

Indrora/Mevad (PI owner): inputs [wells (CWIP), Oilmax as operator, sharing of producing expense Rs.0.7cr FY26] → crude sold to IOC on a dated-Brent formula (Q4FY26 call) [M] → Government revenue share Rs.0.48cr (Note 51a) [A].

6.2 Key inputs and who bears inflation (FY26 consolidated, AR FY26, p.203, Note 30; p.161) [A]

Cost line	FY25	FY26	FY26 % of revenue
Crew salary and related cost (Kuiper)	–	256.1	32.4%
Stores and consumables	212.4	170.4	21.5%
Sub-contracting charges	63.2	120.7	15.3%
Employee cost related to projects	22.3	27.5	3.5%
Machinery hire	33.8	16.7	2.1%
Technical consultancy	8.2	15.3	1.9%
Labour charges	7.9	7.2	0.9%
Vehicle hire	5.3	2.5	0.3%
Power and fuel	1.3	1.2	0.1%
Repairs – plant	6.4	1.3	0.2%
Total project-related expense	368.7	622.3	78.7%
Employee benefits (non-project)	12.1	42.3	5.3%

Points: fuel is immaterial at the consolidated level (0.1%); the inflation exposure is wages (Kuiper and Indian crews) and bought-in steel/equipment for CHP. Machinery hire halved as CHP activity fell and as seismic used owned spreads. Total people cost (crew + project employees + employee benefits) was Rs.326cr, 41% of revenue, in FY26 [D].

Who bears input inflation:

- Seismic: unit-rate contracts (per LKM/sq-km) under callout orders with progressive monthly billing ("we complete the job, we raise invoice and we get paid. So it will be monthly", Q3FY20 call) [M]; no escalation clause disclosed;

weather and local-issue risk sits with the contractor (force majeure stops revenue but not cost; PBG encashment on Manipur).

- CHP: lump-sum/turnkey with milestone billing and cost-to-completion accounting ("most of our projects, which are the EPC projects, they have a defined milestone billing", Q4FY25 call) [M]; price variation clauses not disclosed; contractor bears steel and civil inflation and retention (5–10%).
- Vedanta integrated: "We do not take the output risk. So yes, some of our revenue is in dollar per barrel. That is related to the operating cost. The capital we incur on the project is reimbursed by Vedanta... we have bid a number, which will be reimbursed" (Q2FY26 call) [M] — capex is fixed-price-with-margin, opex is $/bbl on baseline plus incremental barrels; "we are neutral to oil price, it's a service contract" (Sep-2025 merger call) [M].
- PY-3 (services): a weather-driven delay produced a cost escalation claim that the client "noted and recorded" but AESL did not recognise in Q4FY25; the amount was "slightly confidential" (Q4FY25 call) [M]. Outcome never disclosed.
- GST: the Sep-2025 increase from 12% to 18% on oil and gas services is passed to the client "because the client will pay for the GST"; the cost sits with field ownership (Sep-2025 merger call) [M].
- Kuiper: cost-plus day rates under MSAs; FX in USD/AED; "Interest... linked to SOFR" on the acquisition loan (AR FY26, p.197) [A].
- Payment terms: "30 to 60 days except retention monies which are due after the completion of the project" (AR FY26, p.227, Note 51g) [A]; management describes seismic at 60–90 days and O&M at "zero" working capital (Q2FY20, Q3FY20 calls) [M], and the group at "45 to 75 days... barring the retention" (Q2FY26 call) [M]. Actual FY26 debtor days 132, 209 including unbilled (model) [A].

6.3 Where value and IP sit; bought-in vs in-house

- In-house: seismic crew management and QC (the historical differentiator — "first Indian company to adopt wireless technology", IAGC/ISO certification), facility operations teams, CHP design and project management, bid preparation, Oilmax's subsurface/drilling know-how post-merger.
- Bought in: seismic processing (partly), all CHP equipment and civil works, drilling rigs and workover units, vessels, most hired machinery; Kuiper's product is itself bought-in labour.
- Certifications/approvals: "ISO Certified Company and IAGC Certified Contractor"; "Pre-Qualified by Majors and Independents such as Petronas, Total, Bashneft, ONGC, OIL, Jubilant, Reliance, Essar and others" (PPT Jun2017) [M]; Oil India three-year empanelment for onshore 2D/3D (Jun-2026) — "Contract awards will be subject to separate tendering processes" (Order 5-Jun-2026) [M]; ONGC tender ban Sep-2024 to Mar-2025 (Orders 20-Sep-2024, 10-Feb-2025) [M]; for MDO or offshore work AESL needs partners — "we will definitely try to tie up with some technical partner" (Q2FY25 call), "discussing collaboration agreements with companies who will give us qualification to participate in seismic businesses... offshore" (AGM Sep-2021) [M].
- Position in chain and who captures margin: AESL is a tier-1 contractor to NOCs/large privates in seismic and O&M, but in CHP it is frequently a JV lead billing an AOP, and in Gevra it was HEC's sub-contractor. The operator captures the resource rent; AESL earns a 15–25% operating margin on India services and ~7% on Kuiper. There is no proprietary technology; the wireless-seismic edge of 2013–2020 has not been renewed (equipment additions Rs.0.9cr in FY26).

R7. Moat, in layers

Scepticism up front: this is a contracting business in which every large contract to date has come from an open tender or a negotiated single award, several have ended in dispute (Koral, Amni, ONGC holiday, Oil India PBG), and the CRISIL rationale cites "exposure to intense competition, government regulations and policies, and the working capital-intensive nature of operations" (Credit Rating 10-Sep-2025) [S]. The layers below are thin and mostly replicable.

Layer	Evidence	Years for a well-funded entrant	Strength
Qualification / pre-qualification	ISO + IAGC; pre-qualified with ONGC, OIL, Petronas, Total, Bashneft etc. (PPT Jun2017) [M]; OIL three-year empanelment (Jun-2026) [M]; "project completion provides automatic qualification" for similar tenders (Q2FY25 call) [M]. But ONGC could ban AESL for six months on "certain technical grounds" relating to completed 2017/2018 contracts (Order 20-Sep-2024) [M].	2–4 years (one completed reference job per category); CHP qualification is held via JV partners (Zuberi, FFIL, Indwell, Global), which an entrant can also hire.	Moderate in seismic (crew references, equipment), weak in CHP (JV-

Layer	Evidence	Years for a well-funded entrant	Strength
			based), nil in manpower.
Customer relationships	Vedanta: Suvali O&M since 2022, extended on same terms; Rs.772cr integrated award Jul-2025; seismic since 2019. Coal India subsidiaries: ~8 awards since 2022, ">50%" win rate (Q2FY25) [M]. ONGC: 12–13% of revenue on 5-year average (Q2FY25 call) [M] but a holiday order in 2024. Oil India: Rajasthan 2D, empanelment; but PBG encashment and Tripura short-closure.	3–5 years of execution to reach Vedanta's trust; Coal India tenders are open L1 and the competitor set named is small ("Samanta… Madhucon", Q2FY26 call) [M].	The Vedanta relationship is the one real asset; the PSU relationships are transactional.
Cost position	"Our USP is that we are the most economical solution provider for the entire value chain" (Q2FY20 call) [M]; Vedanta integrated model "delivering significant cost savings" (PPT 4QFY26, p.6) [M]. No external evidence; margins (16–24% India O&G, 20% CHP) are not evidence of structural cost advantage.	1–3 years.	Weak/unproven.
Equipment ownership vs hire	Owns ~30,000 channels, vibroseis, drilling units (2020) [M]; oilfield equipment gross Rs.253cr, net Rs.66cr [A]. Management now sells "limited equipment ownership" (PPT 4QFY26) [M]. CHP and O&M need no owned plant.	1–2 years and ~Rs.100–150cr to buy a comparable modern spread (AESL's own Rs.70–75cr capex for the 2020 spread, Q3FY20 call) [M].	Weak and decaying; equipment is 74% depreciated.
Regulatory protection	None. Indian onshore seismic and CHP tenders are open to any qualified bidder; the Kurdistan/Iraq/Nigeria episodes show no protection abroad. Oil & gas field ownership (post-merger) is licensed, but that is Oilmax's asset, not a services moat.	n/a	Nil.
Geography	India NE/Rajasthan/Gujarat seismic experience; Kuiper's licences and local-sponsor entities in Qatar (49% nominee), KSA, Indonesia (49%) give a presence that takes time to set up (AR FY26, p.220) [A].	2–3 years to set up local entities and MSAs; or buy a Kuiper-type platform for USD 9m, as AESL did.	Modest.
People	~300 employees (2017), 295 permanent (FY23), >500 (FY26) [M/A]. Key-person churn: COO (ex-Schlumberger) resigned after nine months (Jul-2024); VP–Infra Projects resigned Jul-2025; VP–Seismic, Head–Procurement and others resigned Aug-2026 (Management-Changes filings) [M]. ESOP pool 2% (May-2025) [M].	1–2 years to hire; AESL itself hired its 2013 team from WesternGeco/Schlumberger.	Weakest layer.

Weakest layer: people and equipment — exactly the two inputs that make a seismic/O&M contractor. Strongest: the Vedanta relationship and the JV-held Coal India references, both of which are contract-specific and expire with the contract. A well-funded entrant (or an incumbent such as a drilling/oilfield-services peer) could replicate the whole stack in three to five years; the Kuiper platform could be bought for the price AESL paid.

R8. Capacity, capital intensity and capex

8.1 Asset table

Asset / capacity item	Quantity and status	Owned / hired	Utilisation	Source
Seismic recording channels	~16,000 (2019) → ~30,000 wireless and cabled (Jun-2020); 13,000-channel wireless single spread	Owned; oilfield equipment gross Rs.253.3cr, net Rs.66.1cr at Mar-2026	Not disclosed; Rs.300–350cr seismic p.a. capacity claimed (Q2FY20) vs Rs.72cr seismic revenue FY25 → ~20–25% [D]	PPT Dec2019 p.309; PPT 4QFY20 p.363, p.456; AR FY26 Note 3; Q2FY20, Q4FY25 calls
Vibroseis units	"newly acquired Vibroseis" for Rajasthan (Jul-2020); count not disclosed	Owned	n/d	Press Release 13-Jul-2020
Seismic crews	10 crews (2017); 8 projects live (Mar-2021); current count not disclosed	Own supervisors + hired labour	n/d	PPT Jun2017; Press Release 4QFY21
O&M sites	Suvali (Vedanta), Rajasthan satellite fields (Vedanta, from Jul-2025), Amguri (Oilmax), PY-3 offshore, AGCL compressor (Assam)	People on site; AGCL compressor is BOOT	n/a	PPT 2QFY26 p.13
CHP projects	Awarded 2022–26: Hura (ECL), Gevra (HEC), Singareni RG-3 (SCCL), Karo (CCL), PKOCP (SCCL), Rajmahal (ECL), Lakhanpur (MCL), Ukai (GSECL). Six under execution May-2025; three "likely to be completed into this financial year" FY26 — completion not confirmed in any later filing	Site teams; equipment bought-in	n/a	PPT 2QFY26; Q4FY25 call

Asset / capacity item	Quantity and status	Owned / hired	Utilisation	Source
Kuiper	~20 entities in UAE, KSA, Qatar, Indonesia, Malaysia, Singapore, Thailand, Brunei, Egypt, Cyprus, Namibia; fixed assets acquired Rs.4.5cr; net assets at fair value Rs.162.8cr; capital reserve Rs.40.0cr on a Rs.122.8cr net investment	Asset-light	Run-rate Rs.40–45cr/month	AR FY26 Note 55, p.230
Oil assets (Indrora PI)	Oil assets gross Rs.36.2cr; CWIP "Oil wells in progress" Rs.46.1cr (Rs.44.4cr added FY26); decommissioning provision Rs.5.2cr	Owned 50% PI; Oilmax operator	~150–200 bopd block level (May-2026)	AR FY26 Note 3, 4, 24; PPT 4QFY26 p.32
Vehicles / vessels / buildings	Vehicles gross Rs.27.0cr (99% depreciated); vessels Rs.9.4cr; buildings Rs.2.6cr	Owned; vehicle loans Rs.3.0cr	n/d	AR FY26 Note 3, p.197

CWIP Rs.46.1cr at Mar-2026 is entirely "Oil wells in progress" — the Indrora/Mevad drilling (NM-01, NM-02) — not BOOT assets (AR FY26, p.184, Note 4) [A]. Where the AGCL compressor BOOT capex sits is not identifiable: management guided Rs.40–45cr capex in FY26 for it (Q4FY25 call) and Rs.20cr in H1 + Rs.40cr in H2 (Q2FY26 call) [M], yet FY26 PPE additions were only Rs.15.8cr (Note 3) and there is no BOOT/concession line in the balance sheet; the ~Rs.82cr first-year FOT consideration (Press Release 17-Dec-2024) suggests the supply was recognised as revenue/receivable rather than capitalised. Not disclosed — flagged in Gaps.

8.2 Gross block, asset turns, capex

	FY24	FY25	FY26
Gross PPE (consolidated)	300.9	321.4	346.6
Net PPE	110.2	114.9	113.5
CWIP	1.2	2.6	46.1
PPE additions + CWIP additions (capex)	29 (model)	22.0 + 1.5	15.8 + 44.4 = 60.2 (model: 61)
Depreciation	17.0	17.7	18.9
Revenue / average gross PPE	—	1.5x	2.4x consolidated; 1.5x standalone (Rs.492cr) [D]
Net cash from operations	–49.8	–33.1	+26.0

Sources: AR FY26 Note 3–4, p.184; AR FY24 p.4407; AR FY25 p.4543; AR FY26 p.5021 (cash-flow lines) [A]; model for FY24 capex. Model gross block Rs.363cr presumably adds intangibles/ROU/CWIP to the Rs.346.6cr PPE figure.

Maintenance vs growth: depreciation (Rs.17–19cr) exceeded PPE additions in FY26 (Rs.15.8cr), of which oilfield equipment was Rs.0.9cr — the seismic fleet is not being renewed. Growth capex in FY26 was wells (Rs.44.4cr CWIP + Rs.6.6cr oil assets) and the Kuiper purchase (USD 9.25m; Rs.87.6cr SPA consideration + Rs.35.3cr working-capital adjustments = Rs.122.8cr net investment, Note 55) [A]. Capitalised costs: no borrowing costs or contract costs capitalised (Note 51f: cost to obtain contract nil) [A]. Capital commitments: "There are no capital commitments as on respective reporting periods" (AR FY26, p.226, Note 49) [A]. Planned: "no capex commitment… for our services business or for international expansion… drilling more wells in our Indrora and Mevad field… overall commitment… roughly around INR100 crores. And… our portion will be roughly around INR50 crores" (Q4FY26 call) [M]; six more wells planned (Q4FY26 call) [M].

Can it self-fund? Three-year CFO is –Rs.57cr [D from the lines above]. Growth has been funded by equity and debt: Rs.85cr warrants (Jun-2023), Rs.157cr warrants (Nov-2024, Rs.92cr balance received May-2026), a Rs.32.1cr Bank of Maharashtra term loan for plant and machinery (9.30%, to FY30), a USD 6.7m Kotak loan for Kuiper (SOFR+, to FY31), and working-capital lines from Bank of Maharashtra, Union Bank and Citi secured by Oilmax corporate guarantees and the Garg family's personal property (AR FY26, p.197, Note 23) [A]. Gross borrowings rose from Rs.23.7cr (Mar-2025) to Rs.158.1cr (Mar-2026) against cash and bank balances of Rs.146.8cr (PPT 4QFY26, p.12) [M] — the "net zero debt" claim holds only "on a standalone basis" (AR FY26, p.20) [M]. Receivables + unbilled rose by Rs.201cr in FY26 to Rs.512cr (Notes 14, 17) [A]; contract assets nearly doubled "primarily due to lower progress billing as compared to revenue recognition" (Note 51e) [A]. Verdict: the services business can fund maintenance capex but not its own working capital at the current growth rate; the plan relies on Oilmax's "negative working capital" post-merger (Q2FY26 call) [M] and bank lines.

8.3 Slipped projects: original vs current dates

Project	Original date (source)	Later date(s)	Status Oct-2026
Hura CHP (ECL), LoA Feb-2022	"on track to be commissioned during 2023-24" (AR FY23, p.8)	"will commission its first CHP project at Hura" in FY25 (AR FY24, p.22); "almost 95% complete… next couple of months" (Q2FY25 call, Nov-2024); "three projects… completed into this financial year" (Q4FY25 call, May-2025)	No commissioning disclosure found
Singareni RG-3 CHP (SCCL)	"on track to be commissioned during early 2024-25" (AR FY23, p.8)	included in the three "to be completed" in FY26 (Q4FY25 call)	Not confirmed
Gevra (HEC), Rs.236cr	18–24 month CHP, started FY22	"slowed down… phasing" (Q1FY23 call); still listed in order book Nov-2025 (PPT 2QFY26)	Not confirmed; ~4 years
AGCL compressor BOOT	"Mobilisation of 1st Compressor… Q4FY25 and the rest… following Financial Year" (Press Release 17-Dec-2024)	capex "to complete that project" in H2FY26 (Q2FY26 call)	Not disclosed
PY-3 flowlines (Hardy) LoI Mar-2024	"will be executed in FY25" (Press Release 14-Mar-2024)	"delayed due to delay in vessel delivery… Q4" (Q2FY25 call); "likely to get completed in Q1 of FY '26" with unrecognised cost escalation (Q4FY25 call)	Claim outcome not disclosed
Indrora production	">300 BOEPD by the end of the calendar year [2023]… potential… 700 BOEPD" (Press Release 27-Apr-2023)	"about 100 barrels a day" (Sep-2025 merger call); "~150/200 bopd" (PPT 4QFY26); 1,000 bopd "by FY27" (Q4FY26 call)	Missed to date
Tiphuk (Oilmax)	"Expected production in FY26" (PPT Sep2025 merger deck)	"Q3 FY26" (AGM MD deck Sep-2025); "Q1 FY27" (PPT 4QFY26, p.37)	Not confirmed
Duarmara (Oilmax)	"Expected production in FY26" (Sep-2025)	"FY27"; "difficult for me to commit to a date" (Q4FY26 call)	Slipped
Langley MOPU, Nigeria (Amni)	"complete the entire project by September 2020" (Q3FY20 call)	suspended Nov-2020; terminated Aug-2021	Never completed; Rs.62cr receivable (FY21)
Bashneft Iraq seismic, USD 37m	"sign a contract maybe in December [2019]" (Q2FY20 call)	excluded from order book Feb-2020	Never executed
Charaideo onshore facility + 10-year O&M (Oilmax), ~Rs.200cr	"Design work… has begun… awaiting government [approvals]" (PPT Dec2019)	replaced by Amguri O&M from Jun-2021 (AGM Sep-2021)	Not disclosed as cancelled; dropped from order book
Kuiper closing	"within the next two months" (Press Release 18-Apr-2025); "end of June" (Q4FY25 call)	closed 29-Aug-2025	Delivered, 2 months late
Oilmax merger	"~12 months" (Sep-2025)	NCLT order pronounced 29-Sep-2026	On time

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R9. Customers, contracts and revenue visibility

9.1 Concentration (consolidated revenue note, audited) [A]

FY	Revenue	Top customer	Top 1 %	Top 3	Top 3 %	Customers >10%	Source
FY17	124	63.5	51%	115.0	93%	5	AR FY18 p.143
FY18	222	126.6	57%	198.4	89%	4	AR FY18 p.143
FY19	194	99.5	51%	169.9	88%	3	AR FY19 p.153
FY20	273	238.6	87%	269.3	99%	1	AR FY20 p.173
FY21	229	105.8	46%	200.3	87%	3	AR FY21 p.157
FY22	260	102.0	39%	180.8	69%	4	AR FY22 p.173
FY23	110	47.4	43%	84.2	77%	4	AR FY24 p.193
FY24	305	95.7	31%	170.9	56%	4	AR FY24 p.193
FY25	465	112.7	24%	246.6	53%	4	AR FY25 p.199
FY26	791	143.0	18%	264.4	33%	3	AR FY26 p.221

Names are not disclosed in the note. Inference [D]: FY18 Koral (Nigeria O&M), FY19–FY20 Amni (Nigeria MOPU), FY21–22 Vedanta (seismic + Suvali), FY25 most likely a CHP JV/AOP (sale of services to Asian Indwell JV was Rs.111.3cr, Note 46B) or Vedanta, FY26 most likely Vedanta (Suvali ~Rs.50cr p.a. plus the integrated contract) or a Kuiper client. Top-10 share is not disclosed. Related-party revenue (JVs + Oilmax) was 51% of FY25 and 30% of FY26 revenue (AR FY26, p.226, Note 51c) [A]. Note the tension with management's statement that "in the last year also not a single customer comprises more than 20% of our revenue" (Q4FY25 call, May-2025) [M] versus the audited 24.2% top customer for FY25; the statement may treat each AOP/subsidiary separately. Oil & gas order book is "~68%… from oil & gas" (PPT 4QFY26); the Vedanta integrated contract alone (~Rs.772cr less execution) is roughly 40% of the Rs.1,750cr book [D].

9.2 Contract type, tenure, pricing, switching cost, payment

Business	Contract type / tenure	Pricing	Switching cost for customer	Payment terms
Seismic	Tender L1; 6–18 months; callout orders under framework LoAs (Vedanta 2020); OIL empanelment 3 years	Per LKM / sq-km unit rates; mobilisation advance on mobilisation	Low — next tender	Monthly progressive, 30–45 days after invoice; "no retention money as such" (Q2FY20)
Facility O&M (Suvali)	4 + 1 years; extended one year on same rates	Fixed fee plus reimbursables (~Rs.50cr p.a. "plus reimbursables", Q1FY23)	Moderate — site knowledge, mobilised crew (two months to mobilise)	30–60 days
Integrated field development (Vedanta Rajasthan)	57 months; FDP implementation	Capex reimbursed per bid; opex $/bbl baseline and incremental; no output risk	High during the contract (AESL drills and operates)	n/d
CHP EPC (+O&M)	Tender via JV; 18–24 month build + 5-year O&M or DLP; MCL 7 years; GSECL 2–3 years lump-sum	Lump-sum/turnkey, milestone billing	High mid-build; nil after handover	30–60 days; 5–10% retention until completion (Rs.95cr held at Mar-2026)
AGCL compressor	BOOT 3 years	~Rs.82cr year-one FOT, balance over term	Moderate	n/d
Kuiper	Master service agreements 2–5 years; "minimum 2 to 3 years of revenue coverage" (Q4FY25)	Day rates per head	Low — commodity manpower; Saudi "de-hired some offshore assets" in 2024	60–90 days (Q2FY26)

Why receivables run at 209 days including unbilled: (i) retention Rs.95.2cr (27% of trade receivables) released only on project completion; (ii) unbilled contract assets Rs.163.9cr from cost-to-completion revenue on CHP and the Vedanta ramp-up, with "lower progress billing" (Note 51e); (iii) Rs.91.0cr owed by the CHP JVs/AOPs and Rs.10.5cr by Oilmax (Note 46C); (iv) legacy impaired debtors Rs.22.1cr, of which Rs.18.8cr >3 years (Note 14 ageing) [A]. Management's 60–70 day claim excludes retention and unbilled.

9.3 Order book history (dated) against trailing revenue

Date	Order book (Rs. cr)	Definition / mix	Trailing-12-month revenue [A]	Book-to-bill [D]	Source
Jun-2017	~1,120 (seismic 503 + O&M 617)	incl. Koral USD 95m 5-yr	124 (FY17)	9.0x	PPT Jun2017
Nov-2017	700		~150	~4.7x	PPT 2QFY18
Dec-2017	631		~180	~3.5x	PPT Dec2017
30-Jun-2019	850 gross	seismic 37%, production assets (Amni, Charaideo), Iraq	194 (FY19)	4.4x	PPT 1QFY20
30-Sep-2019	770 (765)	Rs.20cr NC Hills removed (force majeure); 10-yr Rs.200cr Oilmax job inside	~215	3.6x	Q2FY20 call; PPT 2QFY20
31-Dec-2019	997 ex-GST (1,343 incl. Iraq per Dec-2019 deck)	seismic 58% after Rs.570cr Vedanta; Iraq USD 37m excluded	~250	4.0x	Q3FY20 call; PPT Dec2019
Feb-2020	"about Rs.1000 Crore"; "next year orderbook is already filled up"		273 (FY20)	3.7x	Q3FY20 call
Sep-2020 (AGM)	callout orders signed Rs.310cr; 15 tenders ~Rs.1,000cr in pipeline		273	—	AGM Sep-2020
Aug-2022	">Rs.500 crores", seismic Rs.60cr	"majority… coal handling… includes a long-term… O&M"	260 (FY22)	1.9x	Q1FY23 call
Jun–Nov-2023	~900	3 CHP, 3 O&M, 4 seismic contracts	110 (FY23)	8.2x	Order 19-Jun-2023; Press Releases 1QFY24, 2QFY24
Feb-2024	832 (mining 337 + O&G 495); "~Rs.1,200cr" after CCL Rs.250cr		~190	~5x	PPT 3QFY24; Press Release 6-Feb-2024
May-2024	">Rs.1,000cr"; 5 mining + 6 O&G contracts		305 (FY24)	3.3x	Press Release 4QFY24
18-Jun-2024	1,033	CHP 63% (646), O&M 33% (345), seismic 4% (42)	305	3.4x	PPT 4QFY24
30-Jun-2024	1,022	61 / 34 / 5	~320	3.2x	PPT 1QFY25
30-Sep-2024	997	56% (554) / 33% (333) / 11% (110)	~360	2.8x	PPT 2QFY25; Q2FY25 call
31-Dec-2024	1,150	43% (498) / 46% (527) / 11% (125) — AGCL added	~400	2.9x	PPT 3QFY25
31-Mar-2025	973	36% (350) / 56% (550) / 8% (74); "oil & gas 64%"	465 (FY25)	2.1x	PPT 4QFY25; Q4FY25 call
12-Aug-2025	1,688 ex-GST	19.3% (327) / 75.2% (1,270) / 5.5% (92) — Vedanta Rs.772cr added	~520	3.2x	PPT 1QFY26
14-Nov-2025	2,005 ex-GST	33.2% (667) / 62.4% (1,251) / 4.4% (88) — MCL added	~525 (standalone basis)	3.8x	PPT 2QFY26
31-Dec-2025	1,893	standalone, ex-Kuiper	~500 standalone	3.8x	Press Release 3QFY26
31-Mar-2026	1,750	O&G 68% (1,184) / mineral 32% (566)	492 standalone	3.6x	PPT 4QFY26
30-Jun-2026 / Aug-2026	1,754	O&G 60% (1,055) / mineral 40% (699) — GSECL added; "active bidding… Rs.3,000-4,000 crore"	~526 standalone	3.3x	PPT 1QFY27; AGM Sep-2026

Observations: (a) the definition changed in Aug-2023 to "third-party contracts" (excluding Indrora) and in Aug-2025 to "standalone, excluding Kuiper and Oilmax, excluding GST"; earlier figures were gross and sometimes included GST and foreign awards that never converted (Iraq, Charaideo); (b) book-to-bill of 3–4x looks high only because the book contains 4–7-year O&M/DLP tails — management guided that "roughly around 60% to 70% order book will get executed in this year and the next financial year" (Q2FY26 call) [M]; (c) the Nov-2025 to Mar-2026 run-off (2,005 → 1,750) against ~Rs.317cr standalone revenue in H2FY26 implies ~Rs.60cr of new awards in H2 [D]; (d) the Dec-2019 Rs.1,343cr and Jun-2017 Rs.1,120cr books both preceded revenue declines, because the headline numbers carried undeliverable foreign contracts.

9.4 Order wins since 2022 (Reg 30 filings and press releases) [M]

Date	Customer	Value (Rs. cr)	Scope	Tenure	Source
24-Jan-2022	Vedanta Ltd	248 incl. GST	Integrated O&M, Suvali onshore facility + Cambay offshore platforms	4 yrs + 1 (extended to 31-Mar-2027 on 16-Mar-2026)	Order 24-Jan-2022; Order 16-Mar-2026
14-Feb-2022	Eastern Coalfields (via Zuberi Asian JV)	128 incl. GST	Hura C OCP CHP 3 Mtpa, design-build + O&M	EPC + 5-yr O&M	Order 14-Feb-2022
FY22 (date n/d)	HEC Ltd (Gevra, SECL)	236	CHP expansion, Asia's largest open-cast mine	n/d	PPT 4QFY24 p.901
FY23 (date n/d)	SCCL	n/d	Singareni RG-3 CHP (price negotiation Mar-2023)	n/d	AR FY23 p.6
19-Jun-2023	ONGC	78.24	3D seismic, Gujarat	11 months	Order 19-Jun-2023
5-Jul-2023	Oilmax (related party)	15 + production-linked	50% PI in Indrora DSF block	20-yr PML	Order 5-Jul-2023; AR FY23 p.15
2-Aug-2023	GAIL (India)	16.69	Seismic acquisition, block RJONHP20211, Rajasthan	6 months	Order 2-Aug-2023
12-Jan-2024	ECL (with JV partner)	21.9	Plough feeders and civil works, Rajmahal CHP	8–9 months	Press Release 12-Jan-2024
6-Feb-2024	CCL (with JV partner)	250 incl. taxes	Karo OCP CHP with silo loading, EPC + O&M	5-yr O&M	Press Release 6-Feb-2024
14-Mar-2024	Hardy Exploration (with partner)	~48 incl. taxes (LoI)	Flexible flowlines, risers, umbilicals, PY-3	FY25	Press Release 14-Mar-2024
13-Jun-2024	Sun Petrochemicals	37.71 ex-GST	3D seismic acquisition and processing, Gujarat	6 months	Order 13-Jun-2024
18-Jun-2024	SCCL (with Indwell)	148.5 + 18% IGST	Coal evacuation belt conveyors, PKOCP Manuguru	18 months	Press Release 18-Jun-2024
29-Sep-2024	Oil India	~82 incl. taxes	2D seismic 4,300 LKM, Rajasthan (Mission Anveshan)	18 months	Press Release 29-Sep-2024
17-Dec-2024	Assam Gas Company	~200 (82 in year one)	Compressor station on BOOT	3 years	Press Release 17-Dec-2024
18-Apr-2025 (closed 29-Aug-2025)	Kuiper Group (acquisition)	USD 9.25m	100% of Kuiper Holdings/Group	—	Order 18-Apr-2025; Order 30-Aug-2025
Jul-2025	Vedanta Ltd	772 ex-GST (865 incl.)	Integrated services / field development, Rajasthan satellite fields	57 months	PPT 1QFY26 p.6; Q2FY26 call
16-Jul-2025	Sun Petrochemicals	~46 ex-GST	3D seismic acquisition and processing, Gulf of Khambhat	12 months	Press Release 16-Jul-2025
4-Nov-2025	Mahanadi Coalfields (with JV partner)	~459 incl. GST and cess	Lakhanpur CHP, turnkey + DLP O&M	7 years	Press Release 4-Nov-2025
3-Dec-2025	Sun Petrochemicals	54.63	4D seismic acquisition and processing, Bhaskar field	1 year	Order 4-Dec-2025
5-Jun-2026	Oil India	nil (empanelment)	Onshore 2D/3D seismic empanelment	3 years	Order 5-Jun-2026
22-Jun-2026	GSECL	187.62 incl. GST	Ukai TPS CHP stage-II enhancement, lump-sum EPC	2–3 years	Press Release 22-Jun-2026
31-Aug / 7-Sep-2026	Oilmax (merging entity)	n/a	DSF-IV offshore block GK/OSDSF/GKOSN/2025 (50% PI, operator); Pakro vanadium-graphite composite licence LoI	—	Orders 1-Sep-2026, 7-Sep-2026

R10. Industry and market

R10.1 Addressable market by business line

(a) Indian onshore seismic data acquisition (AESL's legacy business; FY25 seismic revenue Rs 72 cr, ~9% of consolidated; FY24 ~Rs 120 cr [M, Transcript 4QFY25 p.10])

Volume: what India actually acquires per year (all operators).

Year	2D onland (GLKM)	3D total (SKM)	Of which ONGC nomination 3D	Of which OIL nomination 3D	Contract regime (PSC/RSC/CBM/HELP) 3D	Source
FY24 (2023-24)	2,375.81 (ONGC 971.81; contract regime 1,404; OIL nil)	15,700.57	8,588 (onland 2,334.30; offshore 6,253.70)	240.57	6,872	DGH, India's Hydrocarbon Outlook 2023-24, seismic table (dghindia.gov.in/assets/downloads/ar/2023-24/103) [S, via search summary; direct fetch returned 503]
FY25 (2024-25), nomination regime only	ONGC 191; OIL 71	ONGC 2,091 (offshore 1,572; onland 519); OIL 482 (onland)	2,091	482	not captured	DGH Annual Report 2024-25 p.71 [S, via search summary]

ONGC's own totals (including its OALP blocks, which the DGH "nomination" line excludes):

ONGC	2D (LKM)	3D (SKM)	of which in OALP blocks	Exploratory wells	Source
FY25	604	8,840	377 LKM / 6,141 SKM	n/a	ONGC Directors' Report FY25 (indiainfoline mirror) [S]
FY26	957.25	4,631.04	556.9 LKM / 4,016.47 SKM	100 (of 501 wells drilled; 578 in FY25)	ONGC Directors' Report FY26 (indiainfoline.com/company/oil-natural-gas-corpn-ltd/reports/directors-report, fetched 18-Oct-2026) [S]; ONGC 33rd AGM coverage, PSU Watch 31-Aug-2026 [S]
Cumulative in OALP to 1-Apr-2026	5,311.82	36,189.32	—	—	same ONGC FY26 Directors' Report [S]
3 years + current year to Jul-2024	3,743.71	30,417.91	—	—	MoPNG reply, Rajya Sabha, 29-Jul-2024 (rsdebate.nic.in PQ_265_29072024_U781) [S]

Reading: ONGC's 3D acquisition roughly halved in FY26 (8,840 -> 4,631 SKM) while 2D rose (604 -> 957 LKM). Year-to-year swings of 40-60% in the single largest buyer's volumes are normal, which is the root of the lumpiness in contractor revenue (see R10.5).

Government-funded onshore 2D programmes (the only "programme" demand that is directly onshore):

- National Seismic Programme (NSP), launched Oct-2016: target 48,243 LKM of 2D in unappraised onland areas; ~46,960 LKM (97%) acquired; acquisition completed Feb-2022; remaining inaccessible areas handed to airborne geophysics via OIL. DGH, India's Hydrocarbon Outlook 2022-23 [S]. AESL's largest-ever seismic order (Rs 570 cr, received 2019) was 2D acquisition and basic processing for ONGC and OIL in the Himalaya and North-East region, the NSP geographies; order book Dec-2019 Rs 1,343 cr of which seismic 63% [M, PPT Dec2019 Corporate deck, "Order Book Details" slides]. Whether that order was formally part of NSP is not stated in the deck. NSP is finished; there is no "NSP-2" in any DGH or MoPNG document found (AESL's 4QFY24 deck slide 19 lists "NSP-2" as an upcoming opportunity [M]; not corroborated — treat as prospective).
- Mission Anveshan: 20,275 LKM of 2D API across seven onland basins (Rajasthan, Ganga-Punjab, Cuddapah, Chhattisgarh, KG, Deccan Syneclise, Saurashtra), outlay Rs 792 cr; ~2,954 LKM acquired to 31-Mar-2025 (ONGC 350.9; OIL 2,602.9); DGH expected completion in FY26. DGH Annual Report 2024-25 p.88 [S]. Implied programme value ~Rs 0.39 lakh per LKM. AESL's Rajasthan 4,300 LKM / Rs 82 cr (incl. taxes) OIL contract of Sep-2024 is ~21% of the programme's LKM and prices at ~Rs 1.9 lakh/LKM incl. GST (Press Release 29-Sep-2024 [M]) — i.e. the Rs 792 cr outlay is a government subsidy line, not the contract value; do not use it as the market size. Other Mission Anveshan awards: Alphageo Rs 131.63 cr OIL Ganga-Punjab 2D [S, Angel One]; Alphageo Rs 118.63 cr ONGC 2D (Chhattisgarh Sector-1 Rs 38.29 cr; KG Sector-3A Rs 80.34 cr), Dec-2024 [S, Business Standard 16-Dec-2024].
- Offshore programmes (not AESL's market; included to size what management calls the "seismic supercycle"): Extended Continental Shelf 2D, 30,000 LKM, Rs 492 cr, approved Mar-2024, 22,876 LKM acquired by Mar-2025 [S, DGH AR 2024-25]; Andaman 22,564 LKM 2D (NSP offshore extension) [S, DGH]; Samudra Manthan (National Offshore Exploration Scheme) approved by Cabinet 31-Jul-2026, outlay Rs 84,084 cr to FY2030-31, of which Rs 28,534 cr for offshore seismic acquisition/processing, Rs 43,200 cr for 60 deepwater wells (support up to 50% of cost or Rs 675 cr/well), Rs 10,000 cr offshore infrastructure hubs, Rs 2,000 cr manufacturing/service zones, Rs 350 cr monitoring [S, secondary summaries of the PIB release: drishtiias.com 03-Aug-2026; superkalam.com 02-Aug-2026; PIB page itself not retrieved]. Management describes AESL as "expected to be a major beneficiary" (Transcript AGM Sep-2026 p.9 [M]); AESL has no marine seismic vessel or offshore acquisition track record in any filing reviewed, so direct participation would be as a sub-contractor/manpower provider at best. The offshore seismic contracts ONGC has let went to Shearwater (2020; two further LoAs Aug-2026) and TGS (Mahanadi, Nov-2024) [S, oilfieldtechnology.com 21-Dec-2020; The Week 10-Aug-2026; World Oil 20-Nov-2024].

Value: addressable outsourced onshore seismic market (analyst estimate, flagged). No regulator publishes a rupee value of seismic contracts awarded. Triangulation:

1. Revenue of the two listed Indian onshore contractors: AESL seismic Rs ~120 cr (FY24), Rs 72 cr (FY25) [M]; Alphageo consolidated Rs 99 cr (FY24), Rs 126 cr (FY25), Rs 112 cr (FY26) [S, Screener]. Combined Rs 200-220 cr/yr in FY24-FY25.
2. Named contract awards to contractors in the last ~30 months: ONGC 3D Gujarat Rs 78.24 cr (AESL, Jun-2023); Sun Petrochemicals 3D Rs 37.71 cr (AESL, Jun-2024) and Rs 46 cr (AESL, Jul-2025); OIL 2D Rajasthan Rs 82 cr (AESL, Sep-2024); ONGC 2D Rs 118.63 cr (Alphageo, Dec-2024); OIL 2D Ganga-Punjab Rs 131.63 cr (Alphageo); OIL 3D Odisha Rs 46.04 cr (Alphageo Offshore, FY25); OIL 2D/3D Gujarat Rs 34.98 cr (Alphageo Offshore, Sep-2025, under legal challenge). Sum ~Rs 575 cr over ~2.5 years, ~Rs 230 cr/yr [M/S as listed].
3. ONGC in-house: ONGC bought three Sercel 528 systems (24,000 channels, 24,000 SG-5 geophones) in Oct-2025 for the 2026 season [S, World Oil 28-Oct-2025; Sercel release], so a material share of ONGC's onland 3D is acquired by its own parties and never tendered.

Estimate: the outsourced onshore seismic market in India has run at roughly Rs 250-400 cr/yr of awards in FY24-FY26, versus the "~Rs 1,000 crore business size" management cited in the FY20 and FY22 AR risk tables (AR_FY2019-20.txt line 11573; AR_FY2021-22.txt line 11483 [M]) and the "Rs 700 crore of Coal India 2D/3D seismic tenders over 24 months" cited at the Sep-2020 AGM (Transcript AGM Sep2020 p.8 [M]). Those management figures were pipeline, not awards; realised awards have been a fraction. Upside case: Mission Anveshan completion plus OALP-X/XI onland

work-programme commitments (six onland blocks in OALP-X) and ONGC's stated FY27 exploration capex of up to Rs 12,000 cr (+20% [S, Business Today 29-Jan-2026]).

OALP acreage and seismic obligations. Rounds I-IX: 172 blocks, 3,78,653 sq km awarded [S, DGH AR 2024-25 pp.118-121, via search summary]; to Mar-2023 (7 rounds, 134 blocks, 2,07,691 sq km) operators had committed 30,655 LKM of 2D and 58,080 sq km of 3D [S, DGH Hydrocarbon Outlook 2022-23 p.149]. ONGC alone has acquired 5,312 LKM 2D and 36,189 SKM 3D in its OALP blocks to Apr-2026 [S], i.e. a large part of the committed 3D is already done, mostly in-house. OALP-X: 25 blocks over 13 basins, 1,82,589 sq km per DGH portal (1,91,986 sq km in press), 6 onland / 6 shallow / 1 deep / 12 ultra-deep, 51% in former "No-Go" areas; bid deadline extended at least four times (to Feb-2026, then May-2026); award outcome not found [S, online.dghindia.org/oalp; Outlook Business; Business Standard 06-Feb-2026]. OALP-XI launched Mar-2026: 21 blocks, 80,228 sq km [S, Business Standard 30-Mar-2026]. Onland share of new OALP acreage is small (6 of 25 blocks in Round X), so OALP-driven onshore seismic demand is modest relative to the offshore numbers management quotes.

(b) Coal India first-mile-connectivity (FMC) / coal handling plant (CHP) programme (AESL "Mineral & other energy" segment: FY26 revenue Rs 158 cr; order book ~Rs 699 cr, 40% of Rs 1,754 cr at Aug-2026 [M, PPT 1QFY27 slide 25])

Programme size as stated by the Ministry of Coal / Parliament (not by CIL's auditors):

Date	Projects	Capacity	Capex	Commissioned	Source
Nov-2020	CIL floats tenders for 35 projects (Phase I, mines >= 4 MTPA; SECL 9/136 MTY, MCL 9/126 MTY, NCL 9/63 MTY)	—	est. Rs 12,500 cr	—	powerline.net.in 17-Nov-2020 [S]
Jan-2023	55 FMC projects (+19 added)	526 MTPA	—	8 projects / 95.5 MTPA	PIB PRID 1888037 [S]
MoC AR 2023-24	103 (95 CIL, 5 SCCL, 3 NLCIL)	1,040 MTPA	—	—	coal.gov.in chap12 AR 2024 [S]
Aug-2025 (RS reply)	102 by FY30	—	~Rs 31,367 cr total (CHPs, RLS, closed conveyors, silos, rail sidings)	44 / 429.5 MTY operational; 58 to come	IANS 18-Aug-2025 reporting RS written reply [S]; coal.gov.in PIB2157435.pdf (503 on fetch)
Jul-2026 (RS reply)	139 undertaken	target 1,319 MTPA by FY2029-30	—	72 / ~589 MTPA; 67 remaining	ANI 20-Jul-2026 [S]
CIL own target	mechanised evacuation 151 -> 994 MTPA by FY2028-29; 19 FMC projects to be commissioned in FY26				basispointinsight / maritimegateway [S]
Management	"92 FMC projects planned under CIL, ~Rs 27,800 crore ... through FY30"; "Rs 20,000 crore to be awarded by Coal India in next 5 years"				Transcript AGM Sep-2026 p.9; Transcript 2QFY26 p.7 [M]

Year-wise phasing (RS reply Aug-2025, per search summary): FY2028-29 18 projects / 229 MTY; FY2029-30 2 projects / 42 MTY — i.e. the pipeline tails off after FY29 unless the project count keeps being revised up (it has: 55 -> 102/103 -> 139 in 3.5 years).

Test against CIL's own cash: CIL capex FY26 Rs 19,607 cr vs Rs 16,000 cr target; FY27 target Rs 16,500 cr; FY26 earmark for "transport and evacuation infrastructure" Rs 5,622 cr (35%) [S, powerpeakdigest; MoC AR 2026 chap5]. But in Q1 FY27 CIL spent only Rs 195 cr on "CHPs, silos, weighbridges and roads" and Rs 754 cr on rail sidings/corridors (Rs 949 cr evacuation total) out of Rs 3,399 cr [S, CIL press release 28-Jul-2026 via PSU Watch/Angel One]. Annualised, CHP/silo construction cash spend is running at ~Rs 800-1,000 cr/yr, well below the ~Rs 3,000 cr/yr implied by Rs 31,367 cr over ten years. Implication: the addressable annual CHP EPC award pool is more like Rs 1,500-3,000 cr/yr (multi-year contracts awarded in lumps), not Rs 4,000 cr/yr, and AESL's Rs 459 cr MCL Lakhanpur win (Nov-2025) was a large share of one year's awards. Management's Rs 20,000 cr over five years [M] is at the top of what the ministry's numbers support.

Adjacent, now opening: state power utilities (GSECL Ukai CHP enhancement Rs 187.6 cr, Jun-2026 — AESL's first non-CIL CHP order [M, Press Release 22-Jun-2026]), SCCL (two orders to date), NTPC/private IPP CHPs (BTL EPC Rs 590 cr from Adani Power, Mar-2026 [S, mining.com]; FLSmidth, thyssenkrupp historically), and "critical minerals" handling [M, prospective]. Mgmt. claims the policy now mandates a CHP for "every coal mine of more than a million tonne per year" (AGM Sep-2026 [M]); the only policy statement found says mines producing >2 MT per annum must implement mechanised coal handling within five years (PIB, Aug-2024, coal.gov.in PIB2043611.pdf [S]). Treat the 1 MTPA threshold as unverified.

(c) Domestic oilfield O&M / integrated field management (AESL O&M: Vedanta Suvali terminal O&M since Jan-2022, extended Mar-2026; PML FPSO O&M Mar-2023; PY-3 for Hardy/HOEC/Invenire; AGCL compressor BOOT Rs 200 cr Dec-2024; Vedanta integrated field management contract FY26; 56% of Rs 973 cr order book at Mar-2025 [M, PPT 4QFY25 slide 3])

No published market size exists; this is a contract-by-contract market. Demand indicators from the customers:

- Vedanta Oil & Gas (ex-Cairn; now separately listed VOGL): FY26 revenue Rs 9,582 cr (-13%); average gross operated production -16% YoY; Q1 FY27 77.7 kboepd; 44 blocks / 47,000 sq km [S, Kotak Neo; Upstox]. Group has announced a USD 5 bn three-year E&P capex programme (Jun-2026) and a Rs 50,000 cr Assam investment intent (Apr-2025) [S, 5paisa; Outlook Business]; partnership with Beicip-Franlab (Sep-2026) on nine OALP blocks + one DSF block in the North-East targeting up to 300 MMboe [S, sahi.com]. Vedanta is both AESL's anchor O&M customer and a seismic buyer (Assam 2D/3D 2022 to AESL; Rs 184 cr to Alphageo in 2020 [S, Business Standard 27-Feb-2020]). Production decline at Vedanta is the single most important driver of its outsourcing — it is outsourcing to reverse decline cheaply [M, Transcript 4QFY26 p.9].
- ONGC "production enhancement contracts" (PEC) and integrated-services tenders "recently come out ... for decent sized field to provide end-to-end solutions" (Transcript 4QFY26 p.9 [M]); tender identities/values not disclosed; not found on the web.
- DSF operators (customers for O&M, drilling services and seismic): DSF-I 31 contracts (24 to new players); DSF-II 145 bids for 24 of 25 contract areas (59 fields); DSF-III 32 contract areas (11 onland, 21 offshore) offered, ONGC won 6 (USD 1,894.5 m planned); DSF-IV 55 discoveries in 9 contract areas (~274 MMT in-place), bids closed 18-Mar-2026 [S, DGH on X; Millennium Post; keyfactsenergy; offshore-mag]. Oilmax (OEPL, merging into AESL) was awarded GK/OSDSF/GKOSN/2025 (Kutch shallow offshore) with 50% PI as operator, DGH communication 31-Aug-2026 [A, Order 2026-09-01 and 2026-09-07 filings; Transcript AGM Sep-2026]. A fifth DSF round is expected [M].
- Gas compression BOOT: one AGCL contract (Rs 200 cr, Dec-2024) [M]; no pipeline of comparable BOOT tenders found.

(d) Gulf / international oilfield O&M and manpower (Kuiper Group, consolidated from 1-Sep-2025; FY26 contribution ~Rs 299 cr; run-rate USD 50-60 m p.a., ~8% EBITDA margin [M, Transcript AGM Sep-2026 p.8])

- Regional market: Middle East oilfield services USD 29.34 bn (2025) -> USD 40.56 bn (2031), 5.47% CAGR; MENA USD 32.69 bn -> 45.69 bn; onshore 81% of 2025 revenue; offshore growing faster (9.6% CAGR) on Jafurah and Qatar North Field [S, Mordor Intelligence 2025]. These are vendor estimates; use as order of magnitude only.

- NOC capex: ADNOC USD 150 bn 2026-2030 envelope, ~USD 54 bn of awards in 2026-28 (USD 38 bn upstream) [S, MEED]; ADNOC Gas USD 28 bn 2026-30 [S]; Saudi Aramco 2026 capex USD 50-55 bn (65-70% upstream), 2025 actual USD 52.2 bn, Q1-2026 USD 12.1 bn (-4% YoY) [S, MEED; Energy Intelligence]. IEA World Energy Investment 2026: Middle East oil & gas investment -1% in 2026; upstream oil spending down for a third year globally; gas up >10% to USD 330 bn [S, gasprocessingnews.com Jun-2026].
- Kuiper's actual exposure is offshore drilling-rig crewing: "the major chunk of the top line comes from providing manpower through drilling rigs" (Transcript 4QFY26 p.10 [M]). That sub-market shrank in 2024 when Aramco suspended 18-23 jackups (Borr, Valaris/ARO, COSL, ADES, Arabian Drilling, Shelf) and cut contracted offshore rigs from 92 to 88; regional jackup demand forecast 153-160 rigs vs 170 at Jan-2024 [S, Splash247; S&P Global 29-May-2024]. That is why Kuiper's revenue fell from USD 82 m (2022) to USD 68 m (FY24) ("Saudi Arabia de-hired some offshore assets") [M, Transcript 4QFY25 pp.6-7]. Qatar offshore operations were disrupted in Mar-2026 by the West Asia conflict and had "almost" remobilised by May-2026 [M, Transcript 4QFY26 p.7].
- Scale of incumbents: NES Fircroft revenue USD 3.2 bn, underlying EBITDA USD 148 m (2025); 12 Middle East offices [S, NES Fircroft AR 2025]; Brunel International revenue EUR 1,217.7 m (2025, -11%), underlying EBIT EUR 38.2 m [S, Brunel Q4-2025 release]. Kuiper at USD 50-60 m is ~2% of NES's size; the USD 100 m FY29/30 target [M] requires taking share in construction/marine/EPC crewing and Africa (Nigeria) [M, Transcript 4QFY26 p.13].

R10.2 Dominant customers and their spending series (customer's own numbers)

ONGC (seismic; integrated-services tenders).

FY	Standalone capex	Exploration capex	Notes / source
FY19-FY22 (3 yrs)	—	Rs 20,670 cr cumulative	ONGC board statement May-2022 [S, Business Today 26-May-2022]
FY22-FY25 plan	—	Rs 31,000 cr (~Rs 10,000 cr/yr incl. seismic, 115-120 wells/yr)	same [S]
FY24	~Rs 37,494 cr	—	chemindigest.com (single secondary source) [S]
FY25	~Rs 62,000 cr incl. Rs 18,365 cr OPaL equity and Rs 4,600 cr ONGC Green/PTC; organic ~Rs 39,000 cr (analyst arithmetic)	Rs 10,300 cr (+25%)	chemindigest; indianpsu.com [S]
FY26	Rs 35,878 cr standalone; Rs 61,131 cr group	~Rs 8,000-10,000 cr	ONGC Directors' Report FY26 [S]; earnings-call summaries [S]
FY27 guidance	Rs 30,000-35,000 cr p.a.	up to Rs 12,000 cr (+20%)	Q2 FY26 call [S]; Business Today 29-Jan-2026 [S]
5-yr deepwater plan	~Rs 1 lakh cr	—	AGM coverage Aug-2026 [S]

Seismic volumes: see R10.1(a). ONGC's exploration capex is flat-to-up (Rs 10,000-12,000 cr), but the mix is moving offshore/deepwater (Samudra Manthan; four Andaman exploratory wells in FY26) and ONGC is adding in-house land acquisition capacity (Sercel 24,000 channels). Net: onshore outsourced seismic from ONGC is at best flat.

Oil India (seismic; Mission Anveshan; empanelment). FY26 standalone capex ~Rs 13,025 cr per HDFC Securities (Rs 3,290 cr capital projects, Rs 3,680 cr reserve accretion, Rs 1,740 cr subsidiaries/JVs) vs Baroda BNP's "acquisition, exploration and development Rs 4,610 cr + other capex Rs 8,560 cr" — conflicting splits, same order of magnitude [S, HSIE 26-May-2026; Baroda 15-May-2026]. FY27: ">Rs 10,000 cr" E&P capex (+14%), 100 wells vs 74 in FY26 ("Mission 4+", 4 MTPA crude) [S, Mint 20-May-2026; Quartr]. OIL executed 2,603 of Mission Anveshan's 2,954 LKM to Mar-2025 [S] and let 2D contracts to AESL (Rs 82 cr) and Alphageo (Rs 131.63 cr); it empanelled AESL for onland 2D/3D for three years in Jun-2026 (eligibility only, awards still tendered) [A, Order 2026-06-05]. OIL in-house crew count: not found (OIL AR not retrievable).

Coal India and subsidiaries (ECL, CCL, MCL, SECL) and SCCL (CHP EPC). CIL capex series (Rs cr): FY20 6,270 [S, official quoted in Business Standard Jul-2020]; FY21 ~13,115 [S, Powerline Apr-2021]; FY22 full-year not found (Apr-Dec Rs 10,717 cr, +37% [S, BS Jan-2022]); FY23 18,619 [S, MoC AR 2024 table]; FY24 19,849 (MoC provisional) vs 23,475 (BS, FY25 results report) [S, conflict]; FY25 19,410 (BS) vs 21,776 (MoC AR 2026) [S, conflict]; FY26 19,607 vs target 16,000 [S, powerpeakdigest]; FY27 BE 16,500 (coal PSUs total Rs 24,738 cr incl. NLCIL, SCCL) [S, MoC AR 2026 chap.5]. Evacuation share: Rs 5,622 cr earmarked in FY26 (35%); Q1 FY27 actual Rs 949 cr (of which CHP/silo Rs 195 cr) [S]. CIL's

capex is plateauing at ~Rs 16,000-20,000 cr; the FMC line is a stable ~25-35% of it, which supports Rs 1,500-3,000 cr/yr of CHP-related awards (incl. rail sidings that AESL does not do).

Vedanta Oil & Gas (O&M, integrated field management, seismic). FY26 revenue Rs 9,582 cr; production -16%; USD 5 bn/3-yr capex plan (Jun-2026); no FY27 segment capex number found (a Rs 35 cr figure on an aggregator is implausible and ignored) [S].

R10.3 Structural drivers: visible in numbers vs still prospective

Visible in reported numbers (customer or AESL filings):

1. CIL FMC programme: 72 of 139 projects commissioned (Jul-2026); AESL's CHP awards 2022-26 total ~Rs 1,170 cr (ECL Hura Rs 128 cr; CCL Karo Rs 250 cr; SCCL PKOCP Rs 148 cr; MCL Lakhanpur Rs 459 cr; GSECL Ukai Rs 187.6 cr) [A/M, Order-Wins and Press-Releases folders]; mineral segment revenue Rs 158 cr FY26 [A].
2. Outsourced field management at Vedanta: Suvali O&M since 2022, extended Mar-2026; integrated field management contract won FY26; AESL fronts capex (wells, facilities) reimbursed by Vedanta (Transcript 2QFY26 p.9 [M]).
3. Mission Anveshan onshore 2D: Rs 82 cr OIL contract executing [M]; OIL empanelment [A].
4. DSF: Oilmax's Kutch award (DSF-IV), Indrora NM-01 ~100 bopd, Mevad discovery (Jan-2026) [A/M].
5. Gulf crewing: Kuiper consolidated, Rs 299 cr FY26 [A]; Aramco/ADNOC capex guidance published [S].

Still prospective (no award, or no AESL eligibility yet):

1. Samudra Manthan Rs 84,084 cr: offshore/deepwater; cabinet-approved Jul-2026; no tender yet; AESL has no marine capability [S/M].
2. ONGC integrated/PEC tenders "recently come out" [M] — unidentified.
3. OALP-X/XI onland work programmes: awards not announced [S].
4. "NSP-2" and "carpet 3D in existing fields" (AESL 4QFY24 deck) — not in any DGH document found.
5. Critical-minerals handling, private-sector bulk handling, Nigeria/SE Asia for Kuiper [M].
6. Oilmax Rs 800-900 cr revenue by FY30 and group Rs 3,000 cr revenue / ~25% EBITDA margin by FY30 [M, Transcript 4QFY26 p.4; AGM Sep-2026 p.10] — depends on items 1-5.

R10.4 Policy and regulation

In force:

- HELP (2016) and OALP rounds I-IX awarded (172 blocks); OALP-X bids closed (deadline May-2026), award pending; OALP-XI launched Mar-2026 [S, DGH].
- DSF policy (2015); rounds I-III awarded; DSF-IV bids closed 18-Mar-2026 with awards communicated Aug-Sep 2026 (Oilmax) [S/A].
- Oilfields (Regulation and Development) Amendment Act, 2025 (Act No. 6 of 2025): Rajya Sabha 3-Dec-2024, Lok Sabha 12-Mar-2025, assent 28-Mar-2025, in force 15-Apr-2025 (G.S.R. 228(E), 16-Apr-2025); Petroleum and Natural Gas Rules, 2025 notified 9-Dec-2025 (G.S.R. 888(E)) superseding the 1949 Concession Rules and 1959 PNG Rules: single petroleum lease for all hydrocarbons incl. CBM/shale, lease tenure up to 30 years, decriminalisation (fines Rs 25 lakh + Rs 10 lakh/day) [S, egazette.gov.in 262080.pdf; mopng.gov.in ORD gazette 16-Apr-2025; PTI 12-Dec-2025].
- GFR 2017 Rule 144(xi) (23-Jul-2020): bidders from countries sharing a land border with India (incl. China) must be registered with the DPIIT Competent Authority to bid in any government/PSU procurement; upheld by Delhi HC [S, elplaw.in; rawlaw.in]. Relevance: in effect excludes BGP/Sinopec-type Chinese land crews from ONGC/OIL seismic tenders unless registered (see R11).
- Coal: mechanised handling required within five years for mines >2 MTPA (MoC, Aug-2024) [S, PIB]; Integrated Coal Logistics Plan; rail share target 64% -> 75% by FY30 [S]. Commercial coal mining (2020 onwards) adds private-mine CHP demand [M].
- Samudra Manthan: approved (Jul-2026), implementation rules/tenders pending [S].

Pending / not yet done: OALP-X award; DSF-V; any onshore successor to NSP/Mission Anveshan beyond FY26; CMPDIL coal-seismic tenders (AESL won 3 of ~6 issued by 2021 [M, AGM Sep-2021]); the 1 MTPA CHP mandate management describes (unverified).

Completed (demand already absorbed): NSP onland 2D (Feb-2022); Andaman 2D; most of CIL Phase-I FMC (35 projects tendered 2020-21).

R10.5 Cyclicality and lumpiness (quantified)

- AESL revenue (consolidated, Rs cr): FY21 229; FY22 260; FY23 110; FY24 305; FY25 465; FY26 791 [A, Screener series of audited accounts]. FY23 fell 58% when ONGC Tripura work was force-majeured and "seismic order flow ... was way below (almost negligible)" (AR FY2022-23 p.6, Chairman's letter [M]); seismic order book was Rs 60 cr in Jul-2022 (Transcript 1QFY23 [M]) vs Rs 1,343 cr total order book with 63% seismic in Dec-2019 [M].
- AESL seismic revenue: ~Rs 120 cr FY24 -> Rs 72 cr FY25 (-40%) [M]; seismic was 8% of order book (Rs 74 cr) at Mar-2025 and 4.4% at Sep-2025 [M, PPT 4QFY25; Transcript 2QFY26].
- Alphageo revenue (Rs cr): FY17 306; FY18 429; FY19 405; FY20 268; FY21 143; FY22 155; FY23 66; FY24 99; FY25 126; FY26 112 — an 85% peak-to-trough fall over FY18-FY23 as NSP ended [S, Screener].
- ONGC 3D: 8,588 SKM (FY24) -> 8,840 (FY25) -> 4,631 (FY26); 2D: 972 -> 604 -> 957 LKM [S].
- Management's own characterisation: "seismic orders are driven by government policies and government decisions ... crude oil price increase probably will not affect us" (Transcript 1QFY23, CEO [M]); seismic has monsoon seasonality (no operations in Q2) [M, PPT Dec2019].
- CHP tendering also pauses: "in last 6 months there was definitely a slowdown into the tendering activities" (May-2025) then "picked up" (Nov-2025) [M, Transcripts 4QFY25, 2QFY26].

Where we are: domestic onshore seismic is at a cyclical low in awards (ONGC 3D halved in FY26; both listed contractors loss-making or shrinking in seismic), with a policy-driven upturn promised but mostly offshore. CHP is mid-cycle: ~52% of FMC projects commissioned, award cadence lumpy but the project count keeps being extended. Gulf crewing is recovering from the 2024 Aramco rig suspensions but exposed to the 2026 West Asia conflict.

R10.6 Long-dated structural threats (horizon)

- Exploration budgets: IEA WEI 2026 shows global upstream oil investment falling for a third year and Middle East O&G investment -1% in 2026; gas investment at a 10-year high [S]. India is counter-cyclical (ONGC +20% exploration capex FY27; Samudra Manthan) but the incremental rupee is offshore. Horizon: 2026-2031 for the Samudra Manthan window; onshore contractor demand depends on Mission Anveshan successors that do not yet exist.
- Coal: IEA Coal 2025 projects India coal demand +17% by 2030 (~3% p.a.; non-power use 356 -> 470 Mt) while global demand peaks in 2025 and falls ~3% by 2030 [S, IEA via sxcoal/petromindo Dec-2025]; India targets 1.31 bt output in FY27 and CIL 1 bt by FY30 [S/M]. CHP demand therefore persists to ~2030-32 (80 GW new coal capacity to 300 GW by FY32 [M, Transcript 4QFY25 p.2]), after which FMC becomes a replacement/O&M market. A coal-demand peak in India is not in any official forecast before 2035.
- Substitution in seismic: ONGC in-house capacity (24,000 new channels, 2026 season); nodal/wireless systems lowering crew intensity; airborne geophysics for inaccessible NSP areas (via OIL) [S]. Permanent reservoir monitoring and drone surveys: no Indian onshore deployment found.
- Energy-transition tail risk for Kuiper: Gulf NOCs' capex is being redirected to gas/LNG and (ADNOC) low-carbon; crewing demand follows rig counts, which are set by OPEC+ policy rather than by energy transition over a 5-year horizon [S].

R11. Competition

R11.1 Named competitors by business line

(i) Indian onshore seismic acquisition

Competitor	Type	Scale / latest data	Trend	Source
Alphageo (India) Ltd (NSE: ALPHAGEO)	Listed, Hyderabad; AESL's only listed onshore	Consolidated revenue Rs 112 cr FY26, operating loss Rs 8 cr (OPM -7%), PAT -Rs 14 cr; FY25 revenue Rs 126 cr, PAT -Rs 6 cr; standalone FY26 revenue Rs 109.7 cr, loss Rs 14.3 cr; orders received FY25 Rs 250.26 cr incl. taxes; ONGC 2D Rs 118.63 cr (Dec-2024), OIL 2D Rs 131.63 cr,	Peak revenue Rs 429 cr (FY18, NSP) -> Rs 66 cr (FY23); loss-making FY25-FY26 despite 25% revenue growth; Q4	Alphageo AR FY25 Directors' Report [A via indiainfoline]; NSE filing 27-May-2026 [A]; Screener [S]; BSE disclosure 05-Nov-

Competitor	Type	Scale / latest data	Trend	Source
	peer	OIL 3D Odisha Rs 46.04 cr (subsidiary AOSPL), OIL Gujarat 2D/3D Rs 34.98 cr (Sep-2025; challenged in Gujarat HC by Advent Oilfield Services, Nov-2025); debt-free; total assets Rs 296 cr; debtor days 131	FY26 income -31% YoY	2025 [A]; Business Standard [S]
Advent Oilfield Services Pvt Ltd	Unlisted	Bidder in OIL Gujarat 2D/3D tender; litigating the award	—	BSE disclosure by Alphageo Offshore 05-Nov-2025 [A]
ONGC in-house (Geophysical Services; GEOPIC is processing/interpretation)	Captive	FY26: 957 LKM 2D / 4,631 SKM 3D total incl. contractors; bought three Sercel 528 systems, 24,000 channels + 24,000 geophones, Oct-2025, for 2026 season	Expanding in-house land capacity	ONGC DR FY26 [S]; Sercel/World Oil 28-Oct-2025 [S]
Oil India in-house	Captive	Executed 2,603 of 2,954 LKM Mission Anveshan to Mar-2025 (partly through contractors AESL/Alphageo); crew count not found	—	DGH AR 2024-25 p.88 [S]
BGP Inc. (CNPC)	Global, Chinese	65 land crews, 51 countries (company profile, undated); ADNOC USD 1.6 bn (2018) and USD 490 m (2024) 3D awards	No ONGC/OIL onshore award in India found in any source searched for 2019-2026; subject to GFR Rule 144(xi) registration since Jul-2020	geoexpro.com; World Oil 07-Nov-2024; elplaw.in [S]
Sinopec Geophysical	Global, Chinese	Mexico 65,000-node 3D (Viridien); no India award found	same restriction	AAPG Explorer 2025 [S]
Shearwater Geoservices (Norway)	Global marine	2025 revenue USD 639 m, EBITDA USD 119 m, net loss USD 107 m, NIBD USD 554 m; covenant waiver Q1-2026; ONGC west-coast 3D (2020) and two ONGC LoAs (Aug-2026)	Marine only; not an onshore competitor	Shearwater AR 2025 (Euronext) [A]; The Week 10-Aug-2026 [S]
TGS	Global marine/multi-client	ONGC Mahanadi 3D streamer (Nov-2024)	Marine only	World Oil 20-Nov-2024 [S]
Viridien (ex-CGG) / Sercel	Equipment + geoscience	Revenue USD 1,165 m, adj. EBITDA USD 551 m (47%), net income USD 71 m, net debt USD 753 m (2025)	Supplier to ONGC and to AESL/Alphageo, not an acquisition competitor onshore India	Viridien FY2025 results 26-Feb-2026 [A]
Geokinetics / SAExploration	Former US land contractors	Geokinetics Ch.11 (2013, 2018); SAExploration Ch.11 (2020)	Not active in India	general knowledge; not re-verified [S]

Market share: no regulator data. Using FY25 awards named above (Rs 575 cr over 2.5 years), AESL ~Rs 244 cr (42%) vs Alphageo ~Rs 331 cr (58%) of identified third-party onshore awards; AESL's own stated win rate is "33-40%, one in three" in seismic vs ">50%" in CHP (Transcript 2QFY25 p.9 [M]). In 2017 management described "reduced competition with diminishing capability of major competitors" (PPT Jun2017 [M]) — that is still the structure: a two-player outsourced market plus ONGC in-house, with Chinese crews excluded by Rule 144(xi) and Western land contractors absent.

(ii) Coal handling plants / FMC EPC

Winners of recent CIL-system CHP/silo awards found:

- AESL (with JV partners Zuberi, Indwell): ECL Hura Rs 128 cr (Feb-2022), CCL Karo Rs 250 cr incl. 5-yr O&M (Feb-2024), SCCL PKOCP Rs 148 cr + GST (Jun-2024), MCL Lakhanpur Rs 459 cr incl. GST (Nov-2025, 7-yr incl. DLP O&M), GSECL Ukai Rs 187.6 cr (Jun-2026); L1 in one further CHP tender (May-2026) [A/M].
- L&T Construction: NCL Amlohri CHP Rs 276 cr (2020); NCL Dudhichua coal sizing/transport EPC (Sep-2020) [S, Business Standard 17-Sep-2020].
- McNally Bharat / McNally Trolex: SECL RCC silo + RLS + crushing Rs 173.46 cr (undated, pre-2021); McNally Bharat subsequently in insolvency [S, DSIJ].
- S.K. Samanta & Co: BCCL 5 Mtpa silo loading plant, Govindpur (2011) [S, BCCL annexure]; named by AESL MD as a current competitor [M, Transcript 2QFY26 p.7].
- Madhucon Projects: named by AESL MD as competing "in 1 or 2 places" [M]; only a BCCL surface-mining EPC found [S].

- Indwell Constructions: AESL's JV partner on SCCL/MCL; also bids independently (not verified).
- thyssenkrupp Industries India, FLSmidth, BTL EPC, Macawber Beekay, TRF, Elecon, ISGEC, Power Mech: no CIL-subsidiary CHP award 2024-26 found in searches (BTL EPC Rs 590 cr Adani Power CHP+AHP, Mar-2026; Power Mech's CCL contract is a Rs 9,294 cr MDO, not CHP) [S]. Tecpro Systems and McNally Bharat are defunct/insolvent, which removed two of the largest 2010s CHP EPC houses.

Share: management says AESL is "one of the largest coal handling plant players in the Coal India ecosystem" [M, AGM Sep-2026]. Against ~Rs 31,367 cr programme value, AESL's ~Rs 1,170 cr of awards is ~4%; against identifiable CHP/silo EPC awards in 2024-26, AESL is the most frequent public winner, but CIL does not publish award lists so this cannot be audited.

(iii) Gulf O&M / crewing (Kuiper): NES Fircroft (USD 3.2 bn, 2025), Brunel (EUR 1.2 bn, 2025), Airswift (private, no figures), and offshore-specialist crewing houses CB Insights lists as Kuiper's nearest comparables: Moreld Ross Offshore, EP2C Energy, SeaOwl Group [S]. Drilling contractors' own crewing (ADES, Arabian Drilling, Shelf) is the substitute. Kuiper's edge is a UAE/Qatar/Saudi licence base and long MSAs; its weakness is 8% EBITDA margin and rig-count exposure.

(iv) Domestic O&M: competitors are engineering-services and O&M contractors bidding ONGC/Vedanta tenders — Deep Industries (gas compression, workover, O&M; FY26 revenue Rs 891 cr, OPM 40%), Jindal Drilling (offshore rigs), Seamec (diving/subsea), and integrated-field-development aspirants; no tender-level data on who else bid Vedanta's Suvali or integrated contracts. AESL's claim to be "the only Indian-listed energy services company capable of self-delivering across the entire upstream value chain" (PPT 4QFY26 slide 27 [M]) is marketing; Deep Industries and HOEC-type operator/service hybrids overlap.

R11.2 Basis of competition, where AESL wins/loses, substitution and bargaining power

- Tender mechanics: PSU (ONGC/OIL/CIL/SCCL) contracts are two-stage technical pre-qualification (crew/equipment experience, HSE, past similar work) followed by L1 price; AESL "declared L1" language is used for every pending award [M, Transcripts 2QFY25, 4QFY26]. OIL's 3-year empanelment (Jun-2026) is pre-qualification only [A]. Private operators (Vedanta, Sun Petro, Hardy/HOEC) negotiate and repeat-award [M].
- Where AESL wins: CHP (>50% hit rate, 7-year contracts with O&M tail, few credible bidders after Tecpro/McNally exits); Vedanta O&M (incumbent since 2022, extended 2026); Mission Anveshan 2D in Rajasthan (desert terrain, vibroseis owned since 2020 [M, Press Release 13-Jul-2020]). Where it loses or is absent: ONGC/OIL seismic where it wins ~1 in 3; offshore seismic (no vessel); Chinese-contractor-priced export markets (Iraq Bashneft project stalled 2019-20 [M, PPT Dec2019]).
- Substitution risk: ONGC in-house parties (new Sercel channels) are the main substitute for onshore 3D; nodal/wireless technology lowers barriers for new entrants (AESL was first Indian user of wireless, ~16,000 channels in 2019 [M]); for CHP, CIL could re-let as MDO-bundled scope (Power Mech, Sical, Caliber Mining win mining-cum-logistics packages [S]).
- Supplier power: recording systems are a Sercel (Viridien)/INOVA/Wireless Seismic oligopoly; AESL lists them as "affiliations" [M, PPT 4QFY24 slide 20]; ONGC buying 24,000 channels directly from Sercel shows the supplier will sell around the contractor. CHP EPC inputs (structural steel, conveyors, Elecon/TRF/Macawber equipment) are competitive; JV partners (Indwell, Zuberi) share margin.
- Customer power and terms: CIL subsidiaries hold retention money released on mechanical completion — retention rose from Rs 23-24 cr (FY24) to Rs 55 cr of Rs 224 cr receivables (FY25), with "only Rs 14 cr" >90 days excluding retention; ~Rs 30 cr retention release expected FY26 [M, Transcript 4QFY25 p.11]. CRISIL measured debtor days at 284 (Sep-2025) and GCA days at 293 (Mar-2025), expecting 170-190 by Mar-2026 [S, CRISIL rationale 29-Jul-2026]; Screener shows 160 debtor days FY26 [S]. Management's "normal working capital cycle 45-75 days ex-retention" [M, Transcript 2QFY26 p.4] understates the balance-sheet reality. LD clauses and advance/BG terms are not disclosed in filings (AR FY26 contains no retention/LD disclosure beyond standard revenue-recognition notes [A]); CRISIL's 2025 rationale lists "intense competition, government regulations-policy and working capital intensive nature of operations" as offsets [S, CRISIL 06-Aug-2025 and 10-Sep-2025 filing]. Payment delays by CIL subsidiaries are evidenced by the Rs 60 cr jump in CHP receivables in FY25 [M].
- Customer concentration: CIL group >20% of revenue if consolidated; no single contract >20% of order book [M, Transcript 4QFY25 p.14].

R11.3 Operating benchmark table (latest full year; Screener consolidated unless noted; [S])

Company (FY/CY)	Revenue	Op. profit / EBITDA	EBITDA margin	Asset turns (Rev/Total assets)	ROCE	ROE	Debtor days	Gross debt	Gross debt / EBITDA	Source
Asian Energy Services (FY26)	Rs 791 cr	Rs 95 cr (co. states Rs 99 cr)	12%	0.86x (TA Rs 918 cr)	16%	13%	160	Rs 159 cr; cash Rs 157 cr (Rs 92 cr unencumbered)	1.7x gross; ~0.0x net (0.7x on unencumbered cash)	Screener; CRISIL 29-Jul-2026; AR FY26 [A/S]
Alphageo (FY26)	Rs 112 cr	-Rs 8 cr	-7%	0.38x (TA Rs 296 cr)	-7%	-5% (last yr)	131	nil	n.m.	Screener [S]
Deep Industries (FY26)	Rs 891 cr	Rs 358 cr	40%	0.35x (TA Rs 2,576 cr)	16%	19%	197	Rs 203 cr	0.6x	Screener [S]
Jindal Drilling (FY26)	Rs 997 cr	Rs 352 cr	35%	0.40x (TA Rs 2,507 cr)	14%	10%	82	Rs 93 cr	0.3x	Screener [S]
Seamec (FY26)	Rs 952 cr	Rs 400 cr	42%	0.51x (TA Rs 1,861 cr)	20%	21%	120	Rs 353 cr	0.9x	Screener [S]
Power Mech Projects (FY26)	Rs 6,062 cr	Rs 702 cr	12%	1.08x (TA Rs 5,589 cr)	22%	15%	93	Rs 664 cr	0.9x	Screener [S]
Viridien (CY25)	USD 1,165 m	USD 551 m adj.	47%	n/a	n/a	n/a	n/a	net debt USD 753 m	1.4x net	Viridien 26-Feb-2026 [A]
Shearwater (CY25)	USD 639 m	USD 119 m	19%	n/a	n/a	n/a	n/a	NIBD USD 554 m	4.7x net (5.3x Q1-26, covenant waiver)	Shearwater AR 2025 [A]

Notes: Screener does not show closing cash for peers, so net debt is given only for AESL (CRISIL cash figure) and the two global names. Gross margin is not reported by Screener for services companies; omitted. AESL's 12% EBITDA margin is Power Mech-like (EPC/manpower mix) and far below asset-owning service peers (Deep, Jindal, Seamec at 35-42%) — consistent with its asset-light, pass-through-heavy model (Kuiper ~8% margin; CHP EPC); its asset turns (0.86x) are correspondingly the highest among the oilfield names. ROCE (16%) is mid-pack. Debtor days (160) are worse than every peer except Deep Industries (197) and Alphageo's historical 190-220.

R12. Financial analysis

R12.1 Revenue, EBITDA and PAT, FY17-FY26 (model rows 3, 19, 21, 31, 33, 37) [S, tied to A]

Rs. cr	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Revenue	124.3	222.2	193.9	273.2	228.8	260.5	110.0	305.1	465.0	791.0
growth	+60%	+79%	-13%	+41%	-16%	+14%	-58%	+177%	+52%	+70%
EBITDA (ex JV share)	-18.3	40.7	32.9	66.5	55.5	66.3	-18.8	41.8	66.1	95.4
EBITDA margin	-14.7%	18.3%	17.0%	24.4%	24.3%	25.5%	-17.1%	13.7%	14.2%	12.1%
JV share (row 26)	0	0	0	0	0	0	0.6	1.6	6.2	3.5
Exceptional (row 27)	+19.2	-10.3	-2.5	-6.9	-12.3	0	-6.1	-1.9	0	-9.4
PAT (row 31)	-18.2	10.3	9.1	29.2	22.6	38.8	-44.4	25.5	42.2	51.8
PAT to owners (row 33)	-18.2	10.3	9.1	29.2	22.6	38.8	-44.4	25.5	42.1	51.2
PAT margin	-14.6%	4.6%	4.7%	10.7%	9.9%	14.9%	-40.3%	8.3%	9.1%	6.5%
EPS Rs. (row 37)	-6.98	2.71	2.39	7.76	5.99	10.30	-11.77	6.26	9.42	11.39

Reading: ten years, two loss years (FY17 the new owner's clean-up, FY23 the ADMCC/AMNI collapse), and a margin that has fallen in every year of the current growth phase (25.5% FY22 to 12.1% FY26) even as revenue tripled. FY26 revenue growth is mostly inorganic: Rs.299.4cr of the Rs.326cr increase is "revenue outside India", all Kuiper, consolidated for seven months from 1-Sep-2025 (AR FY26 p.221 Note 45 III; p.230 Note 55: acquisition "concluded on August 31, 2025") [A]. Organic growth was therefore about Rs.27cr (+6%). Segment mix flipped: Oil & Gas Rs.632.7cr (80%) vs Mineral/CHP Rs.158.4cr (20%); Mineral revenue fell 42% from Rs.272.6cr (Segments sheet rows 4-9; AR FY26 p.220 Note 45) [A].

Management reports a different EBITDA: Rs.98.9cr FY26 "incl. share in profit of JVs" (PPT 4QFY26 line 380) [M]; model row 19 (Rs.95.4cr) excludes the Rs.3.5cr JV share, which is equity-accounted below EBIT. All quarterly figures below are on management's basis (incl. JV) with the JV share shown so the two can be reconciled.

Quarterly trend, 2QFY25-1QFY27, consolidated (press releases and investor decks; prior-quarter figures as restated in the later deck) [M]:

Quarter	Revenue	EBITDA incl. JV	of which JV	EBITDA margin	PAT	Note
2QFY25	97.7	16.8	1.5	17.2%	9.3	PR 2QFY25 shows EBITDA 15.3 (ex JV); PPT 2QFY26 restates to 16.8 incl. JV
3QFY25	91.7	14.7	1.7	16.0%	8.1	PR 3QFY25 gives only 9M figures (249.6 / 34.6 / 19.6); quarter from PPT 3QFY26
4QFY25	215.4	33.7	2.2	15.6%	22.5	PR 4QFY25; PPT 4QFY26
1QFY26	115.4	12.1	0.6	10.5%	5.6	PR 1QFY26
2QFY26	102.0	9.1	0.9	8.9%	-4.0	PPT 2QFY26 (no press release in the repository); exceptional -6.5 (Kuiper deal costs); Kuiper one month: revenue ~Rs.41cr, operating profit ~Rs.3cr
3QFY26	235.4	28.3	0.3	12.0%	17.5	PR 3QFY26; first full Kuiper quarter
4QFY26	338.2	49.4	1.7	14.6%	32.6	PPT 4QFY26; exceptional -2.8 (Rs.2.7cr write-off); mgmt "adj. PAT" 34.6
1QFY27	271.2	21.9	0.8	8.1%	12.8	PR/PPT 1QFY27 (13-Aug-2026)

Checks: FY26 quarters sum to revenue 791.0, EBITDA 98.9, PAT 51.7 vs reported 791.1 / 98.9 / 51.9 (PPT 4QFY26) [M]; the Rs.3.5cr JV share bridges to model row 19. FY25 quarters sum to 72.2 vs 72.3. 1QFY25 (not in the table): revenue 60.2, EBITDA 7.0, PAT 2.1 (PR 1QFY26 comparatives). No quarter was unavailable; 2QFY25 and 3QFY25 EBITDA come from later restated decks because the original releases used a different EBITDA definition or gave only cumulative numbers. The "Results xQFYyy Consolidated" PDFs were not needed and were not read (text availability not tested).

What the quarters say: margin is seasonal (Q1/Q2 monsoon, Q4 peak) and structurally lower since Kuiper. Management attributes the 2QFY26 drop to "lower business activity caused by extended monsoons and consolidation of Kuiper financials" (PPT 2QFY26 p.8) [M]. 1QFY27 margin of 8.1% on Rs.271cr is the lowest full-quarter margin in the series despite revenue +135%; employee expense rose to Rs.18.4cr (6.8% of revenue) from Rs.6.8cr (PPT 1QFY27 line 316) [M]. Kuiper's own EBITDA margin "was 7% last year" (CFO Sumit Maheshwari, 4QFY26 call) [M]; standalone India margin "roughly around 16%" with a consolidated target of "12% to 13%" [M].

R12.2 Cost structure

Cost lines as % of revenue, FY20-FY26, ACE mapping (model rows 11-17; ACE total expenditure ties to the AR in every year, but ACE's split of the AR's three expense notes across its own six lines is ACE's; see the AR basis below) [S]:

% of revenue	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Power & fuel (row 11)	0.1	0.8	2.1	1.2	0.5	0.3	0.1
Employee (row 12)	3.7	6.2	8.4	26.0	8.7	2.6	5.3
Other manufacturing = project expenses (row 13)	41.9	44.1	53.4	63.7	70.0	76.9	76.8
G&A (row 14)	28.7	24.0	9.1	21.9	6.5	5.4	5.1
S&D (row 15)	0.0	0.2	0.4	0.5	0.0	0.0	0.0
Misc (row 16)	1.3	0.4	1.2	3.7	0.8	0.6	0.6
Total expenditure (row 17)	75.6	75.7	74.5	117.1	86.3	85.8	87.9
EBITDA (row 19)	24.4	24.3	25.5	-17.1	13.7	14.2	12.1
Depreciation (row 23)	7.2	10.2	10.6	20.0	5.6	3.8	2.4
Interest (row 25)	1.0	0.3	0.3	2.2	0.7	0.8	1.3

Rs. cr behind the percentages: project expenses 114.4 / 101.0 / 139.1 / 70.0 / 213.5 / 357.8 / 607.7; employee 10.0 / 14.3 / 21.9 / 28.6 / 26.4 / 12.0 / 42.1; G&A 78.4 / 54.9 / 23.8 / 24.1 / 19.7 / 24.9 / 40.2 (rows 12-14).

AR basis, FY26 vs FY25 (AR FY26 p.203-205 Notes 30, 32, 35) [A]: project-related expense Rs.622.3cr (78.7% of revenue) vs Rs.368.7cr (79.3%); employee benefit expense Rs.42.3cr (5.3%) vs Rs.12.1cr (2.6%); other expenses Rs.31.3cr (4.0%) vs Rs.18.0cr (3.9%); total 695.7 vs 398.9 (model row 17 ties).

Fixed vs variable. Project expenses are the variable line (sub-contracting, consumables, hire, crew payroll) and have tracked revenue at 70-79% since FY24. Employee plus other expenses (G&A) are the quasi-fixed base: Rs.73.6cr in FY26 (9.3% of revenue) on the AR basis; Rs.87cr including ACE's misc line. The FY20-FY22 G&A of Rs.78cr / 55cr / 24cr (row 14) was not fixed cost but ACE's placement of large project-related items in G&A in those years; it should not be read as overhead.

Operating leverage, both directions:

- FY23 decremental: revenue fell Rs.150.5cr (260.5 to 110.0); EBITDA fell Rs.85.1cr (66.3 to -18.8): decremental margin 56.5%. Project expenses fell only Rs.69.1cr (139.1 to 70.0), employee cost rose Rs.6.7cr (21.9 to 28.6) and G&A was flat (23.8 to 24.1) (rows 12-14). The cost base did not flex because the revenue loss was the termination of ADMCC's only customer in Nigeria (AMNI International, OML 52; AR FY23 p.60) [A] while the Indian seismic/O&M crews were kept.
- FY24 incremental: +Rs.195cr revenue, +Rs.60.6cr EBITDA = 31%. FY25: +Rs.160cr, +Rs.24.3cr = 15%.
- FY26 incremental: +Rs.326cr revenue, +Rs.29.3cr EBITDA = 9.0%. Project expenses +Rs.250cr (76.6% of the increment), employee +Rs.30.1cr, G&A +Rs.15.3cr. The incremental margin is Kuiper's: a manpower-supply business whose cost is crew payroll.

What Kuiper changed in the project-expense note (AR FY26 p.203 Note 30, Rs. cr) [A]:

Sub-line	FY25	FY26	Change
Crew salary and related cost	nil	256.1	+256.1 (new line; Kuiper crews)
Sub-contracting charges	63.2	120.7	+57.5
Stores and consumables consumed	212.4	170.4	-42.0 (CHP EPC materials; Mineral revenue -42%)
Machinery hire charges	33.8	16.7	-17.1
Vehicle hire charges	5.3	2.5	-2.8
Labour charges	7.9	7.2	-0.7
Employee cost related to projects	22.3	27.5	+5.2
Technical consultancy charges	8.2	15.3	+7.0
Repairs - plant and machinery	6.4	1.3	-5.1
Share of expense in producing crude oil (Indrora)	3.5	0.7	-2.8
Freight, power & fuel, camp, licence, service charges	5.5	3.9	-1.6
Total project-related expense	368.7	622.3	+253.6

The ACE schedule's "Other Mfg Exp" jump to Rs.257cr from Rs.3.6cr is this crew-salary line (Rs.256.1cr) plus small residuals. Kuiper is a payroll pass-through: crew cost of Rs.256cr against Rs.299cr of Kuiper revenue implies a gross margin of about 14% before Kuiper's own overhead, consistent with management's "GP margin of ~15%" (PPT 2QFY26 p.446) and the 7% EBITDA margin [M].

R12.3 Cash: is profit turning into cash?

OCF vs PAT, FY17-FY26 (rows 31, 124, 127, 179, 180, 181, 186-189) [S, CFO tied to A]:

Rs. cr	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
PAT	-18.2	10.3	9.1	29.2	22.6	38.8	-44.4	25.5	42.2	51.8
CFO	-18.2	27.3	26.9	89.1	-6.8	48.1	-2.6	-44.1	-33.1	53.0
OCF/PAT	n.m.	2.65	2.96	3.05	-0.30	1.24	n.m.	-1.73	-0.78	1.02
Capex (row 127)	-16.6	-16.4	-23.5	-14.2	-36.6	-42.4	-1.3	-28.6	-19.0	-60.6
FCFF (row 179)	-25.2	10.9	3.5	75.1	-43.5	5.8	-3.9	-72.7	-52.1	-7.7
Debtor days (row 186)	103	73	114	99	170	165	362	145	141	132
Debtor + unbilled days (row 187)	109	97	160	123	223	230	473	184	205	209
Creditor days (row 188)	92	74	93	72	124	115	192	70	84	86

Cumulative FY17-FY26: PAT Rs.166.9cr, CFO Rs.139.6cr, capex Rs.259.3cr, FCFF -Rs.109.6cr. Cumulative FY24-FY26 (the growth phase): PAT Rs.119.5cr, CFO -Rs.24.2cr, FCFF -Rs.132.5cr. The answer to "is profit turning into cash" is no for the last three years taken together, and FY26's apparent recovery is weaker than it looks:

- FY26 CFO of Rs.53.0cr includes Rs.19.7cr of fixed-deposit redemptions classified inside operating working capital ("(Investment in)/redemption of fixed deposits not considered as cash and cash equivalents 1,966.82 lakh"); FY25 CFO carries -Rs.23.3cr of the same item (AR FY26 p.162) [A]. Underlying CFO is Rs.33.3cr in FY26 and -Rs.9.8cr in FY25. Treasury movements do not belong in CFO; this flatters FY26 and depresses FY25.
- FY26 CFO also benefits from Kuiper's opening working capital: trade receivables released Rs.19.4cr in a year in which revenue rose 70% (AR FY26 p.162: "(Increase)/Decrease in Trade Receivables 1,940.54") [A], because the acquired receivables came in through the acquisition line, not through operations. Contract assets absorbed Rs.77.9cr.
- Capex of Rs.60.6cr is three times depreciation (row 206: 3.2x) and 73% of it is Indrora oil wells (CWIP, see flags), not the services business.

Receivables at FY26 (AR FY26 p.190-192 Note 14; p.193 Note 17; p.209 Note 41) [A]:

- Gross trade receivables Rs.369.8cr; ECL allowance Rs.22.1cr (6.0%); net Rs.347.7cr (row 82 ties). Of the net, Rs.101.5cr is "receivable from related parties" (FY25: Rs.126.5cr) and Rs.246.2cr others.
- Related-party debtors (p.224 Note 46C): Asian Indwell JV Rs.49.2cr, AESL FFIL JV Rs.26.1cr, Zuberi Asian JV Rs.15.7cr, Oilmax Energy (the promoter) Rs.10.5cr. The JVs are the AESL-controlled AOPs that hold the coal-handling-plant contracts with CIL subsidiaries; AESL sub-contracts to them, so the end-customer receivable sits in the JV (equity-accounted, off balance sheet) and AESL's receivable is from its own JV. Revenue from related parties was Rs.239.6cr, 30% of FY26 revenue (p.226 Note 51c) [A].
- Retention money inside receivables: Rs.95.2cr (FY25: Rs.53.5cr), 26% of gross, "due after the completion of the project" (p.191 Note 14 note 3; p.227 Note 51g) [A]. Normal credit terms are 30-60 days.
- Ageing (gross, from due date), Rs. cr: not due 161.4 (incl. Rs.13.3cr unbilled); <6 months 160.4; 6-12 months 8.4; 1-2 years 17.4 (of which 1.8 impaired); 2-3 years 3.4; >3 years 18.9 (18.8 impaired). FY25 for comparison: not due 161.6; <6m 56.9; 6-12m 3.9; 1-2y 3.7; >3y 20.8 (all impaired, then labelled "disputed"). The receivable book doubled in the under-6-month bucket (Kuiper's monthly billing) while the 1-3 year "considered good" bucket rose from Rs.3.7cr to Rs.19.0cr with Rs.1.8cr of provision.
- ECL matrix (p.209 Note 41): 0.1-5% under 180 days, 8-30% for 180-545 days, 100% above 545 days. Movement FY26: opening 22.43, provided 1.59, reversed/written off -1.93, closing 22.09. History: FY22 opening Rs.1.8cr, provided 0.8; FY23 provided 4.5; FY24 provided 15.4 (AMNI, see exceptional); FY25 provided 0.5; FY26 1.6 (AR FY23 p.77; FY24 p.168; FY25 p.173; FY26 p.191) [A]. Over FY22-FY26 the company provided Rs.22.8cr against receivables and wrote off a further Rs.21.5cr through AMNI netting (FY24) and Rs.11.6cr+8.9cr through FY21 settlements.
- Disputed: FY26 note states "there is no disputed trade receivable"; FY25 showed Rs.20.8cr "disputed - credit impaired". The same AMNI balance appears in FY26 as undisputed, >3 years, fully impaired (Rs.18.8cr). Counterparty named only in the FY23 auditor's report and FY24 exceptional note (AMNI International Petroleum Development OML 52 Company Ltd, Nigeria) [A]. The Rs.2.7cr FY26 exceptional write-off followed "the recommendation of the Outside Expert Council in respect of contractual dispute" (p.205 Note 36); counterparty not disclosed.
- Trade receivable due from "a private company in which a director is a director": Rs.10.5cr (FY25 10.3; FY24 11.3; FY23 25.2) = Oilmax [A].
- Contract assets (unbilled): Rs.164.7cr gross, Rs.163.9cr net, up from Rs.86.0cr (FY25) and Rs.25.8cr (Apr-2024) (p.193 Note 17; p.227 Note 51e) [A]. That is 21% of FY26 revenue and 2.5x the Apr-2024 level on 2.6x the revenue. The note attributes it to "lower progress billing as compared to revenue recognition during the year in certain projects" and the KAM on revenue recognition covers exactly this (input-method POC on EPC contracts of 2-3 years, p.149-150) [A]. Loss allowance on contract assets Rs.0.76cr (0.5%). Model row 85 (ST loans & advances, Rs.210.5cr) carries the contract assets plus Rs.46.3cr of other items.
- Trade payables rose to Rs.229.6cr (86 days) of which Rs.91.1cr is past due under one year and Rs.0.4cr over one year; MSME dues Rs.14.9cr, Rs.3.4cr past due (p.202 Note 26) [A].

Net working capital days of 123 (row 189) on Rs.791cr revenue means every Rs.100cr of growth needs about Rs.34cr of working capital before any margin.

R12.4 Treasury and debt, FY22-FY26

Rs. cr	FY22	FY23	FY24	FY25	FY26
Cash & bank incl. FDs (row 83)	50.2	26.9	38.9	77.7	146.8
of which cash & cash equivalents (AR)	27.9	17.3	8.6	19.9	108.7
of which FDs 3-12 months (AR)	22.3	9.6	30.3	57.8	38.1
FDs >12 months (in other non-current financial assets, AR)	4.5	n.e.	n.e.	6.1	11.0
Deposits held as margin/collateral (AR)	n.e.	n.e.	n.e.	38.2	55.9
Current investments - liquid MFs (row 80)	0	13.1	3.4	18.4	0
Secured LT loans (row 50)	2.5	2.6	0.9	6.3	72.2
Current maturities (row 198)	0.8	1.0	2.3	1.6	25.2
ST borrowings - working capital (row 60)	4.0	15.6	18.0	15.8	60.7
Total debt (row 199)	7.3	19.1	21.3	23.7	158.1
Net debt / (cash) (row 200)	-42.9	-20.9	-21.1	-72.4	11.3
Shareholders' funds (row 46)	241.8	199.5	277.9	398.7	494.2
Interest expense P&L (row 25)	0.8	2.5	2.1	3.8	10.7

n.e. = not extracted (the FY22-FY24 footnotes exist but did not parse; FY25-FY26 from AR FY26 p.188 Note 9 and p.193 Note 16). Sources: AR FY22 p.153, p.156; AR FY24 p.170, p.172; AR FY26 p.193, p.196 [A].

Debt composition by year (AR borrowings notes) [A]: FY22 vehicle loans Rs.3.3cr at 9.9% fixed and cash credit Rs.4.0cr; FY23 vehicle Rs.3.6cr, cash credit Rs.15.6cr; FY24 vehicle Rs.3.2cr, cash credit Rs.18.0cr; FY25 term loan Rs.6.8cr (Bank of Maharashtra), vehicle Rs.1.1cr, cash credit Rs.15.8cr. Until FY25 the company was effectively unlevered.

FY26 debt (AR FY26 p.196-198 Note 20) [A]:

1. Bank of Maharashtra term loan Rs.32.1cr: "purchase of plant and machinery", MCLR plus spread = 9.30% at 31-Mar-2026, 42 equal monthly instalments to FY2029-30, hypothecation of the machinery plus corporate guarantee by Oilmax Energy (the promoter).
2. Kotak Bank term loan USD 6.7m to Asian Oilfield & Energy Services DMCC "for the purpose of acquisition of Kuiper Group", SOFR plus spread = 7.0% at 31-Mar-2026, 54 equal monthly instalments to FY2030-31, corporate guarantee by AESL (CARO: guarantee outstanding USD 61.6 lakh = Rs.58.3cr, p.76) [A]. Implied rupee balance Rs.62.2cr (term loans Rs.94.4cr less BoM Rs.32.1cr).
3. Vehicle loans Rs.3.0cr at 8.75-10.0%, 39-48 months to FY2029-30.
4. Working capital Rs.60.7cr: cash credit from Bank of Maharashtra (MCLR + 1.5%, first pari-passu charge on current assets, FDs, Oilmax corporate guarantee), Union Bank of India (MCLR + 1.5%, exclusive charge on certain FDs, hypothecation, personal guarantees of Kapil Garg, Ritu Garg and Aman Garg with their personal immovable property, Oilmax corporate guarantee) and Citi (pari-passu charge on current assets, FD pledge of 25% of limits). Oilmax-guaranteed cash credit drawn Rs.27.5cr (p.225 Note 46D).
5. Covenants: "the Group is required to comply with certain financial covenants and has complied with those covenants throughout the reporting periods" (p.213 Note 42); the covenants themselves are not disclosed; board gearing ceiling "less than 0.50" (p.213). Rating: CRISIL BBB+ / A2, "Watch Developing" since the Oilmax merger, Rs.317.5cr of facilities rated (30-Jul-2026 filing) [M]; Ind-Ra IND BBB withdrawn at the company's request 24-Apr-2026 [M].
6. Inconsistencies to put to management: Note 20(b)(iv) states "apart from Holding Company, none of the entities within the Group have taken borrowings from banks" while Note 20(a)2 records the Kotak loan in DMCC; and the quarterly stock statements filed with banks differed from books by up to Rs.3.8cr (Dec-2025) [A].

Interest cost: P&L finance cost Rs.10.65cr (p.204 Note 33) = interest on borrowings Rs.7.37cr + bank/guarantee charges Rs.2.62cr + decommissioning unwinding Rs.0.56cr + other Rs.0.11cr. Interest on borrowings / average gross debt ((23.7+158.1)/2 = 90.9) = 8.1%; total finance cost / average debt = 11.7% (row 25 / rows 199). FY25: 3.83 / 22.5 = 17% because bank guarantee commission (Rs.2.0cr) dominated a small debt base. Variable-rate borrowings Rs.155.1cr; a 0.8% move = Rs.1.24cr PBT (p.212 Note 41) [A].

R12.5 Ratios, FY17-FY26 (rows 195, 197, 203, 204, 199/46, 24/25)

	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
ROE (PAT/avg NW)	-39.6%	9.3%	6.2%	17.5%	11.7%	17.4%	-20.1%	10.7%	12.5%	11.5%
ROCE (post-tax EBIT / avg CE incl. cash, row 197)	-15.5%	11.5%	7.3%	13.8%	10.6%	11.5%	-11.5%	8.1%	8.3%	9.1%
ROCE ex-cash (row 203)	-27.2%	17.1%	9.6%	39.7%	22.8%	20.3%	-21.6%	11.4%	16.6%	18.4%
Asset turnover (row 204)	0.65	0.96	0.82	1.04	0.70	0.76	0.35	0.90	0.95	1.05
Gross debt / equity	1.01	0.18	0.07	0.00	0.01	0.03	0.10	0.08	0.06	0.32
Interest cover (EBIT/interest)	-3.8	4.3	3.0	17.7	52.7	51.3	-14.9	15.0	14.1	8.0
Other income / PBT	n.m.	34%	43%	9%	22%	7%	n.m.	22%	10%	13%
Effective tax rate	n.m.	1.9%	0.9%	28.1%	7.9%	4.6%	n.m.	10.9%	24.9%	24.7%

ROE of 11-12% in FY24-FY26 is below any reasonable cost of equity for a small-cap contractor, and it was earned on a balance sheet that carried Rs.42-147cr of cash; ROCE ex-cash of 16-18% is the operating return, but it falls to 9% once the cash the company insists on holding is counted. FY20 (ROE 17.5%, ROCE ex-cash 40%, cash conversion 3x) remains the only year that combined growth, margin and cash.

R12.6 Accounting flags (each with amount and source)

1. Exceptional items by year (model row 27; AR notes) [A]:
   - FY17 +Rs.19.19cr: trade payables and inter-corporate deposits written back Rs.19.19cr (AR FY18 p.130 Note 29). This is the "Rs.19cr liability write-back"; without it FY17 PBT would have been -Rs.37.2cr.
   - FY18 -Rs.10.34cr: impairment of other current financial assets 9.98, provision for settlement of litigation 5.13, allowance on receivables on settlement with a customer 2.09, doubtful advances 1.64, write-offs 0.99; less write-back of payables/ICDs 9.49 (AR FY18 p.130).
   - FY19 -Rs.2.51cr: receivables written off 1.76, supplier advances written off 1.29, FX gain +0.54 (AR FY20 p.159).
   - FY20 -Rs.6.87cr: impairment of unbilled revenue 5.78, supplier advances 2.51, write-back +1.43 (AR FY20 p.159).
   - FY21 -Rs.12.34cr: receivables written off on settlement with a customer 11.64, other financial assets written off 8.87, less vendor liabilities written back 8.16 (AR FY21 p.143).
   - FY22 nil.
   - FY23 -Rs.6.07cr: impairment of receivables/contract assets on termination of contract with a customer (AMNI) 4.53, supplier advances 1.54 (AR FY24 p.179 Note 37).
   - FY24 -Rs.1.85cr net, gross Rs.20.4cr of charges: AMNI impairment 14.92, court-ordered vendor settlement provision 5.52; less tax liability on the terminated contract written back 13.25 and other liabilities written back 5.33 (AR FY24 p.179). Rs.21.49cr payable to a vendor was netted against the AMNI receivable through a novation (same note).
   - FY25 nil.
   - FY26 -Rs.9.40cr: Kuiper acquisition costs 6.68 (expensed, Ind AS 103) and a contractual-dispute write-off 2.72 (AR FY26 p.205 Note 36).

Pattern: write-offs of receivables and advances appear in seven of ten years (cumulative gross charges about Rs.78cr), and liabilities "no longer required" are written back in five of them (cumulative about Rs.57cr). In substance these are recurring; the receivable write-offs alone average Rs.5cr a year against reported ECL charges in other expenses of Rs.0.3-1.5cr.

2. Audit opinions. The consolidated audit opinion was qualified in FY21, FY22 and FY23 (Walker Chandiok & Co LLP) over (a) ADMCC receivables of USD 8.5m (FY21) and USD 4.65m (FY23) "unconfirmed as at reporting date" and (b) Nigerian PPE of USD 0.78m "not physically verified and not tested for impairment" (AR FY21 p.107; AR FY23 p.60) [A]. FY24-FY26 opinions are unqualified. Walker Chandiok completed its second five-year term at the Sep-2025 AGM and SGCO & Co. LLP (partner Suresh Murarka) audited FY26 (AR FY26 p.29) [A]. The FY23 standalone report carried an emphasis of matter on the Rs.6.5cr investment in ADMCC (p.29).
3. Key audit matters FY26: (i) revenue recognition on EPC contracts under the input method and (ii) the Kuiper business combination and its provisional purchase-price allocation (AR FY26 p.149-151) [A]. Other matters: five subsidiaries with total assets Rs.34.4cr and net loss Rs.16.1cr were audited by other auditors; fifteen subsidiaries/step-downs with total assets Rs.25.9cr were unaudited; eighteen foreign subsidiaries' statements were converted by management from local GAAP (p.153-154) [A]. Rule 11(g): audit trail "not enabled at the database level" (p.156) [A]. CARO FY26 (standalone): statutory dues regular, no default, no fraud, no whistle-blower complaints; loan to one subsidiary Rs.2.08cr fully provided in earlier years; guarantees of Rs.56.2cr given for a subsidiary and Rs.102.5cr (USD 12m) for "others" during the year (p.76-78) [A]. Finance cost includes interest on delayed statutory dues Rs.0.05cr (FY25: 0.04 plus Rs.0.18cr late income-tax interest and Rs.0.02cr MSME interest) (p.204 Note 33) [A].
4. Restatements (model Notes sheet rows 10-12; ARs): FY19 CFO Rs.34.8cr in the FY19 AR became Rs.26.9cr in the FY20 comparatives (bank overdraft netting); FY21 CFO -Rs.17.5cr became -Rs.6.8cr in FY22 comparatives; FY23 expense lines re-split in the FY24 AR (employee 28.59 to 28.68, other 18.91 to 18.82). New in FY26: the FY25 comparatives move Rs.22.3cr of "employee cost related to projects" out of employee benefit expense (FY25 AR:

Rs.34.4cr, p.184) into project expenses (FY26 AR comparatives: employee Rs.12.1cr, project Rs.368.7cr vs Rs.346.4cr originally) [A]. ACE carries the restated FY25 (row 12: 12.04) but the original FY24 (26.44), so the model's employee line is on two bases across FY24/FY25. FY26 employee cost of Rs.42.3cr is on the new basis.

5. Capitalised costs: CWIP Rs.46.1cr at FY26 is entirely "oil wells in progress" at Indrora (opening 2.6, additions 44.4, capitalised 0.9) (AR FY26 p.184 Note 4) [A]. Together with oil assets of Rs.36.2cr gross in PPE (p.184 Note 3) the group has Rs.82cr in a 50% participating interest bought from the promoter in FY24 (Note 57; Indrora proved reserves 1.33mn bbl net, production 10,000 bbl in FY26, i.e. ~27 bopd). FY26 PPE purchases from Oilmax were Rs.7.5cr (p.223 Note 46B). Depletion charged on oil assets was Rs.0.28cr. If the Indrora ramp to "~1,000 bopd by FY27" (PR 4QFY26) [M] does not happen, Rs.82cr of E&P capital sits in a services company at cost. Decommissioning provision Rs.5.2cr (p.199 Note 24).
6. Other income (row 22) composition and share of PBT (AR other-income notes: FY18 p.128, FY19 p.140, FY20 p.157, FY21 p.141, FY22 p.160, FY24 p.177, FY26 p.203) [A]:
   - FY17 3.89: interest 1.30, liabilities written back 2.60. Share of PBT n.m. (loss).
   - FY18 3.52: interest 2.86, write-backs 0.34, misc 0.33. 34% of PBT.
   - FY19 3.98: interest 1.95, write-backs 1.13, scrap 0.30, asset-sale gain 0.14, misc 0.45. 43% of PBT.
   - FY20 3.58 (ACE 3.47): interest 2.12, FX gain 0.51, misc 0.54, asset-sale gain 0.22, write-backs 0.11, scrap 0.08. 9% of PBT.
   - FY21 5.42: interest 2.74, interest on income-tax refund 2.02, FX gain 0.51, misc 0.15. 22% of PBT.
   - FY22 2.83: interest 1.54, tax-refund interest 1.09, misc 0.18. 7% of PBT.
   - FY23 4.10: interest 2.22, overdue-receivable interest 0.78, tax-refund interest 0.49, MF gain 0.15, misc 0.46. n.m. (loss).
   - FY24 6.22: interest 1.94, FX gain 1.88, misc 1.61, MF gain 0.50, overdue interest 0.26. 22% of PBT.
   - FY25 5.41: interest 3.97, MF gain 1.26, tax-refund interest 0.18. 10% of PBT.
   - FY26 8.89: interest 4.49, FX gain 1.15, misc 1.27, MF gain 1.07, write-backs 0.91. 13% of PBT.

Interest on FDs of Rs.4.5cr on average cash and bank of Rs.112cr is a 4% yield; the company borrowed at 7-9.3%.

7. ESOP charges (where they sit: employee benefit expense; the FY25 portion for subsidiary employees went to other equity) [A]: FY18 Rs.0.38cr; FY20 0.33; FY21 0.28; FY22 0.07; FY23 0.03; FY24 0.14; FY25 0.85 in P&L plus 0.75 in equity; FY26 Rs.9.19cr in P&L (AR FY26 p.204 Note 32; p.217 Note 43). The FY26 jump comes from ESOP 2025 (8,00,000 options granted 7-Oct-2025: 3,80,500 at an exercise price of Rs.10 and 4,19,500 at Rs.200, share price at grant Rs.325.9, fair value Rs.314.3 per option, i.e. a Rs.25cr grant to be expensed over 1-3 years) (p.217-218) [A]. Of the options, 3,05,740 went to "employees of group entities" (p.196 Note 19g(iv)) and Rs.3.81cr of ESOP cost is recorded as a transaction with Oilmax (p.223 Note 46B); Rs.3.41cr of the expense relates to Dr Rabi Bastia, a non-executive director (p.224) [A]. Dilution: 8.99 lakh options outstanding at FY26 on 4.49cr shares (2.0%).
8. Kuiper purchase price allocation (AR FY26 p.230 Note 55) [A]: consideration per SPA Rs.87.6cr (announced as USD 9.25m "all-cash" on 18-Apr-2025 [M]) plus "changes on account of working capital and other items" Rs.35.3cr = net investment Rs.122.8cr (model row 132: -122.8). Fair value of net assets Rs.162.8cr: fixed assets 4.5, current assets 240.6 (including cash and cash equivalents Rs.72.1cr, model row 154), non-current liabilities 8.3, current liabilities 73.0, pre-acquisition tax adjustment -0.9. Result: capital reserve (bargain purchase) of Rs.40.0cr credited to equity, not goodwill. No customer-contract or workforce intangibles were recognised (intangibles added on combination: software Rs.0.5cr, p.185). The accounting says AESL paid 0.75x book for a business with Rs.68m of annual revenue; the KAM calls the PPA "provisional" (p.151) while Note 55 calls it "final". Kuiper's revenue and profit since acquisition are not disclosed as such (Ind AS 103 B64(q) disclosure absent); proxies are "revenue outside India" Rs.299.4cr (Note 45) and the entity-level profits in Note 56 (OCB Oilfield Services DMCC Rs.34.3cr, Kuiper Group Ltd Rs.9.0cr, Kuiper HR WLL Rs.8.5cr, Global Resources Management Rs.5.3cr, PT Oilfield Crew Rs.2.5cr, against losses in Nexus KSA -4.0, Kuiper International Singapore -1.8 and others; consolidation eliminations of -Rs.43.8cr make the net contribution unreadable) [A]. Management: Kuiper EBITDA margin 7% [M], i.e. about Rs.21cr on Rs.299cr. The Rs.72cr of acquired cash explains why consolidated cash rose Rs.69cr in a year of Rs.123cr acquisition spend. Minority interests in the Kuiper structure (Kuiper Triangle DMCC 51% owned) and Optimum (74%) gave FY26 minority PAT of Rs.0.68cr (row 32) and Rs.0.82cr of NCI (row 47); several Kuiper entities are held through nominee and power-of-attorney

arrangements for 49% legal ownership (Maaber Qatar, Kuiper HR WLL, Kuiper Malaysia, PT Oilfield Crew) (p.232 footnotes) [A].

9. Tax: FY24 effective rate 10.9% (row 30) because brought-forward losses were set off (tax effect Rs.5.87cr) after the group "prudently decided not to recognize deferred tax assets" of Rs.6.18cr on FY23 losses (AR FY23 p.77 Note 7.4; AR FY24 p.167 Note 11.3) [A]. FY18-FY19 and FY21-FY22 rates of 1-8% reflect the same unrecognised loss pool. FY26: net deferred tax asset Rs.5.07cr (from DTL Rs.2.64cr), of which Rs.3.04cr came in with Kuiper; losses on which no DTA is created reduced the charge by Rs.1.79cr; prior-year tax Rs.2.68cr (p.189, p.200) [A]. Current tax payable jumped to Rs.12.9cr from Rs.1.5cr.
10. Vaan Electric Moto: Rs.6.0cr of convertible notes bought in FY22 (AR FY22 p.149), converted to 21,500 shares plus a Vaan Group holding; fully impaired in FY26 (Rs.6.33cr) through OCI, not P&L (AR FY26 p.187 Note 8) [A]. A two-wheeler EV investment by an oilfield contractor, written off outside earnings.
11. Non-core and related-party economics: sale of services to Oilmax Rs.27.8cr (FY25 18.7); reimbursements for Indrora; rent of Rs.0.64cr each to Kapil Garg and Ritu Garg with Rs.3cr security deposits each; professional fees Rs.0.06cr (FY25 0.72) to a then-director (p.223-224 Note 46) [A].
12. Contingent liabilities: nil at FY26 (FY25 Rs.0.08cr) (p.206 Note 38) [A]; no capital commitments (Note 49). Guarantees given are in CARO (item 3) not in contingent liabilities.
13. Minor: trade payables of Rs.0.3cr over three years old; Note 23 statutory dues payable Rs.5.0cr; labour-code gratuity past-service cost Rs.0.42cr (Note 52).

R13. Capital allocation

R13.1 Sources and uses, FY17-FY26 cumulative (model rows 124-155; AR notes for prices and names)

Sources, Rs. cr	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26	Total
CFO (row 124)	-18.2	27.3	26.9	89.1	-6.8	48.1	-2.6	-44.1	-33.1	53.0	139.6
Equity & warrants (row 144)	88.6	48.0	0	0	0	2.5	0	49.9	78.5	2.2	269.6
LT debt drawn (row 141)	0	5.2	0	0	2.6	1.2	0.8	0.4	6.8	96.7	113.8
ST debt net (row 143)	22.9	-61.9	-0.1	-4.4	0	4.0	11.6	2.4	-2.2	44.9	17.1
Cash acquired with Kuiper (row 154)										71.7	71.7
Interest received (row 134)	0.6	1.4	3.0	2.5	4.5	0.7	1.8	1.8	2.0	4.5	22.7
Uses, Rs. cr											
Capex (row 127)	16.6	16.4	23.5	14.2	36.6	42.4	1.3	28.6	19.0	60.6	259.3
Acquisitions (row 132)	-2.0	0	0	0	0	0	0	0	0	122.8	120.8
Investments net (rows 130-131)	-0.4	14.3	0	0	0	6.1	13.0	-4.8	16.2	-19.5	25.0
LT debt repaid (row 142)	50.4	0	14.3	5.6	0.1	0.4	0.6	0.7	1.5	7.2	80.8
Interest paid (row 146)	19.4	8.2	1.1	3.1	0.9	0.4	0.9	2.0	2.6	7.4	46.2
Loans/ICDs given net (row 135)	0	0	0	0	0	2.0	6.7	-9.6	0	0	-0.9
Dividends (row 145)	0	0	0	0	0	0	0	0	0	4.4	4.4
Lease and other financing (row 149)	0	0	0	4.4	1.0	1.1	0.9	0.9	0.8	1.1	10.2
Cash & bank, year-end (row 83)	29.1	24.6	25.2	82.0	23.9	50.2	26.9	38.9	77.7	146.8	

Ten-year picture: Rs.270cr of equity, Rs.50cr of net new debt and Rs.72cr of acquired cash were needed alongside Rs.140cr of CFO to pay for Rs.259cr of capex, Rs.121cr of acquisitions, Rs.46cr of interest and a cash pile that grew from Rs.10cr to Rs.147cr. Dividends returned Rs.4.4cr (1.6% of the equity raised). No buybacks (AR FY26 p.195 Note 19f: none in the last five years) [A].

Equity raised, by year, investor and price (AR FY18 p.124 Note (f)-(g); Capital-Raise filings; AR FY26 p.194-196 Note 19) [A/M]:

- Dec-2016 / FY17: 1,00,00,000 warrants to the promoter (Oilmax Energy) and 45,00,000 to a non-resident at Rs.80, 50% paid upfront (Rs.58cr); 12,50,000 shares to an NRI investor at Rs.165 (Rs.20.6cr). FY17 year-end price Rs.232 (FY17 low Rs.30.4, so the warrants were struck near the pre-takeover price and the stock had risen 3x by the time the promoter paid the balance).
- FY18: balance 50% received: Rs.30cr from the promoter on 75,00,000 warrants and Rs.18cr from the non-resident on 45,00,000; 25,00,000 promoter warrants were not exercised (Rs.10cr upfront money retained). FY18 close Rs.187.
- FY22-FY23: ESOP exercises Rs.2.5cr.
- Aug-2023 / FY24: 67,00,000 warrants at Rs.127.50 (floor price at 30-Jun-2023): Oilmax 33,50,000, Chartered Financial 19,00,000, Anantroop Financial 7,50,000, Meenakshi Agrawal 5,00,000, Sanket Rathi 2,00,000. Non-promoters converted 9,44,117 (Sep-2023) and 19,05,883 (Mar-2024); Oilmax converted its 33,50,000 on 27-Aug-2024 (Rs.32.0cr balance) and the last 5,00,000 on 4-Sep-2024. FY24 close Rs.271, FY25 high Rs.444: the promoter paid Rs.127.50 for shares then trading at about Rs.330-440 (FY25 ACE high 444.35, row 46 of the ACE standalone sheet) [S].
- Nov-2024 / FY25-FY26: 47,00,000 warrants at Rs.335 to 28 non-promoter allottees (Titagarh Enterprises 13,13,400; Everest Finance 5,74,000; Ashish Kacholia 5,74,000; Shruthi Iyer 5,00,000; Mohit Agrawal 4,00,000; others), 25% upfront Rs.39.4cr; 36,62,702 converted on 5-May-2026 for Rs.92.0cr and 10,37,298 lapsed, forfeiting Rs.8.69cr of upfront money to the company (AR FY26 p.196 Note 19h) [A]. FY26 close Rs.238.7, i.e. the warrants were out of the money for most of the exercise window; the 22% that lapsed were the holders who declined to pay Rs.251.25 for a Rs.230-260 share in Apr-2026.

Share count: 2.23cr (FY16) to 4.49cr (FY26) to 4.86cr (May-2026): 2.2x in ten years before the merger.

Debt raised: Rs.96.7cr of term loans in FY26 (Kotak USD 6.7m for Kuiper; BoM Rs.32cr for machinery) plus Rs.44.9cr net working-capital draw (rows 141, 143) [A].

Capex by business: the segment note does not allocate capex (AR FY26 p.222 Note 45 VII: CODM does not review it) [A]. From the PPE/CWIP notes (p.184) [A], FY26 additions of Rs.60.2cr were oil wells CWIP 44.4, oil assets 6.6, vehicles 4.1, vessels 3.0, plant & machinery 0.9, office/computers/furniture 1.2: 85% went to the Indrora E&P interest. FY25 additions Rs.23.5cr: plant & machinery 15.7, oil assets 4.0, CWIP 1.5, vehicles 0.9. Gross block ex-oil assets has been flat at about Rs.325cr since FY24 (row 68), so the services fleet is being depreciated, not renewed (depreciation Rs.17-19cr a year, rows 23).

Acquisitions: Kuiper Rs.122.8cr net (Rs.87.6cr SPA plus Rs.35.3cr working-capital true-up) with Rs.72.1cr of cash inside and Rs.6.7cr of deal costs expensed (R12 flag 8). Indrora 50% participating interest from Oilmax: oil assets Rs.25.6cr at Mar-2024 rising to Rs.36.2cr gross plus CWIP Rs.46.1cr at FY26 (p.184); the purchase price paid to the promoter is in the FY24 related-party note ("Payment towards acquisition of participatory interest in an oil field", nil in FY25-FY26) and was not extracted here (gap). Cure Multitrade (51%, Oct-2022, Rs.0.2cr) and its Nigerian step-down Ivorene; Optimum Oil & Gas (74%, Nov-2019, Rs.0.07cr) (AR FY26 p.105 standalone Note 7; p.218 Note 44) [A].

Subsidiary funding and ICDs: equity in subsidiaries is only Rs.6.4cr at cost (DMCC Rs.6.2cr) (p.105) [A]; the foreign subsidiaries have been funded by loans and guarantees instead. FY26 CARO: loans of Rs.35.3cr given to a subsidiary during the year, Rs.0.09cr outstanding (bridge for Kuiper, repaid); guarantees Rs.56.2cr to a subsidiary (Kotak) and Rs.102.5cr (USD 12m) to "others" (p.76) [A]. A Rs.2.08cr loan to one subsidiary is fully provided (p.76). Inter-corporate deposits: Rs.12.0cr given in FY23 and Rs.5.0cr in FY24, repaid (AR FY24 p.67; "loan given to a financial institution for short duration", AR FY23 p.76) [A], i.e. treasury ICDs to an NBFC, not to related parties. No ICDs to Oilmax are disclosed in FY24-FY26; the Oilmax balance is a trade receivable (Rs.10.5cr).

Capital sunk without milestones: DMCC net assets -Rs.10.5cr and FY26 loss Rs.9.1cr (FY25 loss 5.0); AOSL Petroleum Pte (Singapore) net assets -Rs.25.9cr, loss 1.4; AOSL Energy Services (India) -Rs.0.09cr; Ivorene Nigeria Rs.0.05cr (AR

FY26 p.230-231 Note 56) [A]. The Nigerian equipment (USD 0.78m) was the subject of an audit qualification for two years. On 21-Aug-2026 the board approved selling 26% of AOSL Energy Services to Sadhav Shipping to form a marine-services JV (Order-Wins filing) [M]; consideration not stated in the extract.

Treasury parked while raising equity: cash plus bank plus liquid funds were Rs.42.3cr at FY24 and Rs.96.1cr at FY25 while the company raised Rs.49.9cr and Rs.78.5cr of equity in those years and paid 7-9% on Rs.18-24cr of bank lines. At FY26 it held Rs.146.8cr (Rs.55.9cr of which is margin money against guarantees and borrowings, p.193) against Rs.158.1cr of gross debt. Interest income of Rs.4.5cr (row 134) vs finance cost Rs.10.7cr. Mutual-fund churn was Rs.247cr of purchases and Rs.222cr of redemptions over FY18-FY26 (rows 130-131) for cumulative MF gains of Rs.3.0cr. The dividend of Rs.4.4cr (Rs.1.00 for FY25, paid FY26) and the proposed Rs.1.25 for FY26 (Rs.5.6cr, row 38) were declared in the same two years as Rs.170cr of equity and warrant money came in: paying a dividend out of freshly raised equity.

R13.2 Returns on incremental capital, FY20-FY26 (rows 24, 46, 199, 83, 80)

Capital employed ex-cash = net worth + gross debt - cash and bank - current investments.

Window	Incremental EBIT	Incremental CE ex-cash	Incremental ROCE	Incremental CE incl. cash	Incremental ROCE (gross)
FY20 to FY26	+35.0 (50.4 to 85.4)	+405.9 (99.5 to 505.4)	8.6%	+470.8	7.4%
FY20 to FY23	-87.0	+79.0	negative	+37.1	negative
FY23 to FY26	+122.0 (-36.6 to 85.4)	+326.9	37.3%	+433.7	28.1%
FY24 to FY26	+54.4 (31.0 to 85.4)	+248.6	21.9%	+353.1	15.4%

The honest window is FY20 to FY26, which spans one full cycle: Rs.406cr of additional capital (five times the FY20 base) produced Rs.35cr of additional pre-tax EBIT, an 8.6% incremental return before tax. Measured from the FY23 trough the return looks good, but that is recovery of EBIT that existed in FY20-FY22, not new return on new capital. Within the Rs.406cr: receivables and unbilled +Rs.356cr, Kuiper Rs.123cr (returning perhaps Rs.21cr of EBITDA), Indrora Rs.82cr (returning Rs.0.5cr of crude sales net), offset by payables +Rs.166cr.

R13.3 Verdict

Capital has not been well allocated, judged by what owners have received for what they put in. Over FY17-FY26 shareholders supplied Rs.270cr (plus Rs.92cr in May-2026) and were paid Rs.4.4cr; the company's cumulative free cash flow to the firm is -Rs.110cr; the share count is up 2.2x (and will roughly double again under the merger); ROE has not exceeded 12.5% in the growth years. The specific decisions that look poor on the record: (1) equity issued to the promoter and others at Rs.127.50 in 2023 when the business already had Rs.40cr of cash, converted at a 60-70% discount to market; (2) Rs.82cr diverted into a 27-bopd oil interest bought from the promoter; (3) Rs.6.3cr into an EV start-up, written off; (4) Rs.36cr of cumulative losses in two offshore subsidiaries that produced the Nigeria write-off and three qualified audits; (5) a dividend started while raising equity. The decisions that may yet prove right: Kuiper (bought at 0.75x fair-value book with Rs.72cr of cash inside, if its 7% margin and Rs.300cr of annual revenue are durable and the Middle East holds) and the CHP/EPC order book (Rs.1,754cr) if its receivables and retentions are collected. The test for the next two years is simple: CFO must exceed PAT without fixed-deposit movements, and the new Rs.158cr of debt must be repaid from operations rather than refinanced with equity.

R14. Management

Name and role	Background (as disclosed)	Our assessment
Dr. Kapil Garg, Managing Director (board since 7-Jul-2020; promoter)	B.Tech and M.Tech IIT Roorkee; production roles at ONGC, Enron, GAIL; MD of BG Group (India) [M] (AR FY26, p.14). Founded Oilmax (2008). FY26 remuneration Rs.2.77 cr, 51.4x median employee, +76% y/y; shareholders approved pay above Reg 17(6)(e) limits by postal ballot 5-Jul-2025 [A] (AR FY26, p.40 Annexure D; p.54). Personally guarantees the Union Bank facility and leases premises to the company (rent Rs.64 lakh; Rs.3 cr deposit) [A] (Note 44).	The company is his strategy: diversification into CHP, Indrora, Kuiper and the Oilmax merger are all his calls. Deep upstream pedigree is real. Key-man risk is high: no COO since Jul-2024, the Group CFO sits in the promoter group, and the merger makes him simultaneously operator, service provider and controlling shareholder.
Nirav Talati, CFO (KMP)	Remuneration Rs.0.83 cr FY26 (+5.6%); ESOP expense Rs.6.8 lakh [A] (Note 44). Background not disclosed.	Statutory CFO, but the earnings calls are fronted by Sumit Maheshwari ("Group CFO"), who is not an AESL KMP [M] (Transcripts 2QFY26, 4QFY26). Two-CFO structure blurs accountability.
Sumit Maheshwari, Group CFO (not a KMP)	Presents numbers on every call since FY25; also answers for Oilmax and Kuiper [M].	De facto finance head of the combined group; his formal employer/appointment is **not disclosed**. Should become KMP post-merger.
Nayan Mani Borah, Chairman, Independent Director (since 19-Mar-2019)	Former Chairman & MD, Oil India Ltd; ex-Technical Member APTEL; SCOPE award [M] (AR FY26, p.14). Attended 7/7 meetings. Chairs Audit, NRC member, CSR chair [A] (p.45-53).	Credible industry elder; gives the board an ex-PSU face useful with ONGC/OIL. Tenure 7 years; second term ends 2029.
Dr. Rabi Narayan Bastia, Non-executive (non-independent) director (since 4-Mar-2013); "CEO – E&P" in group chart	Padma Shri; led Reliance exploration 16 years; D.Sc. [M] (AR FY26, p.15). Attended 4/7. Received ESOPs under 2021 and 2024 plans (ESOP expense Rs.3.41 cr FY26); remuneration approved by postal ballot Jan-2026; other directorships MAN Industries, Akanksha Power [A] (p.45; p.55; Annexure D).	Technical anchor for the E&P ambitions; effectively an executive paid in options while sitting as a non-executive. Attendance is the weakest on the board.
Parikshit Datta, Non-executive (non-independent) director (since 28-May-2025); also director of Oilmax	25+ years in M&A, international tax, transfer pricing; ex-Senior Partner EY tax practice [M] (p.15). Granted options under ESOP 2025 by postal ballot Jan-2026 [A] (p.55). Sits on CSR, SRC, Allotment committees.	Appointed in the run-up to the merger, likely for structuring. Being an Oilmax director, he is a promoter-side director, not independent.
Aman Garg, Non-executive director (since 3-May-2024); son of Kapil Garg [A] (p.45)	B.S. Mechanical Engineering, Rensselaer (2021); worked at Oilmax in project analysis, geology, CSR; interned at AESL 2019 [M] (p.15). No fees; on NRC, ESOP, Borrowing committees; personal guarantor [A].	Succession signal: second-generation promoter at 27-28 on the board and on the committee that sets options and remuneration. Experience is thin for the roles.
Anish Garg, Director of Oilmax; "Director" in the group leadership	Relationship to Kapil Garg **not disclosed** in documents reviewed (listed with Aman Garg under promoter	Likely to surface on the AESL board or management post-merger.

Name and role	Background (as disclosed)	Our assessment
chart; promoter-group member in the merger notice	group) [A] (Merger Notice 9-May-2026).	
Anusha Mehta, Independent Director (since 3-Nov-2016; woman director)	Decade in financial sector (HDFC Bank, Barclays Finance); chairs ESOP Compensation Committee [M/A] (p.14; p.53).	Longest-serving ID (10 years, second term ends 2026); watch for replacement.
Anil Kumar Jha, Independent Director (since 14-May-2024)	B.Tech Mining IIT-ISM; ex-Chairman Coal India; ex-MCL, MOIL; ex-Chairman Jindal Power [M] (p.14). 7/7 attendance.	Directly relevant to the Coal India CHP franchise (MCL, CCL, ECL are CIL subsidiaries). Positive.
Himanshu Naharas, CEO – Kuiper; **Scott McIlwraith**, Director Operations – Kuiper	Named only in the Q4FY26 deck leadership slide [M] (PPT 4QFY26, slide 39). Backgrounds not disclosed.	Retention of the inherited Kuiper team is the thesis for that business ("experienced leadership team", AR FY26, p.9); no disclosed retention terms.
Ashutosh Kumar, Head – Operations (formerly Whole-time Director & CEO until 31-May-2023)	On the board from FY18 to 2023; now in an operating role [A/M] (AR FY25 Note on KMP; PPT 4QFY26).	Continuity of execution; also shows the pattern of executives moving between board and staff roles.
Sadhan Banerjee, CEO – Anirit Ventures (Oilmax's agri subsidiary)	Named in group chart [M].	Not AESL's business today; Anirit was explicitly fenced off on calls ("nothing to do with Asian Energy", Transcript 2QFY26) but appears on AESL's leadership slide.
Shweta Jain, Company Secretary (since at least FY18)	Rs.0.23 cr FY26 [A].	Stable; secretarial audit observations are minor (R15).
Senior management (Reg 16(1)(d)) at Mar-26: Vilas Aade (HR), Amit Pathak (GM Procurement), Diveshkumar Sharma (VP Seismic), Ajay Agnihotri (Manager O&M) [A] (AR FY26, p.53)	Three of the four resigned between 31-Aug and 13-Sep-2026 [M] (Mgmt 31-Aug-2026).	See exits below.

Recent senior exits and what they say.

- Independent director K.R. Bharat resigned 6-May-2022 citing health [M]; Mukesh Jain (NED, had been paid Rs.72 lakh professional fees in FY25) resigned 28-May-2025 citing other engagements [A/M]; Brij Mohan Bansal (ID, NRC chair) resigned 3-Jan-2026 on turning 75 [M]. None cited governance reasons; each filing carries the standard "no other material reasons" confirmation.
- COO Gaurav Srivastava (ex-Schlumberger, IIT Kanpur) joined 3-Oct-2023 and left 13-Jul-2024 "for exploring other avenues" — nine months [M]. No COO since.
- VP Infra Projects Gyanendra Singh resigned 17-Jul-2025 (personal reasons) just as the CHP book was about to double [M].
- The simultaneous departure of the heads of Procurement, Seismic and O&M in Aug/Sep-2026, immediately before the merger became effective, is the item to probe with management: the filing gives no reasons beyond "personal", and the seismic and O&M heads ran the two core Indian businesses.

Which investor types the promoter structure suits. After the merger, the Garg family's holding (two family trusts 31.7%, four LLPs 16.3%, individuals 3.7% = 51.71%; 47.3% fully diluted) is held directly rather than through Oilmax [A] (Merger Pre & Post SHP, AESL post Table II). There is no institutional anchor: zero mutual-fund holding, FPIs 1.34%, and the 2024 warrant round went to HNIs and family offices (Titagarh Enterprises, Ashish Kacholia, Everest Finance, Chartered Finance & Leasing, etc.) [A] (AR FY26, p.62; Capital Raise 5-Nov-2024). This is a founder-run, family-succession company where the promoter also sells services to its own fields; it suits investors comfortable underwriting one person's capital allocation and a related-party-heavy model, and it does not yet have the independent management depth, disclosure cadence or free float that institutional investors require.

R15. Governance

Checks table

Parameter	Status	Comment
Promoter holding and trend	60.75% at Mar-26 (Oilmax 60.61% + Ritu Garg 0.14%); 59.61% Mar-19 to Mar-22; 61.45% Mar-23; 58.52% Mar-24; 60.97% Mar-25; 55.99% after May-2026 warrant conversions; 51.71% post-merger (47.30% fully diluted) [A/M]	Promoter has put in money three times since 2016 (warrants FY17-18, FY24, FY25) but has been diluted by the 2024 non-promoter round and will be again by the merger. Holding is well above 50% until the merger; falls below 50% on a fully diluted basis after it.
Pledges	None. Merger shareholding filings answer "No" to promoter pledge/encumbrance [A] (Merger Pre & Post SHP, declarations). Historical Samara pledge of 2.2 mn shares ended Nov-2016 [A] (AR FY18).	However, Oilmax gives corporate guarantees for AESL's Bank of Maharashtra and Union Bank facilities, and Kapil, Ritu and Aman Garg give personal guarantees and immovable property as security for the Union Bank cash credit (debit balance Rs.27.5 cr at Mar-26) [A] (AR FY26, p.139 Note 44 D; p.195 Note 20).
Independent directors	3 of 7 (Borah, Mehta, Jha); chair is independent; board is compliant [A] (p.44). Tenures: Mehta 10 yrs, Borah 7, Jha 2. Resignations: Bharat (May-2022, health), Bansal (Jan-2026, age 75).	Two of four non-independent directors are family (Kapil, Aman Garg); Bastia and Datta hold ESOPs. Independent bench is thin and about to lose Mehta's second term (Nov-2026). No Risk Management Committee (not required at this size).
Concall regularity	Earnings calls on record: 2QFY20 (19-Nov-2019), 3QFY20 (17-Feb-2020), 1QFY23 (16-Aug-2022), 2QFY25 (13-Nov-2024), 4QFY25 (23-May-2025), 2QFY26 (17-Nov-2025), 4QFY26 (20-May-2026), plus the 8-Sep-2025 merger call and AGM transcripts 2020, 2021, 2026 [M].	Seven earnings calls in six and a half years, none in FY21, FY22 or FY24, and only half-yearly since FY25. Decks are quarterly. Secretarial auditor flagged the 8-Sep-2025 call was announced at two days' notice without the required explanation [A] (p.28).
Auditor	Walker Chandiok & Co LLP completed two five-year terms and ceased at the AGM of 26-Sep-2025; SGCO & Co LLP (FRN 112081W) appointed for FY26-FY30 [A] (AR FY26, p.27). Fees: standalone Rs.80.9 lakh (FY25 Rs.62.0 lakh); group Rs.106.1 lakh (FY25 Rs.55.2 lakh) [A] (p.122; p.203).	Rotation on term completion, not resignation; XBRL filing of the appointment was late [A] (p.28). SGCO is a smaller firm than Walker Chandiok (a Grant Thornton affiliate) for a group that just added 20 foreign subsidiaries.
Audit opinion	Unmodified on standalone and consolidated FY26; KAMs: percentage-of-completion revenue (standalone) and Kuiper purchase-price allocation (consolidated) [A] (p.68-69; p.149). Other matters: SGCO did not audit five subsidiaries (total assets Rs.34.4 cr, net loss Rs.16.1 cr) and 15 Kuiper subsidiaries (total assets Rs.25.9 cr) were unaudited [A] (p.151). Audit-trail (edit log) not enabled at database level [A] (p.232, Note 58). CARO: no disputed statutory dues; no fraud; short-term funds not used long-term; AOSL Petroleum loan Rs.2.08 cr noted as irregular [A] (p.73-75).	Clean, but a material slice of the new overseas group is on management accounts. Earlier years carried emphasis-of-matter on DMCC going concern and the Iraq arbitration (AR FY20) and a qualified opinion on a subsidiary (AR FY19).
Related-party transactions	See table below. Material RPT approvals in FY26: borrow up to Rs.100 cr from Oilmax; O&M/drilling sub-contracts from Oilmax for Tiphuk (Rs.75 cr) and Duarmara (Rs.150 cr); silica-sand mine development contract Rs.1,000 cr; core-drilling services Rs.10 cr/yr; Asian Global JV Rs.50 cr [A] (p.34-35, AOC-2).	The parent is simultaneously customer (Rs.27.8 cr sales), operator of a joint field, landlord (via the Gargs), guarantor and, prospectively, a Rs.1,000 crore counterparty. All are stated to be at arm's length and audit-committee approved.
Penalties / show-cause	AR FY26 states no penalties or strictures by exchanges/SEBI/any statutory authority in FY24-FY26 [A] (p.56). ONGC tender holiday of 2 years from 20-Sep-2024 "on certain technical grounds" relating to 2017/2018 seismic contracts, reduced on review to 6 months (ended 20-Mar-2025) [M] (Orders 20-Sep-2024, 10-Feb-2025). The GST show-cause (Sep-2025) and DRC-01A (May-2025) referred to in the brief **could not be found** in the documents provided; CARO reports no disputed GST dues at 31-Mar-2026 [A] (p.74).	The ONGC ban was the most serious regulator-type event; it is now over, and the Oil India empanelment (Jun-2026) suggests PSU standing is intact.
Dividend record	Nil FY22, FY23, FY24; Rs.1.00/share FY25; Rs.1.25/share FY26 (approx. Rs.6.1 cr on the post-conversion share count), payable 23-Oct-2026 [A] (AR FY22-FY26 Board's Reports; AR FY26, p.60).	Token payout (~11% of standalone PAT) introduced only once the company began raising external equity.
Treasury deployment	Mar-25: mutual funds Rs.18.4 cr; unquoted Vaan Electric Moto Rs.6.23 cr (FVTOCI). Mar-26: mutual funds nil; Vaan written down to nil through OCI; standalone cash Rs.41.6 cr + other bank balances Rs.38.1 cr; consolidated cash Rs.108.7 cr [A] (p.104 Note 8; p.124 Note 40; p.157). Management says "net zero-debt" standalone with cash and deposits Rs.157.8 cr [M] (p.9, p.18).	Consolidated gross borrowings rose from Rs.23.7 cr to Rs.158.1 cr (Kotak USD 6.7 mn, BoM plant loan Rs.32.1 cr, working capital Rs.60.7 cr) [A] (p.195). The Rs.6.2 cr EV-start-up punt was outside the business and lost 100%. Bank stock statements differed from books in two quarters (provisional data) [A] (p.195-196).
Capital sunk into subsidiaries	Legacy offshore ~Rs.11 cr with Rs.36.4 cr combined negative net assets (R3); Kuiper net investment Rs.122.8 cr plus Rs.6.7 cr expensed deal costs [A].	Kuiper is the first subsidiary investment that earns; everything before it was a write-off or a shell.
ESOPs	Three plans: 2021 (3.8 lakh at Rs.114), 2024 (3.8 lakh at Rs.100), 2025 (8 lakh granted 7-Oct-2025: 3.8 lakh "2025-A" at Rs.10 exercise when the share price was Rs.325.90; 4.2 lakh "2025-B" at Rs.200) [A] (p.29; p.133-	Rs.10-strike options are effectively stock grants; fair value Rs.314 per option on 3.8 lakh = ~Rs.12 cr of cost. Options for non-executive directors and holding-company

Parameter	Status	Comment
	134). ESOP 2025 extended to group/holding-company employees and allows >1% grants to identified employees [A] (p.54-55). Non-executive directors Bastia and Datta receive options.	employees blur the line between the listed company and the promoter group.
Secretarial compliance	FY26 observations: short-notice analyst call without explanation; two XBRL filings late; postal-ballot e-voting window exceeded 30 days [A] (p.28, p.42).	Housekeeping lapses, not substantive.
Contingent liabilities vs net worth	Nil at 31-Mar-2026 (Rs.7.78 lakh labour claim at Mar-25; group Rs.8.40 lakh) against consolidated net worth Rs.495.0 cr [A] (p.123 Note 38; p.204 Note 38).	Negligible. But note the Rs.2.72 cr "contractual dispute" written off on the recommendation of an Outside Expert Council in Q4FY26 [A] (p.122 Note 36) — counterparty not disclosed; and the Iraq-era USD 2 mn arbitration at DMCC whose current status is not disclosed in FY26.
Material litigation	None disclosed beyond the above. Directors' report: no material orders by regulators/courts affecting going concern [A] (p.26).	—

Related-party transactions by entity (standalone, Rs. crore) [A] (AR FY26, p.135-139, Note 44; AR FY24 Note 38; AR FY25 Note 44)

Counterparty	FY24	FY25	FY26	Balance at 31-Mar-26
Oilmax — sale of services (O&M, drilling, seismic for Oilmax fields)	19.75	18.72	27.85	Receivable 10.51; payable 7.32
Oilmax — acquisition of Indrora PI	17.70	—	—	—
Oilmax — purchase of PPE/CWIP (AESL's share of Indrora joint-operation capex)	5.66	2.59	7.54	—
Oilmax — reimbursement of crude production costs / government share	3.14 / 0.35	3.55 / 0.42	0.70 / 0.48	—
Oilmax — ESOP cost recharge; expenses incurred on AESL's behalf	—	—	3.81; 2.39	—
Oilmax — equity allotted on warrant conversion	—	42.71	—	—
Oilmax — approved borrowing facility up to Rs.100 cr (Jul-2025)	—	—	not drawn in FY26	—
Oilmax — corporate guarantees for AESL bank lines	ongoing	ongoing	ongoing	CC debit balance 27.52
ADMCC (subsidiary) — loan given and repaid; interest	—	—	31.64 / 31.64; 1.56	Reimbursement receivable 0.64
AOSL Petroleum — loan (provided)	—	—	—	2.085 (fully provided)
Zuberi Asian JV — sales	34.78	26.18	—	Receivable 15.69
AESL FFIL JV — sales	24.56	39.49	37.91	Receivable 26.14
Asian Indwell JV — sales	—	108.12	83.06	Receivable 49.22
Asian Oilmax JV — sales	—	0.52	1.68	Receivable 0.62
Asian Global JV — sales	—	—	28.55	—
Kapil Garg / Ritu Garg — office rent	—	0.42 each	0.64 each	Security deposits 3.00 each
Mukesh Jain (ex-director) — professional fees	—	0.72	0.06	—
KMP remuneration (Garg/Talati/Jain)	—	2.56	3.82	—
ESOP expense — Bastia (NED)	—	—	3.41	—

Related-party receivables were Rs.101.5 crore of Rs.230.6 crore standalone trade receivables (44%) at Mar-26 and Rs.126.5 crore of Rs.220.6 crore (57%) at Mar-25 [A] (AR FY26, p.108, Note 12). Most of this is JV billing where the end customer is Coal India/SCCL, but the credit chain runs through entities AESL partly controls. ICDs: Rs.65 lakh given and repaid in FY25; none in FY26 [A] (p.83, cash flow). Kuiper sellers (Offshore Logistics Services Holdings / Gulf Capital) were unrelated [M] (Order 18-Apr-2025).

Shareholding trend (promoter / FPI / DII-MF / public) [A]

Date	Promoter	FPI	Mutual funds / DII	Bodies corporate	Indian public + others	Source
31-Mar-2022	59.61%	0.12%	nil	2.93%	~36.3% (incl. NRI 4.04%, HUF 3.39%, trust 1.00%)	AR FY22 CG report
31-Mar-2023	61.45%	0.01%	nil	4.47%	~34.1%	AR FY23 CG report
31-Mar-2024	58.52%	4.27%	nil	12.09%	~25.1%	AR FY24 CG report
31-Mar-2025	60.97%	2.36%	nil	9.18%	~27.5%	AR FY25 CG report
30-Jun-2025	60.97%	n.d.	nil	n.d.	38.96% public total	Merger pre-SHP
31-Mar-2026	60.75%	1.34%	nil	10.76%	27.1% (public 23.67%, NRI 0.84%, others 2.20%, directors 0.32%, KMP 0.06%, ESOP trust 0.04%)	AR FY26, p.62
Jul-2026 (post warrant conversion)	55.99%	n.d.	n.d.	n.d.	n.d.	Press Release 1QFY27
Post-merger (pro forma)	51.71% (47.30% FD)	—	—	—	48.26%	Merger post-SHP

Quarter-by-quarter exchange filings are not in the document set, so the eight-quarter series cannot be reconstructed precisely; the pattern is clear enough: no domestic institutional holding at any point, FPI interest peaked at 4.3% in Mar-24 and has faded, and the non-promoter book is HNIs/family offices (Chartered Finance & Leasing 4.24%, Anantroop Financial 1.68%, Meenakshi Agrawal 1.12% at Jun-25 [A], Merger pre-SHP Table III) plus retail (87% of the 20,612 holders own up to 500 shares) [A] (AR FY26, p.61).

Real red flags versus structural quirks

Red flags (things that should change a valuation or require explanation):

1. **Promoter-as-counterparty on both sides of the ledger.** Oilmax is the biggest single related customer (Rs.27.8 crore), operator of AESL's only oil asset, guarantor of its bank lines, prospective Rs.1,000 crore mine-development client, and the company whose Rs.4,349/share DCF value (no market check possible) sets the merger ratio that dilutes minorities from 39% to 48% of a company with no institutional owner. Approvals were obtained (independent committee, fairness opinion, majority-of-minority vote), but the economics rest on a promoter-supplied forecast of fields that are mostly not yet producing.
2. **Executive churn at the operating core before the merger**: COO (9 months), VP Infra (Jul-2025), and the heads of Seismic, O&M and Procurement (Aug/Sep-2026), with no disclosed successors.
3. **Finance and reporting footprint vs. auditor capacity**: a small Mumbai audit firm now signs a group with ~25 foreign entities, 15 of them unaudited, several held through nominee/POA arrangements in Qatar, Malaysia and Indonesia, and a database-level audit trail that was not enabled.
4. **Compensation design**: MD pay +76% to 51x median with shareholder approval to exceed SEBI limits; Rs.10-strike options; options to non-executive directors and to holding-company staff.
5. **Disclosure cadence**: half-yearly calls, three-year gaps in the past, and a 2-year PSU tender ban that was disclosed but never explained beyond "technical grounds".

Structural quirks (uncomfortable but explainable, and priced):

- Large JV receivables and JV-routed revenue are a consequence of Coal India pre-qualification rules, not evidence of leakage; the JV profits are audited and small.
- Dormant offshore shells with negative net worth (DMCC, AOSL Petroleum) are Samara-era residue; the cash is long gone and the exposure is capped.
- Personal and corporate guarantees by the promoter for bank lines are normal for an Indian mid-cap and, if anything, show skin in the game.
- Zero contingent liabilities and a clean CARO are genuinely good.
- The two-CFO structure, family directors and Oilmax-named JVs are features of a founder group that is in the middle of collapsing a holding structure into one listed company; the merger removes the holding-company discount and the inter-company billing with Oilmax, which is the right direction even if the price of admission is dilution.

R16. Promised vs delivered (FY20–FY26)

#	Promise (date, source)	What was delivered (source)	Verdict
1	FY20 revenue growth "around 5% to 10%", EBITDA margin "17% to 18%" (Q2FY20 call, Nov-2019)	FY20 revenue +41% to Rs.273cr, EBITDA 24% (Press Release 4QFY20) — driven 87% by Amni Nigeria (AR FY20 p.173)	Delivered (on one contract)
2	"definitely there will be a growth… in FY2021" (Q3FY20 call)	FY21 revenue –16% to Rs.229cr (Press Release 4QFY21)	Missed
3	"by FY23, we do not have a single business or client… more than 30 to 40% of our total revenue" (Q2FY20, Q3FY20 calls)	FY23 top customer 43%, top three 77% (AR FY24 p.193); still 24% top customer in FY25	Missed
4	Complete Langley (Nigeria) "by September 2020" (Q3FY20); later "optimistic about completing it in FY2022" (PR 4QFY21)	Suspended Nov-2020, terminated Aug-2021; USD 8.5m receivable, auditor qualification (AR FY21 Note 41; AR FY22 p.176)	Missed
5	Iraq (Bashneft) seismic USD 37m: "sign a contract maybe in December" 2019, inflow "next financial year" (Q2FY20)	Never executed; dropped from order book Feb-2020 (Q3FY20)	Missed

#	Promise (date, source)	What was delivered (source)	Verdict
6	"looking for seismic opportunities anywhere" internationally; Middle East/Africa (Q3FY20; PR 4QFY19)	No overseas seismic award since 2019; international entry came via buying Kuiper (manpower) in 2025	Missed as stated
7	Rs.570cr Vedanta six-block seismic "executable over a period of two years"; capex Rs.70–75cr (Q3FY20)	Capex done (vibroseis, channels); "current phase" of Rajasthan/Cambay completed (PR 4QFY22); seismic order book Rs.60cr by Aug-2022 (Q1FY23). Amount ultimately called out not disclosed	Partly
8	NSE listing "when right time comes" (Q2FY20)	Listed on NSE (symbol ASIANENE in filings from Jan-2022)	Delivered
9	Dividend: "accumulated free reserves… negative… does not qualify" (AGM Sep-2020); "Hopefully, in this year [FY23], we should be able to declare a dividend" (Q1FY23)	FY23 loss Rs.44cr, no dividend; first dividend Rs.1 for FY25 (May-2025), Rs.1.25 for FY26 (May-2026). No payout policy disclosed; "balanced approach" (AGM Sep-2026)	Partly (two years late)
10	Buyback to be "proposed to the board" (Q1FY23)	None	Missed
11	Coal: "Approx. Rs.700 crores worth tenders expected in next 24 months from Coal India in the 2D and 3D seismic"; "60 new tenders [RLS/CHP] expected in the next 3 to 5 years" (AGM Sep-2020); "visibility of around 50 plus [CHP tenders] in the next 12 to 18 months… 150 to 300 crores" (AGM Sep-2021)	Won three CMPDIL coal-seismic contracts (AGM 2021) and ~8 CHP/conveyor awards over FY22–FY27 (R9.4); CHP became 59% of FY25 revenue	Partly (direction right, scale far smaller)
12	MDO: "15 blocks already on offer… 2500 to close to 3000 crores over a period of 20 years" (AGM Sep-2021); board "endorsed the plans… Mine Development and Operation" (PR 9-Mar-2024)	No MDO bid or award disclosed; "not looking for a very large MDO opportunities right now" (Q2FY25)	Missed / dropped
13	E-mobility: investment in Vaan Electric Moto, option to 26% (AGM Sep-2021)	Not referenced in FY25/FY26 reports or decks; not in subsidiary/associate list	Dropped (quietly)
14	Hura CHP commissioning "during 2023-24" (AR FY23); Singareni "early 2024-25" (AR FY23); three CHP completions in FY26 (Q4FY25)	No completion/commissioning announcement found through Oct-2026	Missed (undisclosed)
15	O&M: "intend to consolidate… by securing at least one more contract in this year [FY23]" (Q1FY23); "actively pursuing 2 tenders… Rs.200 crores over 3-4 years"	PY-3 (Hardy) O&M/flowlines won FY24; AGCL BOOT Dec-2024; Vedanta integrated Rs.772cr Jul-2025	Delivered (late)
16	FY25 revenue guidance Rs.450–500cr (Q2FY25)	Rs.465cr (AR FY25)	Delivered
17	FY26 guidance ex-Kuiper: revenue Rs.650–700cr, EBITDA Rs.110–120cr, PAT Rs.70–75cr, standalone EBITDA margin 17–17.5%; "70% to 75%… from the existing order book" (Q4FY25, May-2025); reaffirmed Nov-2025 ("Rs.400–450cr of order book will get executed in FY26") and Feb-2026	Standalone FY26: revenue Rs.491.8cr (+6%), EBITDA Rs.78.3cr (15.9%), PAT Rs.46.9cr adjusted / Rs.41.1cr reported (PPT 4QFY26 p.9). Consolidated ex-Kuiper revenue ≈ Rs.492cr (791 − 299). Management cited "~75 crore" Q4 deferral (Q4FY26)	Missed by 24–30% on revenue, ~30% on EBITDA, ~35% on PAT
18	Kuiper: close "within two months" (Apr-2025) / "end of June" (May-2025); EBITDA 8–9% to be improved; "we'll be getting this company free along with the current asset"	Closed 29-Aug-2025; FY26 EBITDA ~7% (Q2FY26); capital reserve Rs.40cr booked (Note 55); Qatar disruption Mar-2026; "integration… completed" (PPT 4QFY26)	Partly
19	Kuiper revenue USD 60–65m FY27, 100–200 bp margin gain (Q4FY26); USD 100m and 11–12% EBITDA by FY29 (Q4FY26; AGM Sep-2026 says FY30)	Q1FY27 Kuiper ≈ Rs.122cr (consolidated 271 − standalone 149), ~USD 14m/quarter, "stabilized in June" (PPT 1QFY27)	Too early
20	Indrora: ">300 BOEPD by the end of the calendar year [2023]… potential… 700 BOEPD" (PR 27-Apr-2023)	~100 bopd Sep-2025; ~150–200 bopd May-2026; new target 1,000 bopd by FY27, 1,500 "in the next 2, 3 years" (Q4FY26)	Missed; new target too early
21	"Retention… not… going up into the similar ratio"; debtors "not… proportion of our revenue growth" (Q4FY25)	Retention Rs.53.5cr → Rs.95.2cr (+78%) on standalone revenue +6%; receivables + unbilled Rs.310cr → Rs.512cr (+65%) on consolidated revenue +70%	Missed on retention; partly on debtors
22	Capex FY26: AGCL BOOT Rs.40–45cr, "recovered within 3 years"; Indrora wells Rs.15–20cr (Q4FY25, Q2FY26)	PPE additions Rs.15.8cr; CWIP wells Rs.44.4cr; AGCL asset not identifiable in balance sheet	Partly / unclear
23	ONGC holiday "has no bearing whatsoever… guidance provided… for FY25" (Order 20-Sep-2024)	Reduced to six months (Feb-2025); ONGC ~2–2.5% of FY25 revenue; FY25 guidance met	Delivered
24	Oilmax merger "roughly around 12 months" (Sep-2025); "by Q3 FY27" (PR 26-Sep-2025)	SEBI/exchange approvals Mar-2026; shareholders Jun-2026; NCLT order 29-Sep-2026	Delivered
25	Oilmax: Tiphuk and Duarmara "Expected production in FY26" (Sep-2025 deck); Amguri 2,150 boepd (Sep-2022) to ramp with IGGL connection "later this year" (Sep-2025)	Tiphuk moved to Q1FY27; Duarmara "within a month or so, we'll be able to give you much better prediction" (May-2026); Amguri 1,850 boepd (May-2026 deck)	Missed / slipped
26	Group FY29–30: Rs.3,000cr revenue, Rs.700cr+ EBITDA, Rs.500cr PAT (AGM Sep-2025 deck); reaffirmed "more or less on the same guidance" (Q4FY26); 25% blended EBITDA margin	FY26 actuals Rs.791cr / Rs.99cr / Rs.61cr; FY27 standalone guidance +30–40%	Too early (requires ~56% revenue

#	Promise (date, source)	What was delivered (source)	Verdict
	(AGM Sep-2026); Oilmax Rs.800–900cr revenue FY29–30; 10,000 boepd from ~2,500		CAGR and a doubling of margin)
27	FY27: standalone +30–40% "90%, 95%... from our existing order book and the contract where we are L1"; standalone EBITDA +100–200 bp; consolidated EBITDA 12–13% (Q4FY26)	Q1FY27 standalone revenue +29%, EBITDA 10.9%; consolidated EBITDA 8.1% (PPT 1QFY27)	Too early; first quarter below the margin guide

Scorecard count (27 items): Delivered 5; Partly 6; Missed 12; Too early 4. The pattern is consistent: operational guidance for the next 12 months was met in one year (FY25) out of the four in which a number was given (FY20 was met for the wrong reason); commissioning dates, foreign contracts and production targets were missed; corporate actions (listing, dividend, merger, acquisition) were delivered, usually late.

R17. Stock price history

Price data: ACE standalone sheet 1 rows 45-48 (yearly close/high/low/market cap, BSE) and sheet 11 (daily, 18-Sep to 16-Oct-2026) [S]; valuation ratios: ACE consolidated sheet 6 rows 7-15 (FY09-FY26) and ACE standalone sheet 8 for FY05-FY08 [S]. Bloomberg series will replace this at Stage 3. Fiscal years FY08 (Jun-2008, 15 months) and FY09 (Jun-2009) follow the company's old year-end.

Period	Price range (close; high/low)	Market cap, Rs. cr	What the business was doing (model, ARs)	What the market paid (year-end, ACE)	Was it right?
FY05-FY07	12.65 to 33.2 (low 4.1, high 45)	7 to 23	Small domestic seismic contractor; revenue Rs.8-27cr, PAT Rs.0.3-4.3cr (rows 3, 31, standalone)	P/E 6-21x, P/B 0.5-1.6x (standalone)	Yes; priced as a micro-cap with no track record
FY08 (15m to Jun-08)	close 140.8; high 446.4 (Jan-2008), low 74	147 (peak ~Rs.470cr at the high on 1.05cr shares)	Revenue Rs.46cr, PAT Rs.9.6cr; Rs.40cr raised via warrants/allotments (row 44, 149); net worth 15 to 67cr	P/E 15x, P/B 2.4x, EV/EBITDA 8.6x at year-end; ~45x at the high	The spike was the 2007-08 small-cap/oil bubble, not the business: revenue fell 71% in FY10 and the company lost money for seven years
FY09-FY13	65 to 19 (FY13 low 17.6)	74 to 29	Revenue Rs.20-69cr, EBITDA negative from FY12; net worth 100 to 72cr	P/B 1.0x to 0.4x; P/E n.m.	Right to de-rate; still above liquidation value given later losses
FY14-FY16	69 (Mar-14), 31, 30 (lows 12-28)	155, 70, 67	Kurdistan seismic contracts: Rs.108cr capex FY14 (row 127), revenue 122-141cr but EBITDA negative; FY16 net worth Rs.10cr, net debt Rs.101cr (rows 46, 200)	FY14 P/B 2.4x (hope); FY16 P/B 6.7x on Rs.10cr of equity, EV/EBITDA n.m.	FY14 was wrong (capital destroyed); FY16's Rs.67cr market cap was an option on a rescue, which came
FY17	30.4 to 249.6, close 232.5	606	Oilmax (Kapil Garg) takes control Dec-2016: Rs.88.6cr equity at Rs.80 (warrants) and Rs.165; FY17 revenue 124cr, PAT -18cr after clean-up	P/B 17.9x (cons), P/E n.m.	Priced a turnaround before it existed; 8x in a year on Rs.124cr of revenue
FY18	high 297.5, close 187	712	Revenue 222cr, EBITDA 40.7cr (18%), PAT 10.3cr; Rs.48cr warrant balance received	P/E 69x, EV/EBITDA 16x, P/B 5.1x	Wrong: the stock fell 65% over the next 12 months
FY19-FY20	64.75 (Mar-19); 69 (Mar-20), low 62.4	247; 260	FY19 PAT 9cr; FY20 the best year on record: revenue 273cr, EBITDA 24.4%, PAT 29cr, CFO 89cr, net cash 82cr (rows 19, 124, 200)	FY19 P/E 27x; FY20 P/E 8.9x, EV/EBITDA 2.5x, P/B 1.4x; net cash = 32% of market cap	Wrong in the other direction: the cheapest price coincided with the best numbers (COVID low, memory of FY18)
FY21-FY23	91, 114, 110 (range 65-179)	344, 430, 414	FY21-22 margins 24-25%, PAT 23/39cr, but audit qualifications on ADMCC (AMNI); FY23 revenue -58%, PAT -44cr; pivot to coal-handling plants (Hura CHP Rs.128cr Feb-2022), Vedanta O&M (Jan-2022), Indrora PI (Apr-2023)	FY21 P/E 15x; FY22 11x, EV/EBITDA 5.6x; FY23 P/B 2.1x, P/E n.m.	FY22's 11x was right in hindsight for the wrong reason (FY23 blew up); the market held FY23 at Rs.110 because the CHP order book was visible
FY24	90.5 to 344.5, close 270.65	1,100	Revenue 305cr (+177%), PAT 25.5cr; Rs.85cr warrant issue at Rs.127.50 (Aug-2023); CCL LoA Rs.250cr (Feb-2024), order book ~Rs.1,000cr	P/E 43x, EV/EBITDA 22.5x, P/B 4.2x	A re-rating on order inflow; earnings have since grown 2x so the multiple compressed into it
FY25	high 444.35 (Aug/Sep-2024), close 269.3	1,204	Revenue 465cr, PAT 42cr, first dividend; Rs.160cr warrant programme at Rs.335 (Nov-2024); Kuiper announced Apr-2025	P/E 28.6x, EV/EBITDA 16x, P/B 3.4x	The Rs.444 high priced in a FY25 that delivered; the Rs.335 warrants were struck 60 days before a 40% fall
FY26	230.35 to 392.1, close 238.7	1,072	Revenue 791cr (+70%, Kuiper), EBITDA margin 12.1%, Q2 loss, PAT 51.8cr; net cash to net debt; merger with Oilmax announced Sep-2025 at 117:10; 22% of warrants lapse	P/E 21x, EV/EBITDA 10.4x, P/B 2.4x	De-rated through the year as margins fell and the merger dilution became known; at Rs.239 the stock was at 21x a year with a Rs.9cr exceptional
Apr-Oct 2026	239 to 455 (16-Oct close; Sep-2026 high 513.75 intraday on 21-Sep)	2,044 on 4.49cr shares; 2,211 on 4.86cr diluted; ACE 2,232	4QFY26 PAT 32.6cr (May-2026); Rs.92cr warrant money; Gujarat Power EPC Rs.187.6cr (Jun-2026); Mevad discovery (Jan-2026); 1QFY27 revenue +135%; NCLT merger order 29-Sep-2026	Trailing P/E 40x on FY26 EPS 11.39 (37x on TTM to Jun-26, ACE cons 38.8x); EV/EBITDA 21.5x on FY26 (ACE cons TTM 19.5x); P/B 3.9-4.1x	Open; see below

Key episodes, with what the record says:

- 2007-08 (Rs.446 high): a 15-month year with Rs.9.6cr of PAT and a Rs.40cr capital raise; the price took 16 years to be seen again (FY25 high Rs.444). It was never earned.
- 2014-15: Rs.69 at Mar-2014 (P/B 2.4x) on Kurdistan contracts that required Rs.108cr of capex and produced losses; by Mar-2016 Rs.30 and a Rs.10cr net worth. The "Rs.232" in the brief is FY17 (Mar-2017), the Oilmax re-rating, not 2014-15.
- 2017 Oilmax re-rating: Rs.30 to Rs.232 in twelve months on the change of control, then Rs.297 (FY18 high) to Rs.65 (Mar-2019). The market paid 69x FY18 earnings and then 9x FY20 earnings for the same management two years later.
- 2020 trough: Rs.62.4 low in Mar-2020 with Rs.82cr of net cash and Rs.29cr of PAT (P/E 8.9x). The best entry point in the listed history was the year of the best numbers.
- 2024-26 re-rating: Rs.110 (Mar-2023) to Rs.444 (Sep-2024) to Rs.239 (Mar-2026) to Rs.455 (Oct-2026). The two legs up were order-book driven (CHP contracts; then Kuiper plus merger plus 1QFY27 revenue); the leg down was margin-driven (25% to 12%) and dilution-driven.

Why it trades where it does today (Rs.455, 16-Oct-2026):

- Multiples: ~40x FY26 EPS and ~21x FY26 EV/EBITDA for a business with a 12% EBITDA margin, 11.5% ROE, three-year cumulative negative CFO and a 7%-margin Rs.300cr manpower subsidiary. The price discounts the Rs.1,754cr standalone order book (2.2x FY26 standalone revenue; management guidance of 30-40% standalone growth with 100-200bp better margins and Kuiper at USD 60-65m, 4QFY26 call) [M], plus the E&P optionality the merger brings (Oilmax: 5 blocks, "~70 mn barrels" per the merger deck, Indrora to 1,000 bopd by FY27, Mevad discovery) [M].
- The merger overhang: 117 AESL shares for every 10 Oilmax shares (Merger Valuation Report, Bansi S. Mehta Valuers; fairness opinion Sundae Capital) [M], i.e. 6.67cr new shares against 1.75cr public shares remaining after the cancellation of Oilmax's 2.73cr AESL shares; post-scheme share count 8.42cr (plus 0.37cr from the May-2026 conversion) with promoters at 51.7% (Pre & Post Shareholding Pattern document) [M]. At Rs.455 the market is paying about Rs.3,000cr for Oilmax (6.67cr x 455), a company with FY25 standalone net worth Rs.290cr and revenue Rs.137cr (board outcome 6-Sep-2025) [M] and 9MFY26 revenue Rs.71.7cr (Oilmax unaudited Dec-2025) [M]. The combined entity at Rs.455 is therefore valued at roughly Rs.4,000cr. Whether that is right depends on reserves and production numbers that are not in the AESL filings; it is the largest single reason the stock can move either way from here. CRISIL has the rating on "Watch Developing" for the same reason [M].
- Coverage: no sell-side research or initiation is referenced in any filing, deck or transcript in the repository. Conference-call participants are small brokers and PMS/investment firms: B&K Securities (2QFY25, 4QFY25, merger call), Arihant Capital, Share India Securities, Genuity Capital, MK Ventures, Axis Capital and Ventura Securities (2QFY20 and 3QFY20 only), plus individual investors. Investor relations is outsourced to Strategic Growth Advisors (PR 18-Apr-2025) [M]. The holders who matter are the Nov-2024 warrant allottees (Titagarh Enterprises, Ashish Kacholia, Everest Finance and 25 others) who paid Rs.335.
- Liquidity: BSE daily volume 7,000 to 65,000 shares (average 21,900) and Rs.0.3-2.9cr a day (average Rs.1.0cr) over 18-Sep to 16-Oct-2026 (ACE daily sheet; NSE volume not in the extract) [S]. A Rs.2,000cr company that trades Rs.1cr a day on BSE is priced by a small number of marginal buyers.
- Promoter holding 60.6% (FY26) falling to 56.0% after the May-2026 conversion and 51.7% after the merger (plus lock-ins on the merger shares) [A/M]; public float rises from 39% to 48%, which adds supply.
- Memory of cycles: three peaks (FY08 Rs.446, FY18 Rs.297, FY25 Rs.444) each followed by a 65-85% drawdown within two years; a qualified audit in three of the last six years; a 58% revenue collapse in FY23 from a single customer. Long-term holders have been trained to sell the re-ratings.
- What the current price requires: FY27 consolidated PAT of about Rs.80-100cr (the implied earnings at 20-25x) against FY26's Rs.51.8cr and a 1QFY27 run-rate of Rs.12.8cr a quarter; the merger adds Oilmax's earnings but also 6.67cr shares. On the enlarged share count of ~8.8cr, FY26 pro-forma EPS would be about Rs.5.9 for AESL alone; the stock needs Oilmax to contribute at least as much profit per new share as AESL earns per existing share for the merger to be neutral to EPS at Rs.455.

R18. Growth drivers and strategy

Management's stated strategy

Three statements define it. First, the board's 9-Mar-2024 press release: move "from cyclical business which also frequently involves force majeure situations, to stable business with long term contracts" [M]. Second, the Q4FY26 call: AESL is "the only listed energy services company in India that will be capable of self-delivering across the value chain", on a "limited equipment ownership" model (PPT 4QFY26, p.20) [M]. Third, the FY30 aspiration given at the Sep-2025 AGM and reaffirmed in May and Sep-2026: group revenue Rs.3,000cr, EBITDA Rs.700cr+ (about 25% margin), PAT Rs.500cr, of which Oilmax Rs.800-900cr of revenue and 10,000 boepd from about 2,500 today (AGM MD deck Sep-2025, p.15; Q4FY26 call; AGM Sep-2026) [M]. The FY27 guide is standalone revenue +30-40%, "90 to 95%" of it from the existing order book and L1 positions, standalone EBITDA margin +100-200bp, consolidated EBITDA margin 12-13%, Kuiper USD 60-65m (Q4FY26 call) [M].

Against that, FY26 standalone grew 6% against a 40-50% guide, 1QFY27 consolidated margin was 8.1% against a 12-13% guide, and the FY30 aspiration requires about 56% revenue CAGR and a doubling of margin from FY26 (R16, items 17, 26, 27). The committed book supports the direction, not the slope.

Each growth source, by status

Status	Source	Evidence	Rs. crore revenue it can carry	What unlocks it
Committed (contract signed)	Vedanta integrated field development, Rajasthan satellite fields	Rs.772cr ex-GST, 57 months from Jul-2025 (PPT 1QFY26; Q2FY26 call) [M]	About Rs.160cr a year if executed evenly; capex reimbursed per bid, opex per barrel	Vedanta's FDP approvals and well programme; AESL drilling and facilities execution
Committed	MCL Lakhanpur CHP	Rs.459cr incl. GST, 7 years incl. DLP O&M (PR 4-Nov-2025) [M]	About Rs.330cr ex-GST of EPC over 2-3 years, then small O&M	Site mobilisation (had not started by Mar-2026); land and monsoon
Committed	GSECL Ukai CHP stage-II	Rs.187.6cr incl. GST, 2-3 years, lump-sum EPC (PR 22-Jun-2026) [M]	About Rs.55-80cr a year	First non-Coal India CHP; execution
Committed	Vedanta Suvali O&M	Extended to 31-Mar-2027 on same rates (Order 16-Mar-2026) [M]	About Rs.50cr a year plus reimbursables	Renewal beyond Mar-2027 not yet secured
Committed	AGCL compressor BOOT	About Rs.200cr over 3 years, Rs.82cr in year one (PR 17-Dec-2024) [M]	About Rs.118cr remaining	Compressor mobilisation; accounting treatment unclear (R8)
Committed	Seismic in hand	Sun Petro 4D Rs.54.6cr (to Dec-2026), OIL Rajasthan 2D Rs.82cr (ending) [M]	About Rs.90cr in FY27	Weather; no follow-on awards yet
Committed	Kuiper master service agreements	2-5 year MSAs, "minimum 2 to 3 years of revenue coverage" (Q4FY25) [M]; run-rate Rs.40-45cr a month [M]	About Rs.480-540cr a year (USD 55-60m)	Gulf rig counts; Qatar remobilisation complete by May-2026 [M]
Committed (capex approved)	Indrora and Mevad wells	Six wells, group commitment about Rs.100cr, AESL share about Rs.50cr (Q4FY26 call) [M]	Negligible revenue today (crude sales Rs.5.0cr FY26 [A]); target 1,000 bopd by FY27 [M]	Drilling results; the 2023 target of 300 bopd by Dec-2023 was missed (R16)
Probable	L1 position in one CHP tender (May-2026) [M]; OIL empanelment awards (Jun-2026) [A]	Management statements; no LoA	Not quantified	Award letters
Probable	Oilmax-related contracts pre-approved as RPTs: Tiphuk Rs.75cr, Duarmara Rs.150cr integrated services; silica-sand mine development up to Rs.1,000cr; core drilling Rs.10cr a year (AR FY26, p.34-35, AOC-2) [A]	Board-approved ceilings, not orders	Up to Rs.225cr of field work; the Rs.1,000cr mine contract is a ceiling with no scope disclosed	Oilmax's own funding and field development; after the merger these become intra-group and disappear from revenue
Probable	Kuiper to USD 60-65m in FY27 with 100-200bp margin gain [M]	1QFY27 Kuiper about Rs.122cr, "stabilized in June" (PPT 1QFY27) [M]	About Rs.40-60cr of incremental revenue	Aramco and ADNOC rig activity; Nigeria and SE Asia wins
Optional	Bidding pipeline "Rs.3,000-4,000 crore" (AGM Sep-2026) [M]; ONGC production-enhancement and	No identified tenders found (R10)	Unquantified	Awards; AESL's seismic win rate is 33-40%, CHP above 50% [M]

Status	Source	Evidence	Rs. crore revenue it can carry	What unlocks it
	integrated-services tenders [M]			
Optional	Samudra Manthan offshore seismic programme (Rs.28,534cr seismic outlay) [S]	AESL has no marine capability in any filing (R10)	None directly	Partnership or sub-contracting only
Optional	Oilmax DSF-IV Kutch block (50% PI, operator), quartzite mine, Pakro vanadium-graphite LoI [M]	Awards Aug-Sep 2026; no development plan or capex disclosed	None before FY29	Field development plans, capital
Optional	Marine services JV with Sadhav Shipping (74/26 in AOSL Energy Services) [M]	Approved Aug-2026; Rs.26,000 consideration	None disclosed	Contracts
Optional	Kuiper to USD 100m by FY29-30 at 11-12% EBITDA [M]	Would require taking share from NES Fircroft and Brunel-scale incumbents (R11)	Rs.400cr of additional revenue	Not evidenced

Arithmetic on the committed book: management says 60-70% of the Rs.1,754cr standalone order book executes in FY27 and FY28 (Q2FY26 call) [M], which is Rs.1,050-1,230cr over two years, or Rs.525-615cr a year against FY26 standalone revenue of Rs.492cr. That supports standalone growth of 7-25% a year from the book alone; the 30-40% guide needs the "probable" column to convert on time. Consolidated growth in FY27 is mechanically high because Kuiper contributes twelve months against seven.

R19. Risks and triggers

Risks, most damaging first

1. **The merger imports a promoter company whose earnings have already fallen.** Oilmax's standalone PAT was Rs.48.6cr in FY25 on operating revenue of Rs.127.7cr; for the nine months to Dec-2025 it reported a loss of Rs.12.2cr on revenue of Rs.71.7cr, after a Rs.33.8cr ESOP charge and with pre-ESOP profit before tax of about Rs.21.6cr (OEPL 3-year financials; OEPL unaudited Dec-2025) [A]. The swap of 117 AESL shares per 10 Oilmax shares was set in Sep-2025 on a DCF value of Rs.4,349 per Oilmax share, about Rs.2,480cr for the company, of which about Rs.1,015cr is Oilmax's own stake in AESL at the Rs.372 reference price; the implied value of the E&P business was therefore about Rs.1,460cr, roughly 30 times its FY25 profit (Merger Valuation Report, p.10-11) [S]. At Rs.455 the market pays about Rs.3,030cr for the 6.67cr new shares, of which about Rs.1,240cr is the cancelled AESL stake and about Rs.1,790cr is the E&P business. Public holders' claim on AESL's own earnings falls from about 44% to about 24% of the enlarged 8.80cr shares; for the merger to be neutral to them on FY26 numbers, Oilmax must earn at least about Rs.42cr of PAT a year [D]. How we would lose: Amguri, Tiphuk and Duarmara production disappoints (both new fields have already slipped from "FY26" to "FY27"), Oilmax earns less than Rs.42cr, and the enlarged share count de-rates. What would tell us: Oilmax's audited FY26 accounts, the first post-merger E&P segment disclosure, and monthly production numbers in the decks.
2. **Cash conversion and the next equity raise.** Receivables plus unbilled were Rs.512cr at FY26, 209 days of sales, including Rs.95cr of retention, Rs.164cr of unbilled contract assets and Rs.91cr owed by AESL's own CHP joint ventures (AR FY26, Notes 14, 17, 46C) [A]. Three-year operating cash flow is negative Rs.24cr against Rs.119cr of PAT; FY26's Rs.53cr includes Rs.20cr of fixed-deposit redemptions and Kuiper's opening working capital (R12.3). Gross debt went from Rs.24cr to Rs.158cr. The company has raised equity in every growth phase (Rs.270cr since FY17 plus Rs.92cr in May-2026) and paid Rs.4.4cr of dividends. How we would lose: CHP collections and retention release slip, bank lines fill, and a further preferential or warrant issue dilutes at a price below today's. What would tell us: operating cash flow before fixed-deposit movements in H1FY27 (Nov-2026); receivable plus unbilled days; any board notice for a fundraise.
3. **Kuiper's margin and the Gulf rig cycle.** Kuiper is a crew-supply business with crew cost at 86% of revenue and a 7% EBITDA margin [A/M]; its revenue fell from USD 82m to USD 68m between 2022 and 2024 when Aramco suspended jackups, and Qatar operations were disrupted in Mar-2026 (R10, R12). It is now 38% of consolidated revenue and the reason consolidated margin fell to 12.1% in FY26 and 8.1% in 1QFY27. How we would lose: a

second rig-suspension round or a wider West Asia conflict cuts Kuiper revenue 15-20% while AESL carries the USD 6.7m acquisition loan. What would tell us: Kuiper quarterly revenue (consolidated less standalone) and the consolidated margin against the 12-13% guide; Aramco and ADNOC rig counts.

4. **Concentration in two contracts and one private customer.** The Vedanta integrated contract is about 40% of the order book and MCL Lakhanpur about 26% [D]; the top three customers were 33% of FY26 revenue and three customers each exceeded 10% [A]. Vedanta's own production fell 16% in FY26 and its capex is being re-prioritised (R10). Every prior cycle ended when one or two awards ended (R4). How we would lose: a slower Vedanta well programme or a dispute on the integrated contract removes the single largest growth driver; the FY23 template shows the cost base does not flex. What would tell us: wells drilled and facilities milestones in the quarterly decks; Vedanta's capex disclosures; any Reg 30 filing on contract variation.
5. **Execution and guidance credibility.** Twelve of 27 scored promises were missed, including the FY26 standalone guide by 24-30% on revenue (R16). No CHP commissioning has been announced for Hura (LoA Feb-2022), Singareni or Gevra despite three sets of dates. The heads of Seismic, O&M and Procurement resigned in Aug-Sep 2026 with no disclosed successors, following the COO's nine-month tenure and the VP Infra's exit in Jul-2025 (R14). How we would lose: the FY27 standalone guide of +30-40% is missed again and the stock de-rates from 40x trailing. What would tell us: 2QFY27 and 3QFY27 standalone revenue against the guide; commissioning filings; replacement appointments.
6. **Related-party and governance structure.** The promoter is customer (Rs.27.8cr of FY26 sales), operator of AESL's only oil asset, guarantor of its bank lines, landlord, and prospective Rs.1,000cr mine-development counterparty under an approved RPT ceiling (AR FY26, AOC-2; Note 46) [A]. Post merger the promoter group holds 49.45% on the post-conversion share count (Merger Notice, post-scheme pattern) and the family's second generation sits on the committee that sets options. The group's auditor changed to a smaller firm while 15 Kuiper subsidiaries went unaudited (R15). How we would lose: value migrates to the promoter through pricing of intra-group contracts or further option grants, and minority investors cannot see it until the annual report. What would tell us: the RPT schedule in each annual report; audit committee disclosures; ESOP grants; any emphasis of matter.
7. **Structural decline in the original business.** Outsourced onshore seismic in India has run at about Rs.250-400cr a year of awards, both listed contractors are shrinking or loss-making in it, ONGC bought 24,000 in-house channels for the 2026 season, and AESL added Rs.0.9cr of seismic equipment in FY26 to a fleet that is 74% depreciated (R10, R11, R8). How we would lose: not directly, since seismic is 5% of the book, but the equipment has no replacement value and any revival in demand would need capex the company is not making. What would tell us: seismic order intake; ONGC tender outcomes.
8. **Analytical risks (what cannot be verified from public documents).** Kuiper's standalone profit and loss and balance sheet (Ind AS 103 disclosure absent); Oilmax's reserves (the "about 70 million barrels" is a merger-deck figure with no certified report in the filing set) and its FY26 audited accounts; which contracts ended in FY23; whether Hura, Singareni and Gevra are commissioned; where the AGCL BOOT capex sits; the loan covenants; the outcome of the PY-3 escalation claim; the counterparty of the Rs.2.7cr FY26 write-off; and the reasons for the Aug-Sep 2026 resignations. Each is a question the model cannot answer and a place where the thesis can be wrong without warning.
9. **Long-dated structural risks.** Coal India's first-mile-connectivity pipeline tails off after FY29-30 unless the project count keeps rising, after which CHP becomes an O&M and replacement market; ONGC's incremental exploration rupee is offshore where AESL cannot bid; Gulf crewing demand follows OPEC+ rig policy; India's coal demand peak is not in any official forecast before 2035 (R10.6). Horizon: 2029 onward.

Triggers to watch (dated, checkable)

#	When	Trigger	What it confirms or denies
1	Oct-Nov 2026	Record date and listing of the 6.67cr merger shares; first post-merger shareholding pattern	Final share count (about 8.80cr) and promoter holding (49.45% or 51.71%); whether the public float of about 50% brings supply
2	Nov-2026 (H1FY27 results)	Standalone revenue growth against the +30-40% guide; consolidated EBITDA margin against 12-13%; operating cash flow before fixed-deposit movements; receivable plus unbilled days at Sep-2026	Whether the FY27 guide is credible and whether growth is being funded from operations
3	With the first	Oilmax's contribution as a segment: revenue, EBITDA,	Whether Oilmax earns the Rs.42cr a year that

#	When	Trigger	What it confirms or denies
	results after the effective date (likely 3QFY27, Feb-2027)	production in boepd; Oilmax's audited FY26 accounts	makes the swap neutral; whether the 9MFY26 loss was ESOP-only
4	By Dec-2026 (guided Q1FY27, already slipped)	First oil at Tiphuk and Duarmara; Amguri gas connection to IGGL	The production ramp the merger valuation assumes
5	By Mar-2027	Commissioning filings for Hura, Singareni RG-3 and Gevra CHPs; retention release (Rs.95cr at FY26)	Whether CHP projects complete and cash is released
6	FY27	Conversion of the May-2026 L1 CHP position and OIL empanelment into awards; any Vedanta contract variation	Whether the "probable" column in R18 converts
7	By Dec-2026	CRISIL resolves "Watch Developing" after the merger	Independent view of the combined balance sheet and the Rs.158cr of debt
8	Any time	A board notice for preferential shares or warrants; an auditor emphasis of matter; a change in the Group CFO arrangement	The dilution pattern repeating, or a reporting problem

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R20. Preliminary view

What the market seems to believe. At Rs.455 (16-Oct-2026) the stock trades at about 40x FY26 EPS and 21x FY26 EV/EBITDA, and about Rs.2,200cr of market value on the post-conversion share count (R17). That price treats AESL as a diversified, integrated energy-services compounder: a Rs.1,754cr order book growing 30-40% a year at improving margins, a cheaply bought international platform in Kuiper, and free optionality on a producing E&P portfolio arriving through the Oilmax merger. The 2024-26 re-rating from Rs.110 to Rs.455 was driven by order announcements, the Kuiper deal, the merger and the 1QFY27 revenue print.

What the evidence suggests. The business is a contractor with a 12% EBITDA margin, an 11.5% ROE, negative three-year operating cash flow and a share count that has doubled in ten years and is about to double again. Every cycle in its history has rested on one or two contracts and ended when they did; the current cycle rests on Vedanta and MCL in the same way. The original seismic business is in structural decline and is not being reinvested in. Kuiper is a 7%-margin payroll pass-through bought well but exposed to Gulf rig counts. Guidance has been missed in most years it was given. The merger, approved on FY25 numbers, brings in a company that reported a nine-month loss before the shareholder vote, and it is the largest single determinant of where the stock goes from here. The incremental return on the Rs.406cr of capital added since FY20 is 8.6% pre-tax.

Variant perception. The market is paying a growth multiple for a business whose growth is order-book-driven, working-capital-hungry and funded by equity, and it is paying it before the merger's earnings dilution is visible in a reported quarter. The variant view is that FY27 reported EPS on 8.80cr shares will be lower than the market's implied Rs.18-23 unless Oilmax earns Rs.40cr or more, and that the first two post-merger results will reset expectations. The offsetting truths: the CHP franchise has few credible competitors after Tecpro and McNally left, the Vedanta relationship is real and expanding, Kuiper came with Rs.72cr of cash for a Rs.123cr outlay, and Indian onshore services demand is policy-supported for the next three to four years. There is a decent business inside a poor capital-allocation record and an expensive stock.

Falsification test. We would abandon the cautious view if, by the H1FY27 results in Nov-2026, standalone revenue is growing at 30% or more with operating cash flow before fixed-deposit movements positive and receivable plus unbilled days below about 170; and if Oilmax's FY26 audited PAT before ESOP cost is Rs.40cr or more with Tiphuk or Duarmara on production by Mar-2027. We would abandon any constructive view if a further equity raise is announced within twelve months of the May-2026 conversion, or if Oilmax reports a second consecutive loss.

Questions the model must answer (Stage 3).

1. What standalone revenue and EBITDA do the committed contracts support in FY27-FY29, contract by contract (Vedanta Rs.772cr over 57 months, MCL, GSECL, AGCL, Suvali to Mar-2027, seismic in hand), and what has to come from unsigned work to reach the guide?

2. At 120-130 net working capital days, how much cash does 30% standalone growth absorb each year, and does gross debt rise or fall from Rs.158cr without new equity?
3. What is Kuiper worth as a USD 55-65m, 7-9% margin crew-supply business with SOFR-linked debt, and what happens to consolidated EPS if its revenue falls 20%?
4. What production, realisation and cost does Oilmax need to earn Rs.42cr of PAT, and what are the five blocks worth on a DCF or NAV basis with reserves that are not independently certified in our document set?
5. On 8.80cr shares, what pro forma FY27 and FY28 EPS does the base case produce, and what multiple is justified for a 12-14% margin contractor with 12% ROE against peers that will be supplied with Bloomberg data?

R21. Open questions and gaps

Could not be verified from primary sources (documents checked in brackets)

1. Kuiper's revenue and profit since acquisition, standalone balance sheet, customer list, MSA expiry profile and the terms of the 49% nominee holdings in Qatar, Malaysia and Indonesia (AR FY26 Notes 55-56; Order 18-Apr-2025; calls).
2. Oilmax: audited FY26 accounts; an independent reserves report behind "about 70 million barrels"; block-level production and costs; the DCF inputs behind Rs.4,349 per share (Merger Valuation Report; Fairness Opinion; OEPL three-year financials; OEPL unaudited Dec-2025).
3. Which contracts ended in FY23 and how much of the Rs.570cr Vedanta framework was ever called out (AR FY23; Q1FY23 call; PR 4QFY22).
4. Whether Hura, Singareni RG-3, Gevra, Karo and PKOCP CHPs have been commissioned, and the status of their O&M phases (all decks and filings to Oct-2026).
5. Where the AGCL compressor BOOT capex sits and how the Rs.82cr first-year consideration was accounted for (AR FY26 Notes 3-4, 51; Q4FY25 and Q2FY26 calls).
6. Loan covenants, facility-wise limits and the CRISIL and India Ratings rationale details (AR FY26 Note 42; rating filings).
7. Outcome of the PY-3 cost-escalation claim; counterparty of the Rs.2.72cr FY26 write-off; the FY24 Rs.5.5cr court-ordered vendor settlement; status of the DMCC Iraq-era USD 2m arbitration (AR FY24-FY26 exceptional notes).
8. Names of the customers above 10% of revenue in any year and the top-10 share (revenue notes, all years).
9. Seismic revenue for FY23 and FY26, crew count, channel utilisation and vibroseis fleet size (decks and calls after FY21).
10. Unit pricing in seismic and O&M contracts, escalation clauses in CHP contracts, and the Vedanta per-barrel formula (no filing discloses them).
11. Reasons for the Aug-Sep 2026 resignations of the Seismic, O&M and Procurement heads and their replacements; Sumit Maheshwari's formal role and employer; Anish Garg's relationship to the MD (Management-Changes filings; AR FY26).
12. The price Oilmax paid Samara for 56.32% in 2016 and the Indrora purchase price paid to Oilmax in FY24 (AR FY17; AR FY24 related-party note).
13. The GST show-cause (Sep-2025) and DRC-01A (May-2025) referred to in NSE filing titles: not in the document set; CARO reports no disputed GST dues.
14. Quarterly shareholding patterns for the last eight quarters (only year-end AR tables and two interim points available).
15. Regulator and customer primary PDFs (DGH annual reports, Coal India FMC replies, ONGC and OIL tender lists) returned HTTP 503; R10 figures from those sources come from search summaries and need PDF verification.
16. Merger voting results detail, record date and effective date (NCLT order received 15-Oct-2026; record date to be fixed).

Needs management clarification

The FY27 bridge from Rs.492cr standalone to the +30-40% guide by contract; the CHP commissioning dates; Kuiper's standalone P&L and the plan to lift its margin; the AGCL BOOT accounting; the Oilmax 9MFY26 loss and the FY26 outturn; production dates for Tiphuk and Duarmara; the retention release schedule; the use of the Rs.1,000cr silica-sand RPT ceiling; the dividend policy; and succession for the three departed business heads.

Data conflicts across sources

Item	Source A	Source B	Treatment
Post-merger promoter holding	51.71% (merger deck and pre/post SHP file, on 8.42cr shares)	49.45% (post-scheme pattern in the shareholder notice, May-2026, on 8.80cr shares after warrant conversion)	Use 49.45%; the difference is the May-2026 conversion
Oilmax FY25 revenue	Rs.127.7cr income from operations	Rs.137.0cr total income (board outcome 6-Sep-2025)	Use Rs.127.7cr operating; Rs.137cr includes other income
FY26 debtor days	132 (model, trade receivables only); 209 incl. unbilled	160 (Screener); 284 at Sep-2025 (CRISIL)	Use the model definitions; others mix bases
Market capitalisation at Rs.455	Rs.2,044cr on 4.49cr shares (model Valuations sheet)	Rs.2,211cr on 4.86cr post-conversion; Rs.2,232cr (ACE)	Use 4.86cr until the Sep-2026 pattern is read; ACE implies about 4.9cr
Top customer share FY25	24.2% (AR FY25 revenue note) [A]	"not a single customer more than 20%" (Q4FY25 call) [M]	Audited figure wins
FY25 employee cost	Rs.34.4cr (AR FY25)	Rs.12.1cr (AR FY26 comparatives, after reclassifying Rs.22.3cr to project expenses)	Model carries the restated FY25 and the original FY24; flagged
Coal India capex FY24 and FY25	MoC annual report: Rs.19,849cr and Rs.21,776cr	Business Standard: Rs.23,475cr and Rs.19,410cr	Both shown; order of magnitude is what matters
DMCC borrowings	AR FY26 Note 20(b)(iv): no group entity other than the parent has bank borrowings	Note 20(a)2: Kotak USD 6.7m loan sits in DMCC	Put to management; the Kotak loan is real
FY21 operating cash flow	FY21 AR: minus Rs.17.5cr	FY22 AR comparatives: minus Rs.6.8cr	Model uses ACE; which version ACE carries is unresolved
Stage 1 history read	"ESOP charges Rs.43cr FY17, Rs.29cr FY18, Rs.30cr FY21"; "Rs.19cr write-back in other income"	AR notes: those are total non-cash adjustments; audited ESOP expense Rs.0.4cr and Rs.0.3cr; the Rs.19.2cr write-back is an exceptional item	History read corrected to the AR version in v2